

MENTORING STARTUPS

GETTING THE MOST OUT OF MENTORING
IN A STARTUP ENVIRONMENT



GEORGE VUKOTICH, PH.D.

Mentoring Startups
by
George Vukotich, Ph.D.

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***Dedicated to the entrepreneurs and the mentors that help them
make the world a better place.***

The need for a mentor is obvious, yet seeking one out can be quite difficult and daunting. How do you find the right person?

~ Richard Branson

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FOREWORD

BY WENDY LALLI

I first met George Vukotich when he came to a meeting of the Oak Park Creative Network (OPCN) back in 2002. At that time there were no incubators to help startups, just local groups of individuals open to helping each other. The OPCN was a group I started at the Oak Park Public Library to help; local entrepreneurs grow their business, individuals considering starting a business, career changers, and recent college grads that were looking for non-traditional career opportunities. The idea was to build a community of like-minded individuals that would be more successful by working together than going it alone.

For those of you unfamiliar with Oak Park, IL, it's a community of around 50,000 people that's just a 20-minute ride from downtown Chicago. It has all of the urban amenities –coffee houses, restaurants, a movie theatre and shops plus the natural beauties of a tree-lined residential suburb. Best of all, it's a town that takes enormous pride in its history of integration, tolerance, commitment to learning and the arts. Ernest Hemingway, Frank Lloyd Wright, Ray Kroc, Edgar Rice Burroughs and Bob Newhart are just a few of the writers, artists and performers who lived in Oak Park at some point in their lives.

Given this environment of individualistic creativity, the OPCN, unlike most networking groups did not measure the success of a member's career only in terms of conventional employment. Rather, the group encouraged each other to find occupations that gave them a sense of satisfaction as well as income. As a marketer and career coach who has undergone numerous career transitions in my own life, I made a point of suggesting that OPCN members regard themselves as entrepreneurs who could control their own destiny. After all, the day of the “permanent job” ended

several decades ago and, like it or not, at some point in time all of us will probably be a “one-person start-up.”

For three years –from 2002 to 2005 –the OPCN drew between 30 and 70 people for each meeting. Eventually, a core group of around 20 loyalists formed. They were from a wide range of professions -photographers, writers, marketers, web designers, IT professionals, teachers, and others – who met to discuss how to market their skills, develop new businesses and utilize new tools such as the internet and social media to build strong, viable networks of like-minded professionals. All of them had one thing in common -they appreciated and recognized the value of having a group of other professionals who could consistently offer informed advice and sincere moral support.

George became a vital member of this group and a good friend from that experience. At that time, George had already earned an MBA in Finance and a Ph.D. in Organizational Management. He had extensive big company experience with the likes of; IBM, Accenture, and BP. He was on his second startup running the Organizational Change function and working as the Vice President of Human Resources with JPN Associates. When he told me he was writing this book I immediately flashed back to his role in the OPCN and how he helped other individuals. For although we were never set up to function as an entrepreneurial incubator, in many ways we resembled one.

George would go on to become Department Chair and Associate Professor in the Graduate Program in Training and Development at Roosevelt University, where he designed, developed and implemented a series of changes to enhance and update the school’s curriculum. He also wrote several well-received books on developing business relationships and change management, served in the Air Force Reserve, explored ways to make it easier for veterans to get an education and established a start-up of his own, focused on developing and delivering online education.

As time went on the core group of the OPCN went on to concentrate on their businesses and some moved on to other opportunities. I moved away

from Oak Park, but stayed in touch with George. I reconnected with him when he asked me to participate in a special workshop at Concordia University Chicago in the fall of 2011. As Dean of the College of Business, he was seeking new ways to promote the school and develop ideas that would energize and modernize its curriculum. I found myself among a distinguished group of educators, writers, business people and marketers inspired by George to brainstorm solutions to some of the challenges facing colleges today. It was a fascinating and exciting time that gave all of the participants the opportunity to gain new insights about what an educational institution should offer its students and how it could best deliver on those promises. You could see George's vision from moving beyond the classroom to engaging students in real world scenarios with businesses at an earlier point in their careers.

From that point I had helped form a new group, the Illinois Federation of Women's Business Clubs/Downtown Chicago. I asked George if he would do a brown bag workshop at one of our meetings. We were looking for guest speakers on career development and I thought that George could talk to the importance of continuing education in building a career.

George agreed and came out to speak to us. I still remember it. There were over 20 women in the room and George. He listened to the issues that were brought up and as always seems to happen when George is in the room, ideas began to flow not only about graduate degrees, but also career development in general. One of these ideas was to offer working women a career workshop in resume writing, interviewing and negotiating higher salaries. George suggested that we have the workshop at Concordia and open it to students as well. A few months later, in the spring of 2012, Concordia's College of Business and the IFWBC co-sponsored "How to Climb the Ladder of Success" on Concordia's campus. Despite some rather rainy weather, the event was a great success.

A few months later, George asked me to assist him as a sort of outside mentor to a Concordia student who had a unique idea. The student thought that the school should sponsor a summit on business ethics. The event would give local businesses a chance to learn why developing and

maintaining a strong ethical foundation was not only good for a company's reputation but its bottom line as well. Moreover, it would help deepen the school's ties to the area's business community.

Great idea right? But how do you help a college sophomore turn it into a reality. The answer to that one was simple –ask George! Under George's expert guidance, a steering committee was formed to contact local businesses, plan a program, book a room, publicize the event, engage well-known speakers and elicit donations to pay the costs involved. The first Annual Concordia Ethics Summit took place in the fall of 2013 and later became a yearly event at Concordia. But then, George has a way of making things like that happen, even against some pretty strong odds.

This “can do, let's get it done” attitude along with his long list of academic credentials, is no doubt why the management of 1871 asked him to become Senior Vice President of Programming in July 2014. Established in 2012, 1871 was founded to support Chicago's digital startup community. But its growth was significantly accelerated when George came on board. As one of 1871's members, Don Chartier, founder of HourVoice observed, “I began my association with 1871 before George came on the scene, so I can appreciate his impact more than most people. And it's been huge. I'm not just referring to the massive jump in mentors and workshops he's orchestrated, I'm talking about the energy and positivity he generates.” As a result of his efforts 1871 was selected as the #1 incubator in the U.S. and one of the top incubators in the world.

As George describes in this book's introduction, the experience of working at 1871 gave him the ability to work with startups to understand their needs and to put in place programs that made a difference. He was not only a mentor, but brought in over 500 other mentors to make the programming second to none.

Now, through this book and his work as a consultant, George is able to share the knowledge he has developed and the expertise he used to create one of the top incubators in the world. Whether you're aspiring to be a mentor to a start-up entrepreneur or are the innovative founder of a

company seeking a mentor, I'm sure you'll find this book an indispensable resource for you now and in the future.

Wendy Lalli, has worked with individuals and organizations for over 40 years. She is a master networker and the Creative Director/VP for Crux Creative. A marketing strategist, copy content manager, and social media writer and blogger. She also has her own firm Wendy Lalli, Ltd.

Introduction: Why this Book? Why Now?

We make a living by what we get, but we make a life by what we give.

~ Winston Churchill

Introduction: Why this Book? Why Now?

According to the most recent U.S. census there were 27.9 million small businesses registered in the United States as compared to less than 20,000 companies of 500 employees or more. The most important thing to note is that 99.7 percent of U.S. employer firms are small businesses.

Given this, it is easy to understand why we look to startups and small businesses to create the majority of jobs and build our economy. Although just 21.5 percent of all small businesses are employers, almost half of the nation's private sector workforce (49.2 percent) is employed by small business--that's 120 million people! And since 1995, small businesses have been responsible for creating two out of every three--or 64 percent--of net new jobs in our country. Accounting for 42.9 percent of U.S. payroll dollars, small businesses drive consumer spending into the U.S. economy, as well as income tax dollars into our government's budget.

Small businesses also lead the way in terms of tech and new product innovation. In an evaluation of all "high patenting firms," or firms with 15 or more patents in a four-year period, a study conducted by the Small Business Administration found that small businesses produced 16 times more patents per employee compared to larger patenting firms. "Considering that small businesses account for 43 percent of high tech employment, it's not surprising to note that tech startups account for a significant portion of that innovation."¹

The challenge is how to help these startups and small businesses that don't have the resources that large corporations have. Mentoring and building networks of individuals that can help is the answer.

I can tell you from my many years on this earth, one of the greatest benefits of age is wisdom. Whether you agree with it or not, I hope you'll agree that experience is the best teacher you'll ever have. This is certainly true if you're starting an entrepreneurial business and your experience changes your behavior and attitude for the better.

So what do I mean by better? For the entrepreneur, it simply means better results. And better results are typically the result of asking better questions. Yet until you have the experience to draw upon, you may not know what these questions should be, let alone where to find the answers. In such cases, you'll benefit immeasurably by getting advice and assistance not in the traditional classroom, but in the "classroom" of a mentoring relationship.

Until you have the experience to draw on and the successes and the failures that come with it you'll benefit immeasurably from the types of teachers that can help you learn how to run your business more effectively. Those that have been there and done that. The adventures a startup goes through are many. One of the definitions of "adventure" is that there is an undetermined outcome. When someone jumps into the startup world, it's every bit an adventure in the true sense of the word.

That's where this book comes in, to make your startup journey an adventure in all the best ways, and in as few of the bad ways as possible.

One of the greatest challenges for any entrepreneur is finding a network of individuals that can act as mentors. These mentors can contribute greatly to the success of the entrepreneur by helping guide their passion and ambition in the right direction as they build and grow their business. For entrepreneurs, building such a network is especially difficult because they don't have the resources that individuals in a corporate environment have available to them. In the startup world it's about developing skills and learning to run a successful business, rather than leveraging relationships for career advancement.

In the startup world a mentoring relationship is a learning relationship. While many people will offer advice, their counsel is often based on thoughts and ideas rather than substance and experience. And sadly, it is frequently offered with the goal to impress rather than to help--the entrepreneur improve. For mentors, it is not just about saying things to look or sound good, it is about doing things to *be* good. It's about helping those entrepreneurs you work with make a difference in what they are doing and looking to accomplish.

Identifying good mentors and measuring the effectiveness of the mentoring relationship is more of a challenge in today's knowledge economy than in the past when an individual learned manual skills. Today, knowledge workers need to know how to make decisions--the *right* decisions--that impact their overall business in positive ways. Mentors add value by helping entrepreneurs learn how to approach problems, and how to make smart decisions.

The traditional mentor model is more about a senior executive giving advice to a junior individual. It usually starts by choosing likely candidates who are selected based on their potential for future success and/or as part of some special program. In many cases, it's based more on who they know than any innate talent or potential they may have.

In the entrepreneurial world it's not seniority that drives a mentoring relationship, but rather the skills that individuals have to offer each other. It's not just hierarchical. It's peers helping peers, and knowing specialists that have the knowledge needed to solve specific problems, regardless of age or title. And yes, it's not just the young college graduate that gets in a startup today. Many more skilled 40, 50, and 60 somethings with big ideas are trying to bring them to life in a startup environment. Diversity is also a big part of the scene today and yes; it takes a serious set of skills to work with individuals from different backgrounds.

While having a fixed schedule of face-to-face meetings helps build a mentoring relationship, in today's society the flexibility also needs to be there to have virtual relationships. Mentees in a startup environment often

need just-in-time and point-of-need help. Having modern tools and technologies now allows mentoring to be done in ways that were not possible in the past.

Over the years I've set up a number of mentoring programs in many large corporate and business environments. I've been mentored by both good and bad mentors, and I've mentored others where I have hopefully made a difference. My reason for writing *Mentoring Startups* is simple: to fill a need. You see, while there's no shortage of books and articles that give direction on how to set up mentoring programs and how to build mentoring relationships in corporate environments, there are few if any, that offer effective direction for setting up mentorships in a startup environment and that's where this book comes in.

Mentees in a startup environment often need help in numerous areas. Some of which they're aware of, and others that they may only discover during their entrepreneurial journey. The key lies in learning how to find individuals that can help them learn and improve. It's not just about knowing someone, but knowing how to work with someone in a way that will make a difference.

This book is designed to teach how to do both.

Mentors come from many backgrounds, whether based on personal or professional knowledge, skills, and abilities they can add value and help those they mentor. At the same time, while many individuals want to be mentors and have knowledge that can benefit mentees, they often do not have the skills to do so effectively.

In this book we'll also provide some tools and insights to help make aspiring mentors more effective in how to communicate what they know so they can leverage and share their knowledge more effectively. Finally, we'll look at the unique challenges faced by mentors and mentees, provide some structure on how to build a relationship, and offer some approaches and techniques on how to make those relationships effective and dynamic.

Much of the information in this book is based on my experience as the Senior Vice President of Programming for a high tech incubator known as 1871. Based in Chicago, 1871 was recently ranked as the most effective incubator in the U.S. and the fourth most effective incubator in the world by UBI-Index. During my time there I had the good fortune to see the impact mentors can have on startup companies. In my role at 1871, I led the efforts to build highly effective mentoring programs along with supporting workshops, networking and education on the topics startups needed to address in order for their businesses to be successful.

During my tenure, the mentoring program at 1871 grew from less than 50 mentors when I joined, to over 500 in just two years. Prior to my arrival, mentees had less than 50 opportunities a month to meet a mentor. This created an environment where individuals were trying to get any help they could rather than the help they needed. My first step was to increase the number of mentoring opportunities each person had on a regular basis. Soon 1,200 meetings were taking place each month, allowing mentees to learn with (and from) mentors that had a wide range of skills, in a wide range of areas. And, even more importantly, the quality and the impact of these relationships was able to grow. It was humbling to see just what a difference it made in business paths chosen and results achieved. You just can't overestimate the importance of the right teacher at the right time.

I'm proud to say the mentoring program I nurtured at 1871 continues to blossom today. Mentors come from a wide range of industries including the financial sector, law, marketing and technology. Over 500 mentors supporting over 400 companies, with over 1500 individuals and the numbers of mentees and mentors are still growing. But then, there's always more to learn! And personally I still continue to mentor and be an advisor to a number of companies there today. Once good relationships are built they're hard to walk away from.

This book is a tool to help you set up and build mentor/mentee relationships of your own. It's about providing resources to help make your relationships more effective. It will give you ideas on how to get things going, and will help when things get tense and/or stuck. It is not

about a one-time read to go over and put on a shelf. It's a reference that will help and enrich you as often as you're willing to open it.

When someone considers becoming a mentor in a startup environment they often wonder:

- Do I have the skills that will be effective in helping a startup?
- Will my values be compatible with those of the mentee?
- Will the mentee appreciate what I have to offer?
- What, if anything, will the mentoring relationship lead to?

Some mentors even wonder if they will be able to make money from the relationship. And while events can lead to this it should not be the reason a person decides to be a mentor.

When an individual thinks about finding a mentor, they often wonder:

- How do I find the right person to be a mentor?
- What should I look for in the experience and background of a mentor?
- How will the mentoring relationship work?
- What, if anything, will the mentor want in return?

Some even wonder if anyone would be interested in mentoring them at all.

But what exactly is mentoring, and in our case more specifically, mentoring in a startup environment? Why would a mentor want to invest

their valuable time in companies that are often likely to fail? Why this book? Why now?

Because more people than ever are looking to start their own business and the value a mentor brings can make the difference between success and failure.

To be upfront, mentoring in a startup environment is much different than mentoring in a traditional corporate environment, and unfortunately, individuals that have often been successful mentoring in large corporate environments are not successful in the startup world. There is no set matchmaking, no defined relationship rules, and the overall goals revolve more around success as a startup than how an individual can move their career ahead in an organization.

I hope you find that the insights shared in this book enable you to build helpful and productive mentoring relationships throughout your career and life.

WHAT STARTUP MENTORING IS AND IS NOT

While writing this book, we interviewed² a number of individuals who have been startup entrepreneurs, mentors, and mentees along with other crucial players in the startup environment; angel investors, individuals that run incubators and accelerators, and people who work and write about the workings of the startup world. The number of startups is growing worldwide. Changes in the world related to process, technology, and mobility have opened the door to new opportunities that larger organizations are simply too slow to take advantage of.

Here are some key points related to mentoring from a mentor's perspective:

- **It's not a "transaction," but a way to help people immediately without a specific expectation of benefit in return (#GiveFirst is**

what Techstars calls it).

- **If you do mentor, and mentor well, you get a substantive return that goes well beyond money, many times over.**
- **For some it's an opportunity to return to their entrepreneurial roots and help someone develop and grow.**
- **You get to keep up to date on the latest cutting edge ideas and technologies.** You know that the world of new business startups is constantly changing. Mentoring keeps you on that inside track.
- **You get a first look at interesting companies to invest in as an angel.** If you are an angel investor, why not be right where the action is?
- **You can help shape and build the entrepreneurial community in your area.** *I was glad to see that of the many people I interviewed, there were a majority who gave this reason as to WHY they became mentors. It was gratifying to see that the passion for making a difference and helping others exists in many people's hearts and minds.*

Whether you're a mentor, mentee, or in some cases both, go forward and make a difference.

¹ <http://www.inc.com/jared-hecht/are-small-businesses-really-the-backbone-of-the-economy.html>

² There are quotes from many of them in this book, but the interviews were much lengthier. You can find several of them in full in the Appendix at the end of the book.

Chapter 1: The Startup Environment

*When I'm old and dying, I plan to look back on my life and say
'wow, that was an adventure,' 'not wow, I sure felt safe.'*

~ Tom Preston-Werner

Chapter 1: The Startup Environment

Startup environments are, by their very nature, unpredictable, wild, crazy, fun, frustrating and stressful places to be. Most startups consist of really optimistic, entrepreneurial individuals with a great idea and a dream, and some semblance of a business plan. They're typically strapped for cash, are run on a shoestring with volunteer labor by employees hoping that the business succeeds and they get paid, or get paid more, possibly equity. The startup can be described in two words, "constantly changing."

Mentoring a startup is like teaching a teenager how to drive. You get as much of their attention as you can, share what's worked for you, teach them one or more of the basic skills they'll need, challenge them to learn all they can, and encourage them as they practice. Then hope they figure out how to do it without having an accident or getting hurt. You can't do it all for them. You can only hope to motivate them to learn as much as they can, and do their best.

"Fun! It's when you're in discovery mode. You're trying to make things, to learn things. There's this crazy kind of frenetic energy that you just don't find anywhere else, and there's something really exhilarating about having a vision, about having to figure things out on the fly. Sure it can feel chaotic, but a lot of that just comes from having limited time and not having a map."

~Troy Henikoff –Techstars Chicago

PROFILE: Troy Henikoff

Managing Director of Techstars Chicago. Troy co-founded and was the CEO of Excelebrate Labs before it became Techstars Chicago in 2013. He

is also a Managing Director of MATH Venture Partners, teaches Entrepreneurship at Northwestern University and is on a number of boards including the Chicagoland Entrepreneurial Center. He started and helped advised a host of early stage technology companies including; Sure Payroll, OneWed, Amacai, and Jellyvision. He is a sought out speaker and advisor.

Established corporations have already been through the startup phase. They already have that map. They found what worked for them at some point, latched onto it, and stuck with it. They no longer change on a dime, or change their core culture very quickly. They are often more focused on not failing than trying to do something new and innovative. Avoiding risk is always on the mind of the corporate executive. When and if they do change, it's carefully thought out, structured, and part of an overall long-term strategic plan. Their employees receive a regular paycheck, have a well-defined job description, usually enjoy perks like health insurance and vacation days, and probably have some sort of structured "How to get from new hire to the corporate suite" mentoring program in place.

A corporation is an entirely different animal from the startup. Startups are often in an unpredictable, shoot-from-the-hip, pivot-and-adapt environment where the right mentor can make a huge difference in the level of success the startup achieves. And making the right decision often has more to do with asking the right questions than offering lots of advice.

As much as a corporate mentor has to offer, if they're not familiar with the startup environment--and the inherent change and uncertainty--then mentoring a startup is probably not the best place for them to be.

"I can tell you that I have heard from a number of startups that speaking to a variety of mentors can sometimes confuse startups more than help them. Finding someone who has "done it before" is key. Also, having someone as a mentor who actually thinks differently as startups "Pivot" many times

makes a difference. What they begin with is nothing compared to what they end up with.”

~ Alan Matthew –Tribal Ventures

PROFILE: Alan Matthew

Alan Matthew has been in the investment field for over 40 years. Starting from the ground up, working at the Chicago Board of Trade, and becoming one of the most successful and recognized traders there. Over the past 10 years he has worked with startups and is now recognized for his work in helping and mentoring them. Alan is an angel investor that has invested in over 100 startups, is on the board of a number of them, and has created Tribal Ventures which is a set of funds to help individual investors that want to be successful in investing in startups. He is a sought out speaker and advisor. Startups lineup for the opportunity to meet with him.

WHAT’S THE GOAL? THE IMPORTANT QUESTION

“The difference between mentoring in a corporate and startup environment is that a corporate mentoring program has a hierarchy with structure and direction. Startups are unstructured and have no hierarchy. The person who works in a corporate environment is an employee that goes home and leaves work. An entrepreneur has no separation, their business and personal life are the same. An entrepreneur's business and personal life overlap much more.”

~ Rick Kulow –Senior Entrepreneur in Residence, iLab –University of Virginia Darden School of Business

PROFILE: Rick Kulow

Rick mentors 25 to 40 students and student businesses a month at the Darden School of Business in Charlottesville, Virginia. He is familiar with the challenges startups face.

Rick is a Harvard Business School graduate, and experienced his own startup back in June, 1986, when he founded Bioriginal Food & Science Corp (www.bioriginal.com). Bioriginal is a privately-held, vertically-integrated company that researches, produces, processes, formulates, and packages essential fatty acid (omega-3 and omega-6 nutritional oils such as fish oil) containing products for the Health & Nutrition, Mass Market Food, and Pharmaceutical markets. Their products include oils, blends, capsules, emulsions, powders, and special formulations in both bulk and consumer-ready packaging; the company provides extensive research and marketing support for these products.

By the time he retired and left the company, Bioriginal was recognized as the leading supplier of essential fatty acid (EFA) products in the world. But over the last 20 years Rick has learned and become an exceptional startup mentor.

THE STAGES OF A STARTUP

Startups can go through a number of stages. Some ideas can quickly be turned into concepts that can be tested and piloted. Other ideas take time to test out and play out before an obvious path to success appears or an obvious change is required.

Often, approaches need to be revisited and revised. This is commonly done with an approach known as “pivoting.” Here organizations may shift direction--or, pivot--or take a step back to see if there is a different approach that may be more effective. Pivoting may be helpful or even required at various stages.

PIVOTING

Being able to identify customer segments and the level of interest is key to determining whether to keep going down the same path or to try to come up with something new and different. A pivot happens when a company

realizes that what it set out to do has no market or the market is so insignificant that it cannot make any money from the offering as it exists.

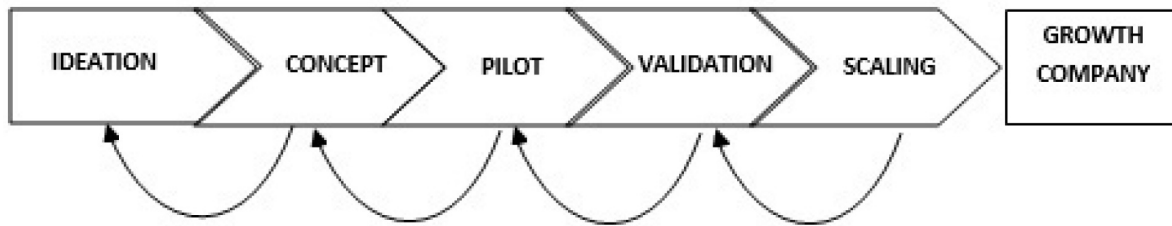
One problem in determining when to pivot or move on is that failure is not always easy to quantify. Individuals often have a dream they are pursuing, and that makes it difficult to know when to give up. Individuals often limp along for a long time before coming to the realization that there is nothing left and that it is better to just move on. The trouble with this scenario is that by this point individuals are so demoralized and depressed that they give up on any other ideas of entrepreneurship and settle for a less than satisfying job in order to pay the mortgage and feed the kids.

Pivots can happen in different areas. The most common pivot is around the product, but pivots can also happen around target customer segments, pricing and sales approaches such as a freemium vs. pay as you go models, funding sources, marketing approaches such as online or retail location, distribution channels such as direct to customers or through resellers, and even technology platforms. Using pricing as an example, you may have a great idea, but will anyone pay enough for it to allow you to be in business? An approach known as "getting out of the office" to see what potential customers think about your offering is another aspect of learning in a startup environment.

For instance, an individual comes up with an idea for a product or service that she thinks can fill a need or solve a problem. This idea is the starting point that needs to be tested with potential customers to see if anyone will buy what the entrepreneur is creating. This is a starting point to determine if moving forward makes sense.

At every stage of a startup, the right mentorship can prove invaluable, but only if the mentor can offer what the founder needs.

STARTUP STAGES:



PIVOTING MAY BE REQUIRED AT VARIOUS STAGES

IDEATION:

A startup comes up with an idea of something that may be of interest to a customer segment. The startup needs to show customers that by using their product or service it will help them solve an existing problem or meet an existing need. Even better If the startup can convince a customer segment that by using their product or service it will make their life easier or better.

CONCEPT:

In this stage the startup needs to take the idea and develop it. The process looks at coming up with a value proposition that defines the features of the product or service. Often referred to as the Minimum Viable Product (MVP), the startup identifies what parts of the offering are minimally needed to get customers to buy.

PILOT:

In the pilot stage the startup has an actual offering to test with potential customer segments. Feedback from the customers in the pilot and concept stages help the startup identify if there is market potential and what might need to be changed before going to market.

VALIDATION:

In the validation stage the startup has a defined product or service and a market segment that will buy. The startup starts to generate revenue and determine what changes can be made to expand on the core offering. Potential add-ons may be identified and secondary services and offerings to supplement the primary offerings are tested.

SCALING:

In the scaling stage other market segments are identified as well as ways to expand in current markets. Additional revenue is generated. A startup must be scalable in order to grow.

INNOVATION

Innovation is key for a successful startup. When I work with entrepreneurs I ask them to walk through an approach to innovation process to see if they can come up with something. The approach asks them to look at innovation from the following six perspectives:

1. CREATE A NEW PRODUCT OR SERVICE

The question: How can a need be met that arises as a result of changing habits or societal needs? For example--families where both parents work would open up services for convenience; grocery delivery, dog walking, or child care. An aging population would open up other opportunities to start a business that did not exist before. Possibly in transporting seniors, helping in understanding medication use, or offering assistance in mobility related tasks.

2. FIND A NEW USE FOR AN EXISTING PRODUCT OR SERVICE

Can an existing product or service that is being used or underutilized be adapted due to the changes taking place around us? Consider Post-It Notes, which were originally underutilized until people realized that they worked great as bookmarks and could stick to items as reminders. It has since even become an app that runs on computers.

3. FIND A WAY FOR AN EXISTING PRODUCT OR SERVICE TO WORK WITH OTHER PRODUCTS OR SERVICES

Look at a product like Arm & Hammer Baking Soda. Originally used for baking, it is now in everything from toothpaste to kitty litter. Somehow, there's something good about not only baking soda, but specifically Arm & Hammer Baking Soda. What does it do for the products it is now in? How can it be positioned as an enhancement?

4. FIND A WAY TO INCREASE THE CAPABILITY OF A PRODUCT OR SERVICE

Look at the Apple iPod, originally designed to play music, then transformed to identify songs, and eventually to let you download them. It made Apple the largest seller of music on the internet. I wonder...is the company still Apple Computer or, possibly Apple Innovation?

5. CREATE AN ALTERNATIVE TO WHAT EXISTS

Looking at technology as an enabler is a helpful approach for startups to take. Think about the movie distribution industry. For consumers that wanted to watch a movie, they at first had to go to a larger theater. They had scheduled times where the movies would play and fixed locations along with an atmosphere that some liked and others not so much. Then you had mom and pop video stores, which were quickly replaced by large chains like Blockbuster and Hollywood Video. Remember them? They won by being everywhere, and then along came a new technology...the disc. Away went the VHS tape. Victory for the DVD makers! Only, fast forward a few more years and Netflix had the foresight to trounce everyone. They didn't have to be everywhere, physically. They leveraged the US Postal service as a delivery channel. They took a 180-degree change of direction and were successful. No stores, no real estate costs. Even further along, now you only need a digital channel and bandwidth to stream the content.

6. MAKE A MISTAKE AND CONVINCE THE WORLD THEY NEED YOUR MISTAKE

How many of you knew of erectile dysfunction before you heard of Viagra? This was truly a major play in convincing a population they needed something. Most of the population probably had never even heard of erectile dysfunction before. Oh, and the four-hour warning? How much more does that intrigue you? All that hubbub, from a heart medication that did not work, but had interesting side effects. You never know, watch out for those side effects and what they can lead to.

Look at things through different lenses and you can identify potential opportunities and their starting points.

THE STARTUP ENTREPRENEUR

Steve Blank and Bob Dorf define a startup as an “Organization formed to search for a repeatable and scalable business model.” In this case, the verb “search” is intended to differentiate large, i.e. highly valued, startups from small businesses, such as a restaurant operating in a mature market. The latter implements a well-known existing business strategy, whereas a startup explores an unknown or innovative business model in order to disrupt existing markets, as in the case of Amazon, Uber, or Google.

Blank and Dorf add that startups are not smaller versions of larger companies: a startup is a temporary organization designed to search for a product/market fit and a business model, while in contrast, a large company is a permanent organization that has already achieved a product/market fit and is designed to execute a well-defined, fully validated, well tested, proven, verified, stable, clear, unambiguous, repeatable and scalable business model. Blank and Dorf further say that a startup essentially goes from failure to failure in an effort to learn from each failure and discover what does not work in the process of searching for a repeatable, high growth business model.

There is often a perception that all startup entrepreneurs are young college dropouts. While this may have been common in the past, it is simply not true today. In fact, the profile of the average startup founder seems to be changing more as time goes on. According to research by Vivek Wadhwa,

an academic and tech entrepreneur, the average age of successful startup founders in biotech, business software, and other high-growth industries is 40. The Kauffman Foundation indicates that the highest rate of entrepreneurship in America has not only shifted to the 55-64 age group, but that people over 55 are almost *twice* as likely to found successful companies as those between 20 and 34. Often individuals involved in a career change are at a point where they want to try doing something on their own.³

These Individuals were never in a position to make more of their ideas and talent than their jobs allowed. Even retirees with one career behind them are getting involved in startups, often starting out as angel investors who can capitalize in a big way with the skills they have developed over the years. In some cases, individuals want to make a personal investment. Other startup founders just want to create something new and see what they can accomplish.

Technological capability and apps that make it easier for individuals to connect and share ideas are growing and with organizations such as Meetups (<http://www.meetup.com/>) and Co-Founders (<https://www.cofounderslab.com/>). It's never been simpler to find people. You just want to make sure you find the *right* people.

There are a lot of startup stories and legends out there that make their founders look downright mythic: Jobs, Gates, Branson, etc. And yes, they are outliers in many ways, but there are certain generalities that anyone interested in startups should keep in mind:

- **Resources are scarce.** You will not have others to do the work like you would in larger organizations where there are more defined roles and responsibilities. Individuals need to be willing to go beyond what they would normally do. You need to be willing to do whatever it takes. A technical person may need to do sales and a sales person may need to learn how to code or build a website.

- **Change happens quickly.** You need to be ready to move in a different direction. Remember “pivoting?” Things will be trucking along just fine and then boom! You might need to change direction and shift focus. Also, bear in mind the concept of failing fast — the art of moving on from going in the wrong direction. The key is to quickly learn from failure, not to avoid failure at all costs, which you might not have control over. Think of it as being able to move forward faster.
- **People come and go just as quickly.** Anyone who is trying to find the right thing may change quickly. Keep this in mind as you look for startup partners as well. What looks like a deal that may come through may disappear. Just as quickly, a new contact or opportunity may pop up. Going to networking events early in the morning and in the evening and looking for the right kind of contacts is part of the process. Yes, there is some luck, but you need to put in the effort to take advantage and improve your odds of getting your share of the *good* luck.

Now it’s time to start getting into the actual nitty gritty of mentorship.

MENTORS

Finding good mentors can be a challenge. Again, I can’t overstate this: mentoring in a startup is very different than mentoring in a corporate environment. I often see individuals who have been very successful in Corporate America working for large firms, recognized for their mentoring in behemoths like Motorola and IBM. But then they fail miserably when it comes to mentoring startups.

Some of it depends on their motivations.

Many successful people who built their own startup want to give back by mentoring. They have made a few exits (sold their businesses) and want to stay engaged in the startup world. Others are looking to make an investment in the companies they mentor. Not only from a financial, but often also based on the knowledge or skillsets they have that they feel can

help the startup. I have also seen individuals in disguise, offering to help startups, but in the end only trying to sell them some product or service. With the desire to be successful, startups can at times be vulnerable as well.

Mentees need to be aware of this vulnerability. Fortunately, it's pretty easy to spot these people, and in the startup environment, word spreads quickly. Remember startups are different from traditional businesses primarily because they are designed to grow fast. They're scalable by design. This means that they have something they can sell to a large market. For most businesses, this is not the case. Generally speaking, to operate a business, you don't need a large market. You just need a market that you can reach and serve. Today, businesses can easily reach a large market because people can buy their product or service regardless of their location. Physical space is not the issue it was in the past. Most startups are not constrained by time and geography, and this really sets them apart.

FAILING FAST

While the concept of failing in any context has a negative connotation associated with it, there are times in a startup environment when not only failing, but failing fast can be the quickest and least expensive way to learn and in many cases the shortest path to success. In a startup environment where resources are often limited there is only a short runway (amount of time and money) for the entrepreneur to be successful or pack it up and go home.⁴

That said, let's look at:

FUNDING

Many people get an idea and want to develop it before they know if there is a demand for the product they want to create and market. I get it, it's an exciting time in those moments and days after you get that flash of insight! Individuals tell a few friends and neighbors about their idea (dream), and

the friends and neighbors want to help so they give them some money to get started. Not always because they think the idea is good, but because they care about and believe in the person wanting to start their own business. The money they receive from family and friends is often referred to as “love money.”

Love money in hand, the entrepreneur is now off on their venture, developing the product or service they feel will change the world. The problem with this approach is that there is no solid knowledge of whether anyone is willing to pay for what the entrepreneur is developing. In the past this approach was referred to as the “build it and hope they will come” approach to starting a business. This model rarely works. The founders often have to address the challenge of what to do when the love money runs out. There’s only so much love to go around once there are dollar signs attached to it.

And now, here’s how a potentially sticky situation develops: an entrepreneur has taken their family’s and friend’s money, so they feel the obligation to give it their best effort no matter what. Stopping, or admitting that the product or service is not viable is not an option--*I don’t want to let everyone who believed in me down!*--so they keep on pushing because of the obligation they feel to make something of the money that was trusted to them. This often leads to frustration and disappointment when an entrepreneur sticks with an idea or a concept for too long *after* seeing that there is not enough of a market to support the company. It often puts a strain on the very relationships that are most important to the entrepreneur.

Major corporations and established businesses have revenue coming in from sales. They have the money to sustain their operations and develop new products and services. They are working with a larger acceptable margin of error. Startups are often pre-revenue and must rely on individuals that believe there is a viable business opportunity being developed. A startup’s expenses are often greater than its revenue, and in many cases there’s no revenue at all! Its existence depends on individuals that have faith in the venture’s eventual success.

In some cases, a startup entrepreneur has saved some money and can fund his or her own company. This is often referred to as “bootstrapping” and can be an effective approach *if* there is enough money to keep the business going until revenue from sales starts coming in. The founder keeps all the equity and there are no investors to answer to. Unfortunately, most founders are not in this position and need to rely on others for funding. Here are some common sources of early funding:

- We briefly discussed this, but friends and family money is known as “Love Money.” Those who care about you may not know much about what you are doing, but believe in you and want to see you be successful. They’re willing to take a chance on you and support your efforts. This gives you the seed money you need to get started. While it can help, it can also lead to issues with relationships. I’d suggest having clearly laid out what they will receive in return for their investment. Is it a loan that will be paid back with interest? Does it give them equity in the company and if so how much? It is best to make any expectations clear upfront. Success can lead to as many issues as failure if this is not addressed upfront.
- On reward crowdfunding sites like Kickstarter (<https://www.kickstarter.com/>) and Indiegogo (<https://www.indiegogo.com/>), people can post what they are trying to accomplish in the hope of attracting individuals to contribute money to help them raise funds to develop their product or service and to support the cause they are working toward. Early on, the only rewards for supporting this kind of effort were a token of appreciation such as coffee mugs and t-shirts and maybe even a dinner with the founder if you donated enough.
- With the passage of something known as the JOBS Act there is a provision which is opening up crowdfunding support for individuals to receive actual equity in the company for their support. Equity Crowdfunding is now in place federally and also in some states, and will continue to grow. On sites such as weFunder (<https://wefunder.com/>) just about everyone can invest in a startup company, as compared to the past when only accredited investors (individuals that have a net worth of over \$1 million, excluding the value of their primary residence or an income of

over \$200K per year in each of the last two years or if married a combined income of over \$300K per year) could only do so. This new option gives startups a new channel to raise funds and investors an opportunity they did not have in the past.

The Jumpstart Our Business Startups Act or JOBS Act went into effect May 16, 2016. It is a law intended to encourage funding of small businesses in the United States to help businesses grow and to create more jobs. It eases a number of securities regulations so a larger number of individuals can make investments. The new Equity Crowdfunding and the JOBS Act are seen by many as major game changers in how startups will be funded and who will be able to invest in them.

- Angel Investor or angel groups. An angel investor could be someone with an interest in what a company does and who's willing and able to provide a significant sum to help the company get to the next stage. An angel group is a group of investors that has an interest in a company and where the members can pool their money or individually make an investment. Investments sometimes start with an interest bearing note which converts to stock at a discount at a set point in time. A common example would be a note paying 8% interest which is convertible in a year for stock at a 20% discount. Angels are often seen in raising \$200K -\$500K as a guideline. Angels invest their own money.
- Venture Capital funding generally comes in when companies have shown they are viable and have some paying customers. While they may not be profitable they are showing they are viable and have an opportunity to grow. You may hear the terms "Series A, Series B, Series C," etc. These "rounds" help the company continue growing and developing their products and services. Earlier letters like "A" denote earlier rounds. The investors in these rounds may also bring skills to support the startup such as in strategy, technology and marketing. The rounds can continue until the firm is generating enough revenue to support its growth and continued development.

With venture capital, the funders also tend to have a more active role in helping the company become successful, whether by providing introductions to potential new customers, helping with defining and refining product offerings, making introductions to key individuals and potential customers, etc. VC's invest other people's money and generally charge management and success fees. An example would be 2% with a 20% carry. What this means is that two percent of the amount invested will be charged as an annual fee and once the investor gets back their original investment the VC also takes 20% of any gains achieved.

Venture capitalists also need an exit strategy, since they're intending to maximize their return on investment and are not interested in earnings from ongoing operations. The exit usually occurs when another company acquires the startup. Or in some cases the startup company goes "public," meaning the company becomes listed on a stock exchange and its stock is traded publicly.

If you'd still like to be running the company in 10 years' time, you're probably going to want to ensure that your exit plan involves a steady revenue stream that allows you to pay off investors, an IPO instead of a buy-out, or simply opt for a different strategy -your own funds, or loans and grants, either private or governmental.

"Exit strategy" development is something to keep in mind as you grow your business. There are a number of possibilities, but the primary one depends on how long you personally want to be involved in the business.

LEAN

A "lean" startup focuses on speed and efficiency. Eric Ries, a Silicon Valley entrepreneur pioneered the concept and also has a popular book on the topic (*The Lean Startup*). Lean startups design products or services with minimal features. The idea is that rather than spend a lot of time and money to bring a product to market it is better to bring a simple version to market. This is also known as the minimum viable product (MVP). It helps gauge customer acceptance by getting feedback, almost like a focus group. It is an iterative

process of improvement with a continuous cycle of feedback that incrementally makes changes based on customer input. Accumulating and testing customer reactions saves time and money in the overall development process. Depending on the product being built, customers will ideally feel an obligation to make the product more successful, which means the companies can build their loyalty as they keep involving those customers in different stages and showing that they're responding to their feedback. The hope is that by being part of the building process with their recommendations included, there is a better chance they will buy into it.

A/B testing is an example of a tool used to help quickly determine viability in the customer feedback stages. In an A/B test, you offer different versions of a product to customers at the same time to determine which version they prefer and why. Learning "why" helps understand what customers needs and wants are with the goal of leading to increased visibility and sales.

MINIMUM VIABLE PRODUCT (MVP)

A minimum viable product has just those core features that allow the product to be deployed, and no more. The product is typically deployed to a subset of possible customers, such as early adopters who are thought to be more forgiving, more likely to give feedback, and who can grasp a product vision from an early prototype or marketing information. This strategy hopes to avoid building products that customers do not want, while maximizing the information learned about the customer per dollar spent.

Here's a common definition: "A minimum viable product is that version of a new product which allows a team to collect the maximum amount of validated learning about customers with the least cost and effort." The definition's use of the words maximum and minimum means it is decidedly not formulaic. Good judgment is critical to determining which MVP makes sense. Getting out and meeting with potential customers is the key to getting an MVP right.

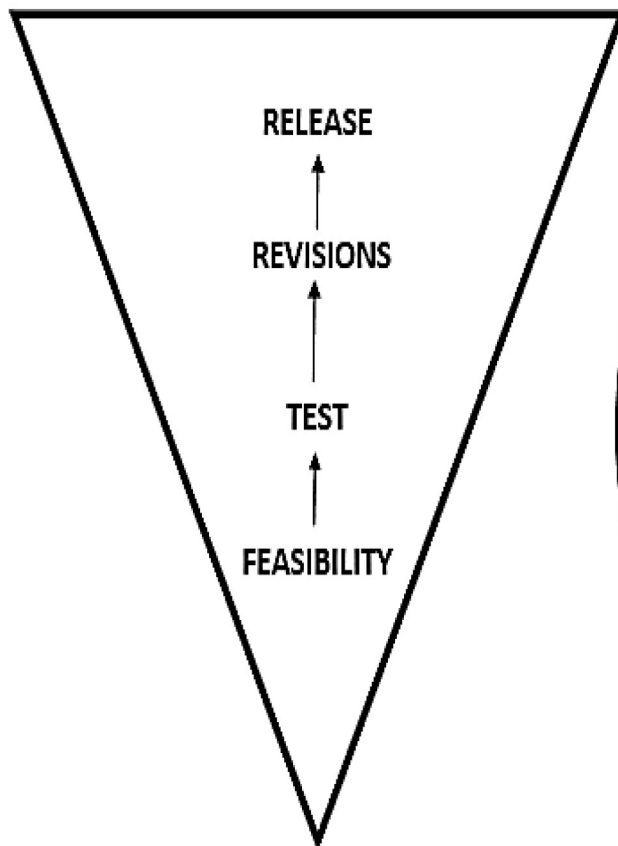
In the past, companies would often build a product or service to the point where they thought it was near perfect before launching it and letting their

potential customers see and experience it. That approach is costly, since what they built was often not what customers wanted. Today the approach is to start out with a basic version of a product or service, get customer input along the way, and continue to build and improve the product.

PRODUCT / SERVICE DEVELOPMENT APPROACH:

PAST – TRADITIONAL MODEL

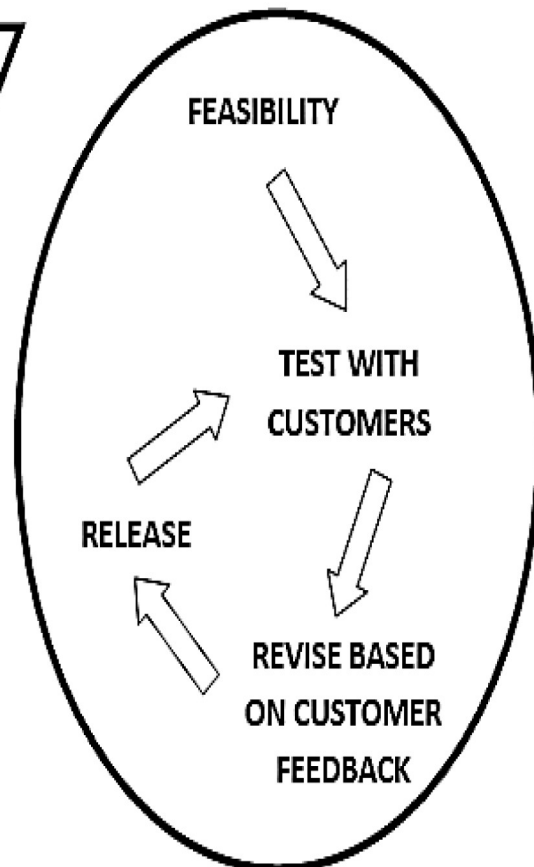
\$\$\$ - COST BUILD - \$\$\$



Costs build as a product/service is built and developed. Product is not released until it is felt the consumer would be accepting of it.

PRESENT – MINIMAL VIABLE PRODUCT (MVP)

\$ - COSTS ARE MINIMIZED - \$



Costs are minimized as a product/service is built to minimal standards. Revenue is generated along the way. Upgrades and improvements are made along the way.

WATERFALL VS. AGILE DEVELOPMENT

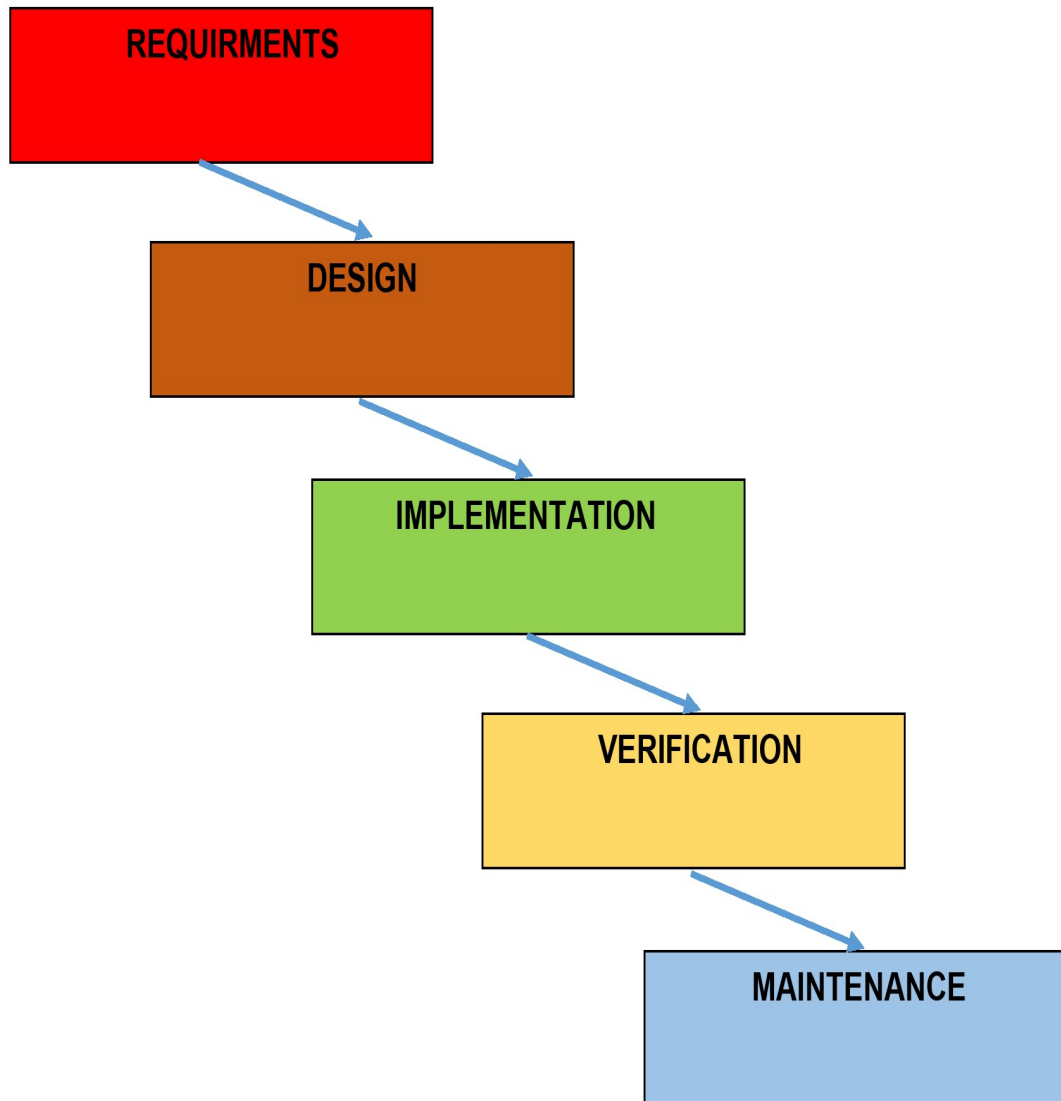
The methodologies and processes of creating an MVP in a startup environment are also different than in a traditional organization. In a traditional organization development is a step by step process from beginning to end. The process is known as “waterfall.” Here, one step is based on the previous step and what was done there. This takes time and money to get to the end point before identifying the viability of the product and potential customer acceptance.

In a startup, a more common process is known as “agile.” In an agile approach small steps are taken in an ongoing iterative process which continually gets feedback from customers and other stakeholders on the direction and development of the product or service.

A comparison of the traditional waterfall development process with the agile development process used by startups shows how very different they are today as compared to in the past.

TRADITIONAL WATERFALL DEVELOPMENT PROCESS:

One step is based on the previous step.



AGILE DEVELOPMENT PROCESS:

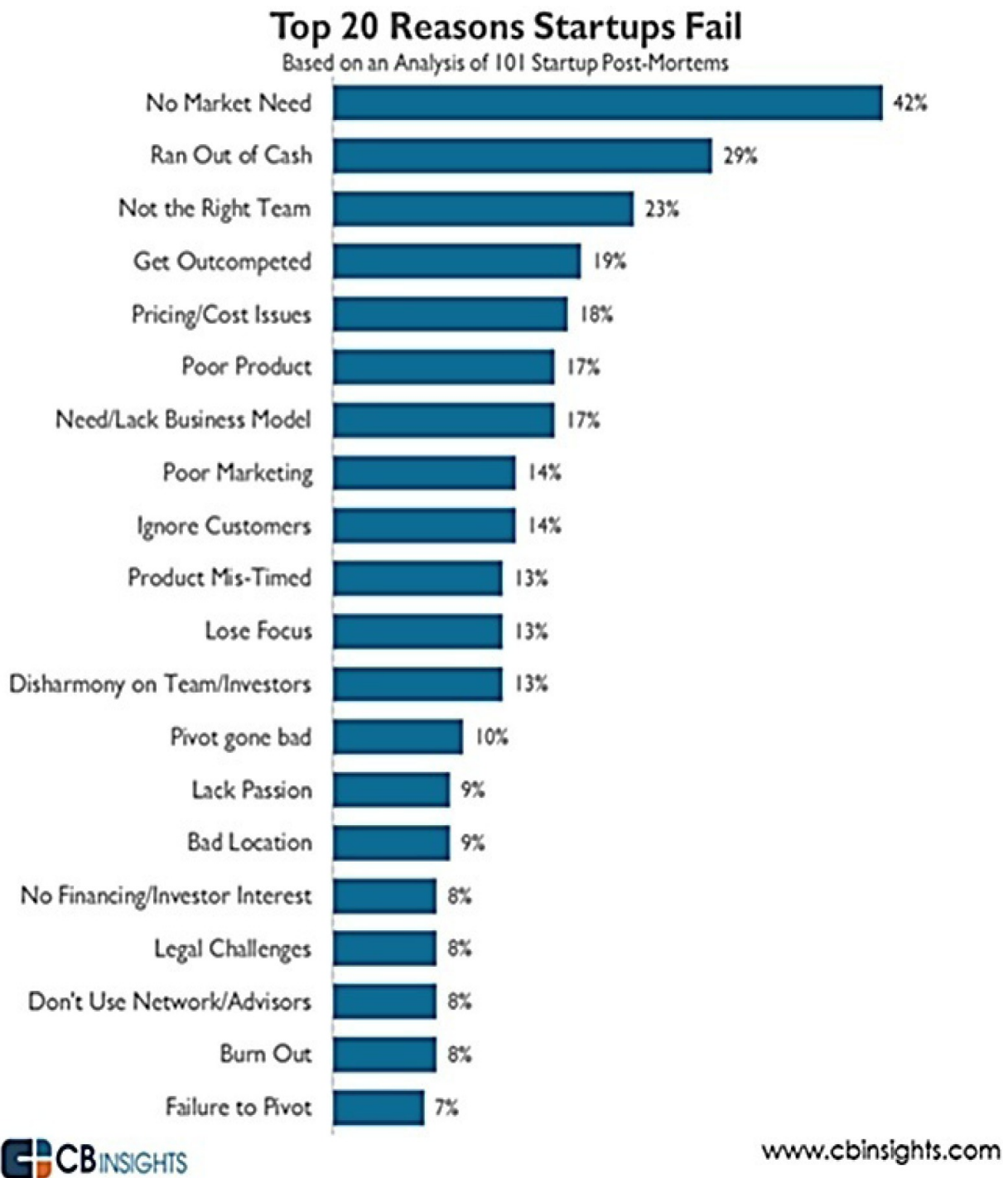
An iterative process where feedback is continually received and the product or service is adjusted based on the feedback that is received along the way.



Another factor that hampers individuals from knowing when to move on is the emotional factor. Even when the data obviously says it's time to move on, no one wants to give up and admit they made a mistake. Pride is a tough thing to overcome. As many would say, no one wants to admit their baby is ugly. Individuals will continue to work hard and put in 80 hour weeks even when it's past the point of any chance of success.

One organization, CB Insights, came up with the Top 20 Reasons Startups Fail. Looking at the list gives you an idea of why failing fast is a good thing. For example, the number one reason startups fail is that there is no market for their product. In this case, it accounts for 42% of the failures! The sooner a startup realizes this, the better. Less time, money, and energy

are wasted and the entrepreneur is allowed to move on to a new, hopefully better-researched opportunity.



Many well-known startups have pivoted multiple times before becoming successful. Here are a few examples:

YouTube --Founded in 2005, YouTube began as a video dating site called "Tune In Hook Up," similar to HotOrNot.com. When the site failed to gain traction, the founders scrapped the idea, and instead focused on simply sharing videos online. Its exit: Acquired by Google for around \$1.65 billion in stock.

PayPal --PayPal originated as a way to exchange money via Palm Pilots. Peter Thiel is credited with seeing the potential to solve a much larger problem -an easy way to transfer money online. After securing a relationship with eBay, PayPal was soon handling over 40% of eBay transactions before being acquired by the company in 2002 for \$1.5 billion.

Groupon --Sometimes the idea can be completely right, but the target market completely wrong. Founded in 2006, The Point, as it was known then, began as a platform for mobilizing groups of people towards action for various causes. Groupon was initially just one subset of another site, (even launching at groupon.thepoint.com). In 2016 Groupon did over \$3 Billion in sales.

Twitter --In 2006, podcasting startup Odeo was quickly made irrelevant after the release of iTunes and other competition. Seeing the writing on the wall, Twitter began as a side project originating from “hackathons” to identify viable new opportunities. As of 2016 Twitter has over 313 million users monthly.

CUSTOMERS

Without customers you have no business. The quicker you can validate your offering, the sooner you will know the interest of the marketplace.

In the startup world, the entrepreneurs can rarely spend the time, and do not have the money, to fully build out a product or service before they can get the market's feedback. Remember the MVP approach discussed previously.

The goal is to find customers, give them what they want, and most importantly, get them to pay for it. Many freemium models fail to deliver when a cost component is added. The right pricing model is important. Also, knowing the cost structure and how to alter it to make a profit will determine how successful the startup will be.

It starts with finding a customer segment and understanding the needs and characteristics related to it. It grows by adding new features that the customer will pay for. Remember, it's about growing the customer base you have by adding new features or coming up with new products that existing customers will buy. It continues by finding new segments that will buy what you already have

Knowing how to sell and where to sell is more important than ever. It's no longer just face-to-face. Knowing how to connect with customers through electronic media is essential. Having an app, knowing how to market on a web site, and building an SEO (Search Engine Optimization) strategy are no longer options -they are part of modern business. The Internet took manual things and moved them online to the 2.0 environment. There are now ways to reach customers that never existed before.

GROWTH --HIRING YOUR FIRST EMPLOYEE

Personnel growth is also done differently in the startup world. The founder--who by default is basically the Chief Human Resources Officer--is generally unprepared to do this. A big step is determining if you can afford employees. Sometimes you can't *not* afford them because of the skills they bring to the table and the headspace and time and focus they could free up for you, which you may have been dedicating to the problems when it would be better to delegate them to employees, *if* employees are a workable option.

Determining how to pay a person--with equity, cash, stock options, etc.--are all questions a founder needs to learn about and where a mentor can help provide some insights.

THE BOTTOMLINE

Knowing how to navigate all of these factors add to a startup's bottom-line, and mentors who have *been there before you and successfully done what you want to do* can be the key to your success . . . if you have a process for:

- 1) finding good mentors.
- 2) working with your mentors effectively.
- 3) listening to mentors and applying their wisdom.
- 4) sustaining effective relationships with your mentors so that you are able to realize the benefits of having them.
- 5) giving back, either directly to your mentors and/or *paying your learnings forward* to others inside and outside of your startup and into the community or communities you impact.

So let's get started. In the next [chapter](#) I'll share with you the first step-- finding good mentors.

³ TRoya Wolverson. TIME. Ask the Expert: The Best Age for a Startup Founder. March 14, 2013. <http://business.time.com/2013/03/14/ask-the-expert-the-best-age-for-a-start-up-founder/> November 25, 2015, and Whitney Johnson. Harvard Business Review. Entrepreneurs Get Better with Age. Harvard Business Review. June 27, 2013. <https://hbr.org/2013/06/entrepreneurs-get-better-with>

⁴ Vukotich, George. Chief Learning Officer Magazine. Why Failing Fast is Good for Business. December 23, 2015. <http://www.clomedia.com/2015/12/23/why-failing-fast-is-good-for-business/>

Chapter 2: Finding Good Mentors

The dream begins with a teacher who believes in you, who tugs and pushes you to the next plateau, sometimes poking you with a sharp stick called truth.

~ Dan Rather

Chapter 2: Finding Good Mentors

Mentors bring knowledge, skills, and possibly the wisdom that comes from experience to a mentoring relationship. Good mentors understand the challenges mentees face, and help them learn how to think and make decisions based on sound judgement. Mentors teach mentees how to be better. Many mentors will tell you they have had failures along the way, and while they hurt, they have learned from them and become better. Failure itself is not a good thing, but the learnings from it can help us be even more successful going forward.

MENTORING IN AN ENTREPRENEURIAL ENVIRONMENT

While mentoring takes many shapes and comes in many forms, the context is important. First, consider the environment that mentoring takes place in. An individual that may be a great mentor in one environment regardless of their skills and background may not be effective in another. Just because an individual has been successful in a structured mentoring program for a Fortune 500 corporation, does not mean an individual will be successful mentoring in a startup environment. After seeing this and living through it a number of times, I felt it was important to address mentoring in an entrepreneurial environment, and share many ideas and insights related to the overall effectiveness as a mentor and mentee (yes, I'm going with mentee as a word although protégé would be more appropriate in a larger environment, a small attempt at disruption in the spoken word).

The essence of mentoring is teaching and helping individuals learn how to be better. It's about the mentor sharing insights which are often based on experience, but the challenge that sometimes comes up in entrepreneurial environments is that the ideas and areas of opportunity are new and may

not have an extensive knowledge base of what has or hasn't worked in the past. The relationships at their core are about helping; by sharing knowledge, teaching skills, and developing abilities. It's not just about a mentor giving answers to the mentee. It's often what comes only with the wisdom of experience and the insights that are learned from interacting with others. It's something no simulation, case study, or book alone can provide.

Mentors often learn from the process and interactions as well. A mentor can help a mentee in ways that include:

- Being a role model
- Brainstorming ideas
- Developing concepts
- Listening for insights
- Acting as a sounding board
- Providing feedback on approaches taken
- Looking at ways to pivot
- Reviewing what happened and identifying lessons learned
- Making introductions to others that can help

Mentoring in large organizations is, more often than not, based on helping employees prepare for greater roles within an organization. In a startup entrepreneurial environment, mentoring is usually more about survival and growth than career development. An additional point is that now with the growth of startup incubators and accelerators, there are many more opportunities to connect with individuals that have startup experience and could be helpful peer mentors.

A second point in addition to the environment is the skills of the individuals doing the mentoring. We will address some positive approaches as well as point out some things that, while they work in other environments, do not work in the arena of entrepreneurial startups.

A third point is the importance of mentees using the resources mentors provide in the right way. It is important to see and work with the right

mentor at the right time. As you go through stages of growth, and times of pivot, you will want to get the right person with the right insights and skills at the right time.

The fourth major point relates to tools that can make the relationship more effective. A lot of meeting time can be wasted on generalities, that while making for a pleasant conversation, don't move a business ahead. So incorporate the use of some common tools that are already used in many startup environments as well as add a few that you may not have seen before. The goal is to make your interactions more effective. And while we are focusing on the mentoring aspects, keep in mind the power of building an entrepreneurial eco-system where communities of practice develop and individuals can learn from each other.

MENTOR MATCHING

Unlike corporate environments there is no formal program to set up a matching process. The screening and matching is more often done on trial and error and by personal introductions. Hopefully, with time, individuals find others with the right experiences, relevant business insights, common values and personal styles that they are comfortable working with.

Often the biggest challenge in a mentoring relationship is how to communicate the lessons learned and the wisdom gained from experience. The challenge for the mentor is how to explain the right thing, at the right time so it has the most impact. For the mentee, a challenge is how to listen to learn and be able to apply the knowledge to the situation they are in. Often the value of a mentoring relationship is not realized until long after the investment in time and effort has passed. The key is to have productive interactions that lead to action.

Expert mentors can help. Having a network of experts / mentors to draw on is important. Knowing how to work a mentor / mentee relationship is a skill that goes beyond the basic skills individuals have.

Linda Darragh, Executive Director and Clinical Professor at the Kellogg Innovation and Entrepreneurship Center at Northwestern University has said she doesn't particularly even like the word "Mentoring." She prefers to focus on finding someone you admire and with whom you have chemistry, working on that relationship and then, "If it's right, it can eventually turn into a mentorship."

PROFILE: Linda Darragh

Linda oversees strategic initiatives at Northwestern University's Kellogg School of Management. She has revised the curriculum, expanded the faculty and increased the engagement opportunities for students and over 35,000 alumni with respect to entrepreneurship since the fall of 2012. Darragh also teaches several courses focusing on launching student businesses, and serves as the Executive Director of the Levy Institute for Entrepreneurial Practice and the Heizer Center for Private Equity and Venture Capital.

She also serves on the boards of the Chicagoland Entrepreneurial Center/1871 and the Illinois Science & Technology Coalition. Darragh co-founded Impact Engine, an accelerator program that supports non-for-profit businesses making the world a better place. Prior to joining the Kellogg faculty, Darragh served as the Director of Entrepreneurship Programs at the University of Chicago Booth School of Business.

It starts with building a relationship based on trust where individuals understand what the purpose of the relationship is. Creating an environment of collaboration and setting expectations is important, but it is also important to show interest, set goals, and put a measurement system in place to evaluate how progress is being made.

ENTREPRENEURSHIP AS A WAY OF THINKING

Mentees should realize that everyone is a resource. Everyone has challenges as well as resources. An entrepreneur can't know everything. They need to find and build a network to help get things done. An entrepreneur needs to focus on their strengths. They need to build a hierarchy of what to do --prioritize what needs to be done and identify who can help them. Look for people that are or have been where you want to be.

You need to develop what I would term “a spider sense.” This involves the ability to sense what is going on in the environment and see danger so you can avoid what could happen. This will help you discern what is good for your business from what is not, and those people that want to help from those just looking to take advantage of you.

You also need to be open to learning and learning continuously. Additionally, you need to make decisions more quickly. You can accomplish this by learning from your past experiences and the experiences of others. Get better by paying attention to not only what happens, but why it happens. When getting an answer, ask Why? at least three times in your mind to get to the root cause of why something is happening.

As a mentee look for mentors by asking yourself questions like: What kind of mentor do you want? Where do the types of mentors you want spend their time? Additional tips include:

- Be ready with your elevator pitch.
- Control your environment. Everyone has "buttons" that get to them. People react in certain ways to certain situations. ---e.g. FEAR, some react by backing off, others react by taking charge.
- Be self-aware. Don't get caught up in the moment.
- Stay in the present.
- Focus on continuous learning.
- Know what you want out of a situation.
- Take the time to create your mission, vision and values.
- Develop an entrepreneurial way of thinking. Look for ways to make things better, faster, and cheaper.

- Get away from "shoulds." Don't do something because you have someone else's voice in your head. Do things not because you think you should, but because you "want to."
- Be aware of the plan and strategize around it. --Stay focused.
- Why are you here now?
- Don't make it hard for the mentor to say what he wants to say.
- Ask questions of your mentor to gain understanding.
- Use analogies if needed.
- Listen to learn. --Don't argue a point just to defend yourself.
- Analyze your options. Ask your mentor how to look at and evaluate your options rather than asking them which option to take.

MORE ON MENTOR MATCHING

There is a lot to consider when signing up for a long-term mentoring relationship, and we'll get into it in more detail in subsequent chapters. But for now, at this early stage, here are some preliminary thoughts to prime your brain for what's coming:

GENERATIONAL CHARACTERISTICS

The differences between generations can create challenges for people working together. While the characteristics and makeup of an entrepreneur are the driving factors, there are some general perceptions that are worth keeping in mind while preparing for a mentoring relationship. It's often better to understand what the generational differences are rather than to try to change them. The concept of understanding the differences between these groups is often referred to as generational intelligence.

A look at his handy grid will better frame the perspective I want you to see:

CHARACTERISTICS OF GENERATIONS:

	TRADITIONALISTS (1900-1945)	BABY BOOMERS (1946-1964)	GENERATION X (1965-1980)	GENERATION Y (MILLENNIALS) (1981-2000)
APPROACH TO WORK	One lifetime employer (loyalty)	Hard-work brings rewards (promotion)	Look at work/life balance	Gap periods, work to live
VIEW OF AUTHORITY	Promotion by following orders	Promotion by doing current job well	Skeptical of authority	Based on who has the skills not the position they are in
SOCIAL	Depression Era (shortages)	WWII Era (growth, abundance)	Gulf War	Terrorism
TECHNOLOGY	Television	Personal computer	Internet	Social Media
APPROACH TO MENTORING	Craft, learned from those around you	Growth of union programs	Growth of peer mentoring	Networked mentoring

Not only have attitudes toward work changed, but our global interconnectedness to others now makes a difference in how individuals work with and view each other. It has also changed the mentoring game. Remote mentoring and virtual mentoring are now easily doable. There has

also been a shift from the “Boss Knows All” viewpoint. You may no longer need to depend on your boss for answers. Now we can turn to peers and anyone else in our networks--online and off--for help. The rise of tools like LinkedIn allows you to see who an individual is connected to and to leverage that contact to gain access to individuals with expertise.

CULTURAL DIFFERENCES

In today’s working world, it’s important to understand that individuals will have wildly differing backgrounds, and may have vastly different values than their mentors. One culture’s methods of decision making and communicating may seem unusual to any other culture, and vice versa. The key is to find commonalities that you can build relationships on. Honestly, there’s no downside to learning everything you can about the backgrounds and cultures of the people you work with.

Geert Hofstede has studied individuals from different cultures and looked at characteristics along five dimensions. Long-term relationships are built on trust, and it can take a long time to get there, even when everyone shares a similar background. Understanding certain cultural views can help get the relationship off to a good start.

Let’s take a closer look at Hofstede’s analysis:

HOFSTEDE’S DIMENSIONS OF CULTURE:

INDIVIDUALISM vs COLLECTIVISM

Individuals from some societies, like the U.S., are expected to be more independent and self-sufficient than other societies such as Japan, where the society is seen as being more collective in impacting each other.

LOW POWER DISTANCE vs HIGH POWER DISTANCE

This is the degree to which less powerful members in a society accept that power is distributed unequally. In the U.S. all are seen as equal whereas in some societies like those of India it is accepted that there are

different levels of power and authority. A hierarchical environment vs. a flat environment.

ACHIEVEMENT ORIENTED vs NURTURING ORIENTED

In the past this has also been referred to as masculine vs. feminine and describes the difference of achievement being valued instead of the nurturing and cooperative nature of the relationship.

LOW UNCERTAINTY AVOIDANCE vs HIGH UNCERTAINTY AVOIDANCE

Here it is the degree to which members of a society are comfortable or uncomfortable with uncertainty and ambiguity.

SHORT TERM ORIENTATION vs LONG TERM ORIENTATION

Some societies are more focused on traditions and following norms than others. Here change is often seen in different ways; those with a short term orientation are more open to trying new and different things in different ways. Those with a long term orientation tend to be more accepting of what is currently in place and slower to make change happen.

You can probably see the application of these dimensions to the mentoring process. Understanding and respecting what an individual values is a key to building a trusting relationship.

Mentoring is one of the most powerful tools in helping individuals develop talents and skills, and it's worth doing right. But to do it right requires a willingness to truly understand who is sitting across the mentoring table from you.

FINDING THE RIGHT INDIVIDUALS

Keep in mind that finding the right mentors at the right time will also change based on the stage of the startup's development. While there may be some specialty areas related to specific topics; manufacturing process, geographical considerations, and political connections, it can also help to build a matrix to help identify areas of need, just so you can see it all in one place. Then specific individuals with specific skills can be sought out.

Technology, as usual, makes it easier. Look up a potential mentor on Google, LinkedIn, or any other site and you'll be able to see where they work, their work history, and their industry or association affiliations. See if there is anything in common with your personal interests that you could use as a way to make an introduction and build a foundation for a potential relationship.

Ask yourself, "Which needs do I definitely have?" This will help you target specific mentors.

DO YOUR RESEARCH

This is a step that is almost impossible to overdo. If you have a clear vision for your company, you should have an equally clear vision of potential mentors. Think about it. How are you going to find the right people to help you unless you know exactly where you're going? Sure, you'll have to change and adapt, but at the outset, you have to have a plan.

"From the outside it's this sexy, sleek, thing. But when you're in it—and you've got to plan on being in it for years—when you're really down in the guts of the thing, it's a constant grind and a gut check. You're going to know if you asked all the right questions in the planning stage, and you'll save yourself a ton of time and headaches if you can get in the habit of doing exhaustive research."

~RJ Pahura –Venture Connects

PROFILE: RJ Pahura

RJ is the CEO of Venture Connects @VentureConnects a startup and investor community designed to provide impactful resources to businesses seeking outside funding, as well as for accredited investors seeking qualified and vetted deal flow through an online platform. He is also the founder of the FUND Conference @FUNDConference which bridges the gap between early stage investors and growing companies.

It's clear enough. Google your potential mentors. Review their LinkedIn profile. Find them anywhere and everywhere you can think of. Is there anyone in your existing network with connections to someone with the skills you need? Think: family, friends, work, school, community, religious network. Maybe join a couple of professional networks to get common ground with the individuals there to see what is happening. (We'll talk about some of these areas in greater depth in [Chapter 7](#)).

Some go-getters even look to organizations such as SCORE (Service Corps of Retired Executives) or local SBA (Small Business Administration) or RDPO (Regional Development Planning Offices). While the individuals there may not be the best fit, they can introduce you to others who might be able to help with your specific scenario.

Remember to help others as well. Connection is a two-way street, and someone you help now may be in a position to help you in the future. Sort through directories and seek out individuals that you would like to have as part of your network. Don't become a broken record, dinner party bore, but let people know what you are trying to accomplish so they can help you or connect you to people who can.

And when you find that key person, ask *how you can help them in return*. Too many people are just takers, which can wear out a relationship quickly. Often, experts are busy with their own projects, but if you have something that can help them, they're more likely to help you in return.

Besides email or phone, ask yourself if there are any other common areas where you might be able to make contact with a potential mentor. What clubs are they part of? What organizations do they support (be careful here so you don't compromise your personal values to get information from someone)?

If the person you are targeting simply cannot meet with you, see if they can introduce you to someone who can. I made some great contacts this way while writing this very book! It not only provides a source of information, but also lets you continue to build your professional network.

Follow up with everyone you reach out to. If they respond, great! If not, a respectful reminder indicating the date and method you reached out to them is absolutely reasonable (attach or copy the previous communication if possible). When they do respond, make sure to thank them for the help and as your project progresses send them updates so they can see how what they did has helped you.

Don't be discouraged if your initial contacts turn you down or don't respond. One mentor I interviewed for this book indicated she does not respond to first emails. "If I'm important enough to them they will continue to attempt to contact me. On a second email I respond, but only if it does not go on for pages." A key point here is to keep your message short and simple. You need to stick with it. There are many individuals that can help, but for various reasons including their personal situation or life circumstances, it may not be the best time for them to get involved. Also don't appear to be desperate. Individuals don't want to get involved with others they see as needing a lot of time or resources.

Don't limit your search for mentors to your local community. While there can be some technical and time zone challenges, e-mentoring / remote mentoring is picking up in popularity and with better technology can be done fairly effectively, even allowing you to share documents while talking. Also coming into play as apps continue to improve are things like "on demand" mentoring which allows mentors to turn on and off an app when they have free time. Here they simply connect when they have free

time and an alert goes out to those that have an interest in talking with them, regardless of the time of day or night.

INCUBATORS AND ACCELERATORS

In the past few years an incredible number of incubators and accelerators have opened up. First, incubators are generally places where you can rent a space to do your work. As long as you pay your “rent” you can be there. In some cases, incubators offer a nice set of options; mentor pool, workshops, scheduled networking, and events that could be of interest to the group. An incubator can be a place to make some great networking contacts. There are a wide range of incubators. Some are affiliated with schools and universities, others are non-profits set up by state and local governments which may subsidize them. A key here is job creation and support of small businesses to build a larger tax base. A number of incubators are set up by the type of product line or industry affiliation. Many are also set up by what is done in the space (for example, app development, maker-spaces that are set up with tools to help create products) or by the type of individuals that work out of the spaces (such as artists and musicians).

Often a challenge with incubators is that while there are mentors available, the mentee does not get much guidance deciding which mentors may be best for them to meet with so it is up to the mentee to do their homework. It helps to know what you want from a mentor as a starting point. Ask yourself about the issues you have to address and what kind of person might have the insights and experience to help you. Once you have this figured out, you can look at the mentor list and background of the mentors the incubator has. An even better scenario is if they have a person who knows the mentors first hand that can guide you and make an introduction for you. If not there is always LinkedIn or Google to find out more about the individual. Some incubators also have specific networking events targeted at making introductions to members and available mentors. Definitely look to take advantage of these. Bring plenty of business cards with you to hand out and follow up with those you receive a business card from, even if it is just to thank them for their time and to remind them who you are, what you do, and why they should care.

Another benefit of being in an incubator is that you can ask others which mentors they have had the most success with. Generally, people are very open to sharing both the advantages and disadvantages of those they have already met with. This can save you a lot of time.

If you do meet with mentors as a result of an incubator program, there is a formal process which is controlled by the incubator in terms of how often the individual will be onsite. However, there is nothing to say that if you connect and build some common ground with the individual you could not also make alternate arrangements. Often, more informal mentoring happens over time than scheduled mentoring.

Accelerators are usually well defined programs. Some, such as Techstars and Y-Combinator are well known. Others are not as well known, but can be found through sources such as TechCrunch (www.techcrunch.com).

Accelerator programs generally go for three months with a formal program where selected companies go through a well-defined process and curriculum in which mentors are assigned to them. One thing to keep in mind is that there is generally a trade off in equity (5-10%) in return for the benefits the accelerator program provides. If you are thinking of getting into an accelerator program it pays to take the time and do the research on how successful they have been. It is a good idea to speak to companies that have already been through their programs to see how much help they received along the way.

TechCrunch Ranking of the top 20 Accelerator programs:

RANK	PROGRAM
1	Angelpad
2	Mucker Lab
3	Techstars
4	University of Chicago NVC
5	Alchemist
6	StartX

7	AmplifyLA
8	500 Startups
9	Capital Innovators
10	Dreamit
11	Surge
12	Mass Challenge
12	Brandery
13	Gener8tor
14	ZeroTo510
15	Alpha Lab
17	Bluestartups
18	ERA
19	BeatSpring
20	Ironyard

**Actual rankings from:*

<https://techcrunch.com/2015/03/17/these-are-the-top-20-us-accelerators/>

SUMMARY

Understanding an individual's background and motivation can get a mentor-mentee relationship off to a good start. Mentoring is one of the most powerful tools in helping individuals develop talents and skills. Finding someone that not only has knowledge, skills, and abilities, but who is willing to share what they have learned to help others is the key to; self, organizational, and societal progress.

I do want to offer a caveat, a great piece of advice from one of the most respected mentors I have met. When I asked him what it can look like when mentoring is ineffective, he quickly said;

“When you're new, everyone more experienced might look like a potential mentor, but you just can't listen to everyone. There is such a thing as too many mentors. Ask too many people the same question and you'll eventually

run into sound advice from various experts who all start contradicting each other. When you're the mentee, this is confusing and counterproductive. Focus, focus, focus."

~ William Robinson -Silicon Valley Bank

PROFILE: William Robinson

William is a Vice President at Silicon Valley Bank where he leads the Bank's Early Stage Technology practice in the Midwest. Previous to Silicon Valley Bank, he served in Banco Popular's Commercial and SBA Credit Departments. William began his banking career at National City Bank where he has gained experience working with small and medium sized businesses.

Aside from his career in banking, William has also served as Adjunct Business Professor at Moraine Valley Community College and Harold Washington College. He is currently a member of the Southern Illinois University College of Business Minority Advisory Board.

Mentors bring not only the technical skills of a profession with them, but also the wisdom that comes from experience. This is something that cannot be learned by reading a book or sitting in a classroom, and is often the most important aspect of being successful.

Mentoring, done right, can make a difference in the level of success an entrepreneur has and the speed with which he/she learns. The key is making the most of a mentoring relationship on both sides. So let's start by taking a look at how mentors can best prepare for successful mentoring sessions.

Chapter 3: Mentors: How to Prepare

Give a person a fish and feed them for a day. Teach them how to fish and feed them for a lifetime.

~ Takeoff on Maimonides

Chapter 3: Mentors: How to Prepare

In medieval times mentors came about as a result of craftsman teaching others their craft: carpenters, masons, printers, etc. Individuals went through stages such as apprentice, journeyman, and craftsman, learning tricks of the trade and higher level skills along the way. In return, mentors received free or cheap labor. Both sides benefited.

Times have changed. These days, individuals might not spend a lot of time working under a craftsman. The mentor might instead provide advice that will lead to skill development. To make sure we're on the same page, we identify a mentor as someone who has that ability to provide insights and guidance in an area of expertise in which he or she can help others learn, grow, and develop.

PROVIDING A HELPING HAND:



Giving a helping hand to others can be a very rewarding experience.

It's not about giving someone the answers, but more about helping them understand how to think to find the answers.

MENTOR SKILLS

A mentor may have expertise in certain areas such as finance, funding, legal, marketing, product knowledge, or business strategy. A mentor may also have developed skills from their experiences such as; starting a business, growing a business, or selling a business, along with a wide range of knowledge that comes with startup business experience such as; how to negotiate business terms, fund raising options, determining whether to expend money as expenses or capital expenditures, or how to communicate information to the media.

SHOULD YOU BE A MENTOR?

Can you think of an example where mentoring went really, really badly, with tragic results? If you've ever seen *Star Wars*, the answer is yes. Obi-Wan Kenobi decided that he could teach Anakin Skywalker as well as Yoda. He was wrong and soon the galaxy was wriggling in the grip of Darth Vader, the ultimate mentee-gone-rogue.

I'm going to belabor this point for a moment, just to get you in the right mindset. I'm paraphrasing, but I once heard someone say, "The wrong teacher at the wrong time can reduce everything the student was going to be, or wanted to be, to a smoking pile of ashes."

Now, you don't have to ask yourself if you're going to reduce everything someone has going to a pile of ashes, but I hope you take my meaning. The stakes aren't always going to be this high, but it's wise to ask yourself, early and often, "Why do I want to do this?"

Individuals become mentors for many reasons. Once we get past mentors that do it for self-glory and to build their own reputation, we can look at individuals who want to be mentors for the right reason –to make a difference in the success of those they mentor.

You should become a mentor if you truly want to help people, have the time to do it well, and most importantly, have the right skills to help individuals. As one mentor, Chris Masek put it, “I’ve been fortunate to have had a very successful career, now I’m able to move from success in business to significance in life by helping others.”

STEVE JOBS AS AN EXAMPLE

One of the many stories of Steve Jobs that stands out is related to a time when there was a dispute with Google (Apple was suing Google for the closeness of its Android product which looked and worked like the iPhone, basically Apple accused Google of stealing the design and operation of the iPhone). At the same time, Jobs was mentoring Larry Page and Sergey Brin from Google. Jobs was asked why, if he was suing Google, would he be mentoring its leadership. His response was that the Valley had a long history of generous mentoring. He pointed out that Bill Hewlett one of the founders of Hewlett-Packard was a very generous mentor of his so why not help. Entrepreneurs by nature want to help others and pay it forward when they can.

MENTOR BENEFITS

Mentor benefits include the feeling that comes from making a difference, enhanced self-esteem, revitalized interest in work, the ability to build close relationships with mentees, further development of personal coaching and leadership skills, and growing larger personal and business networks. Mentors can also learn more about new companies and how they go to market, how new technologies are being used, and identifying potential companies to invest in.

MENTOR -DETERMINING VALUE:

List the 3-5 areas of expertise you have that you can share with others to help them become better:

1. _____
2. _____
3. _____
4. _____
5. _____

Tony Robbins has said that “Success leaves clues.” It often helps for mentors to think back to those that have mentored them and what happened that made a positive difference in that relationship. Using lessons from previous experiences, whether good or bad, can help prepare a mentor for how to approach a problem and how to work with the mentee to have not only a positive relationship, but also an impactful one. Personalities and what people are open to has a direct correlation with how to approach them.

MENTOR -POSITIVE PAST EXPERIENCES:

If you have had a mentor/s yourself in your life that made a positive difference, what are 3-5 things those mentors did to make a difference for you:

1. _____
2. _____

3. _____
4. _____
5. _____

By the same token, failures, or at least times when things could have gone better, leave clues as well. Mentors can look back to things that their mentors could have done differently. Often, more can be learned from bad experiences than those that went well. The key is to identify why things went the way they did.

MENTOR -NEGATIVE PAST EXPERIENCES:

And if you have had a mentor/s yourself in your life that had a negative or useless impact on you, list those as well. Don't do these to anyone. Remember mentoring is about sharing experiences to help. Often the most impactful learning comes from failures and bad experiences we have had. The key is that we need to feel comfortable enough with what happened to talk about and analyze those experiences so we can use what we learned to help others.

1. _____
2. _____
3. _____
4. _____
5. _____

MENTOR ISSUES

Potential problems for the mentor include pressure to take on the mentoring role, lack of mentoring skills, an inability to take the coaching and feedback role seriously, lack of time, lack of perceived benefits, possessiveness of mentees, and unwillingness to let mentees take the necessary risks for learning. Too often we want to give them an answer rather than help them find an answer.

On occasion, some mentors are suspect when they focus more on their needs than the needs of their mentees. Some individuals will only mentor one person at a time, and others will mentor a number of individuals concurrently. The key is to agree upfront on what the relationship will be and what to expect in terms of commitments, such as time. If both sides make themselves impossible to misunderstand, the chances of wasting time and effort decrease immeasurably.

Alan Matthew has said, “I’ve done a lot of mentoring, and at different times I’ve played every role from therapist, to a kind of midwife, to a father/confessor role. Sometimes you wind up in situations you can’t anticipate. It’s critical to know why you’re getting into mentoring, and to be honest with yourself about your abilities and motivations.”

WHAT SKILLS DO YOU BRING

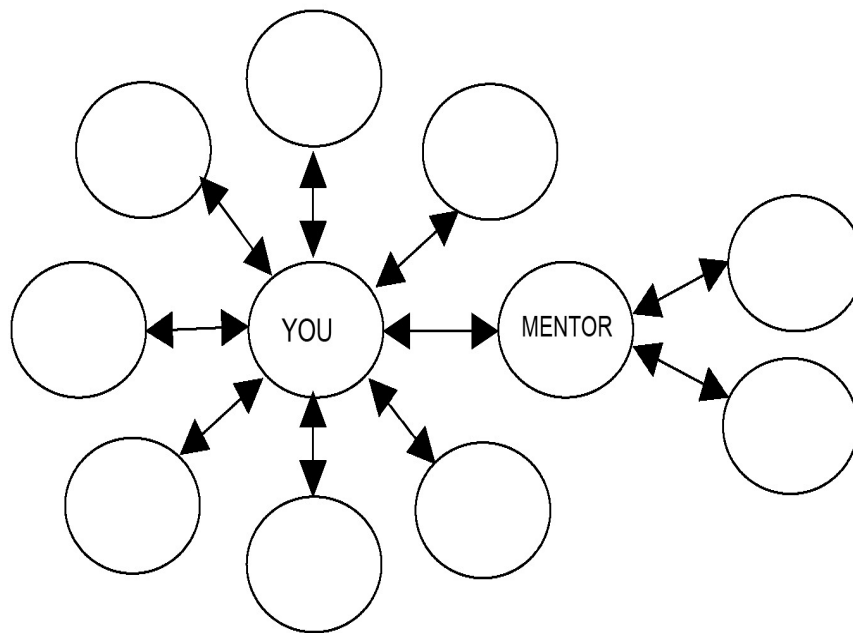
In a startup environment you don’t have a large infrastructure to support the mentoring effort, so the starting point needs to be an assessment of what the mentor can bring to the table. Having 30 years of service at the world’s largest; computer, telecom, phone manufacturer, etc. does not mean you have the skills to mentor in a startup environment.

Mentors must ask themselves, honestly and thoughtfully, what skills they have that are relevant to a startup organization. For instance, these would be perfect examples to include on a self-administered mentor checklist:

- What personal qualities do you have that allow you to interact effectively with others?
- What technical expertise can you provide?
- What industry expertise can you provide?
- What network contacts do you have?
- What does your network look like (first order connections, second order connections, and others)?

Even better if you have had startup experience yourself.

SAMPLE NETWORK MAP:



Tip: LinkedIn can be used as a tool to help fill in these connections.

The best mentors are in a lifelong process of self-development and want to keep learning and growing with those around them. Yes, mentoring looks good on a resume or on a LinkedIn profile, but that's not where the real value comes in.

Often, the best mentors are not necessarily those who have experienced great success. A math wizard might be able to plot data to the moon and back, but could still be a disaster as a teacher. Mentors need to have had both good and bad experiences. Good, so they know what success looks like. Bad, so they know what to look out for and avoid.

As David Cohen, a Techstars founder stated; “We learn more from failure than from success, generally speaking. So those of us with failure can share many lessons.”

I asked Mark Carter, a mentor who helps other mentors become more effective; “What advice would you give a past version of yourself, right before you jumped into a startup?” Here’s his response:

FOCUS

Pick something you LOVE to do; pick a project to get things started that has a MEASURABLE outcome and timeline and then go do it. Whether you fail or succeed at the first iteration it will put you on a path to learning and results.

While you’re on that path...

COLLABORATE

Figuring things out by yourself is lonely and not much fun. “Self-taught” means you’re making a LOT more mistakes than you have to and taking at least twice as long to learn something.

When it comes to mentoring do more than just brainstorm or ask for advice. Directly COLLABORATE with people who have more experience than you. Bring mentors into your projects and/or work on their projects WITH THEM. If you’re just learning something new like marketing tell them that so you can set expectations and learn as you go.

SOMETIMES IT'S THE QUESTIONS YOU ASK

Mentors don't always know where to start. A tip from Steven Covey; "Begin with the end in mind." Asking a mentee why they are in business to begin with is a good starting point. What is the problem they are trying to solve? Why does anyone care? Is anyone willing to pay for it? Tie it to measures such as; productivity of individuals (many apps focus on this), quality of life (how and how much will people be willing to pay for it), and customer acquisition and customer loyalty. Look for measures or indicators of interest and how to identify what progress is being made. A simple question up front is; "What does success look like?"

THE ROLE OF FEEDBACK

One of the most important skills a mentor can develop is the skill of giving feedback. Many mentors are smart. Many mentors have vast amounts of relevant experience and knowledge, but the ability to share it clearly and in a non-threatening way is critical to whether the message is heard and received.

Skillful mentors understand their mentee's goals. The deeper the understanding, the better they will be able to serve as guides on the path to the achievement of those goals. Skillful mentors are also honest and plain-spoken for the sake of clarity. It is their job to tell mentees when they see issues with what they are doing or how they are attempting to reach their goals. It's not about mentors giving mentees the answer-mentoring is often an art as much as a science--it's about asking the right questions and getting mentees to think through their issues without assuming the conclusion in advance.

Now, when a mentor gives useful, thoughtful feedback and the mentee does not act on it, this can be frustrating to the mentor. John S. Reale, Jr., Managing Director of Station Houston Incubator, when speaking of the mistakes mentees can make, said: "I think the one that is most challenging, probably like being a parent, is watching founders receive great direction,

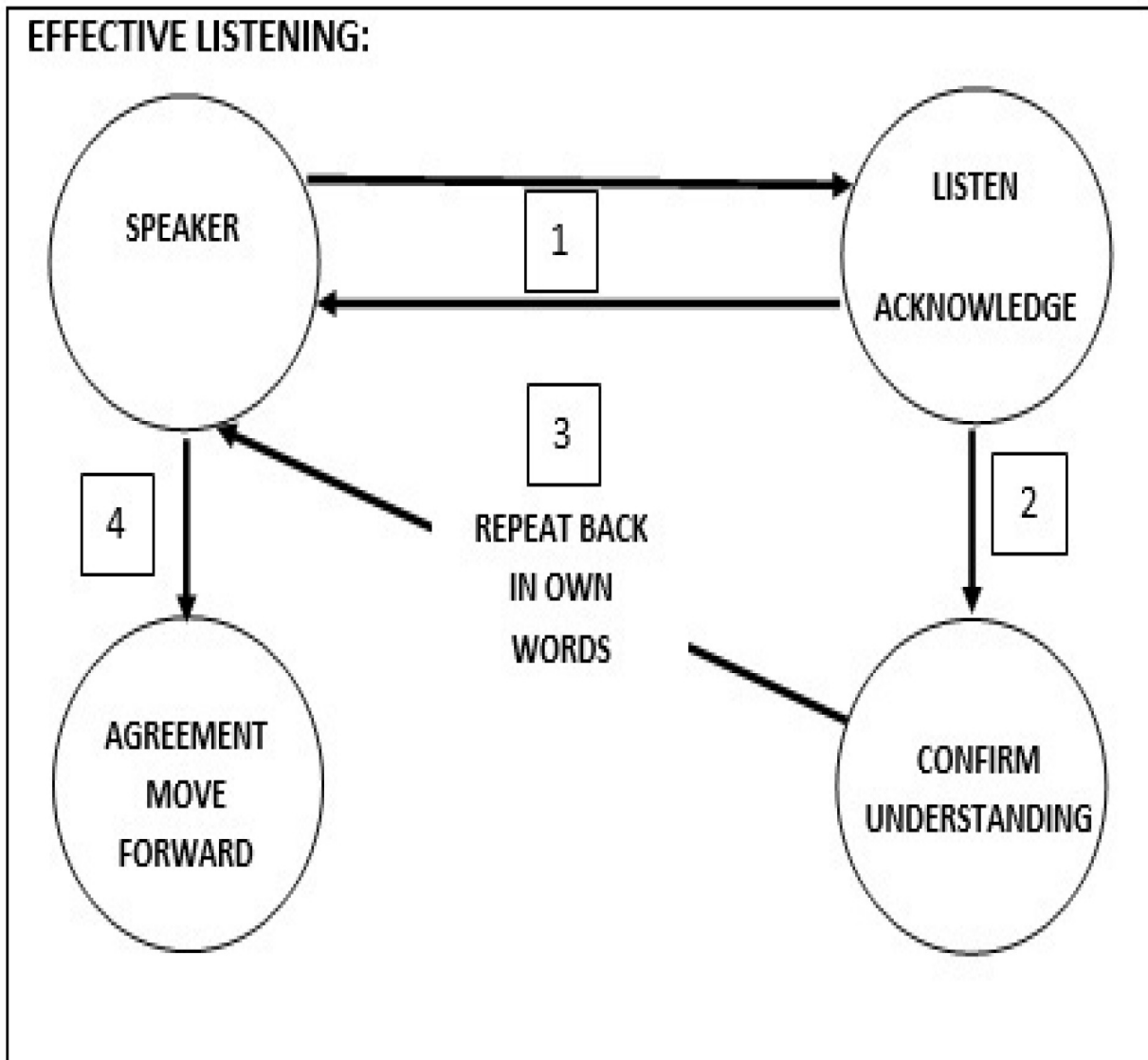
then totaling disregarding that direction to go back to doing what they want to do...especially at the expense of their company.”

SOME QUESTIONS TO ASK BEFORE GIVING FEEDBACK

- Is your feedback based on facts?
- Can you reference specific examples of behavior?
- Can the feedback be acted on?
- Is the timing of the feedback in line with the conversation?
- Can you clearly communicate the issues associated with the feedback and provide suggestions for improving on them?
- Do you have a plan for follow up to review specific issues again on a specific date?

EFFECTIVE LISTENING

Here is a great method for effective listening: The speaker speaks. The listener listens, and then repeats it back in his or her own words. Voila! Both parties know that it was understood and now they can effectively move forward and have a meaningful conversation. No backtracking. No guesswork.



Of course there is more to communication and listening than words alone. A mentor must also be attuned to feelings, body language, demeanor, and enthusiasm. When feelings get involved, the mentor has to be able to separate the facts from the feelings, and to ensure that decisions do not get made solely on emotional grounds. It's easy for feelings to turn into facts if left unchecked or unquestioned. This can be calamitous when the decisions involve something as potentially high-stakes as the survival and success of a startup. Keeping the mentee focused on the facts is like preventing someone from scribbling emotionally on the road map just before taking a trip.

It's also essential for a mentor to be able to identify a mentee's motivations. Are individuals making decisions based on sound business principles and facts, or are they making decisions based on uncertainty and fear? What is the basis for the feelings and decisions contemplated?

Keeping it real is important too. There are times when individuals make decisions based more on relationships than on business facts. In one case I was working with a founder whose focus was putting family members in roles in the company with titles and pay, instead of thinking about the implications going forward when funding would be needed. Keeping it real means reminding mentees that simple things like this, while to them at the time may seem minor, can have larger long-term implications. You need to get them to think of the longer term implications, not just of how they look to a certain group in the short run.

After listening to what a mentee has to say, if the mentor feels that the direction is wrong, or skewed, or the motivation is lacking or misguided, it is the mentor's duty to call it out, to put it on the table and talk about it. Asking questions to get the mentee thinking through the situation may be required. Making sure that all of the "What ifs?" get asked, and helping a mentee identify options as well as the rewards and risks that go with them is crucial. The mentor is steering, and questioning, not just barking out orders or speaking in absolutes. But also, not coddling, or giving false hope.

Serhat Cicekoglu, Partner, Anka Capital Management, LLC and Managing Director Sente Advisory Services, said he would be unwilling to mentor a person if:

I am perceived to be someone who is at the table simply to validate their thoughts. I am not going to be the person who has the silver bullet answers to solve everyone's problems. I will ask, I will prod, I will urge, and I will listen. What I will not do is say that every idea is a good one, or that proper planning has been done when it has not.

Here's what Dege Nsoki, Entrepreneur in Residence and sales coach, says about what is needed from the person on the mentor's side of the table:

Mentoring is a partnership that brings a clear accountability between the stakeholders that will create the transparency required for emergence of mutual value and benefits. The guiding principle is that a mentor in a specific discipline has specialized domain knowledge and experience. The key focus would be on process (e.g. phases, stages, guide posts, milestones and their measurements) and content (i.e. more focused on behaviors to demonstrate vs. domain knowledge).

Mentors should avoid the temptation to stereotype or categorize mentees, and just spell things out in a way that requires little effort from their pupils. The key is to help mentees learn how to think through their situations and respond with effective, educated strategies. Giving an answer might be easier, but it undermines the ultimate goal, which is that the mentee learns the art of thorough, meticulous thinking and questioning.

IT'S NOT ABOUT GIVING ANSWERS:

- **Make the mentee an active participant in the problem solving process.**

They need to learn the process. By keeping them engaged and making them responsible for their own success they will learn more and be more effective.

- **Create an environment of learning.**

As a mentor one of your main roles is to help teach the mentee how to ask the right questions to find the answers. Avoid the temptation to give them the answer outright.

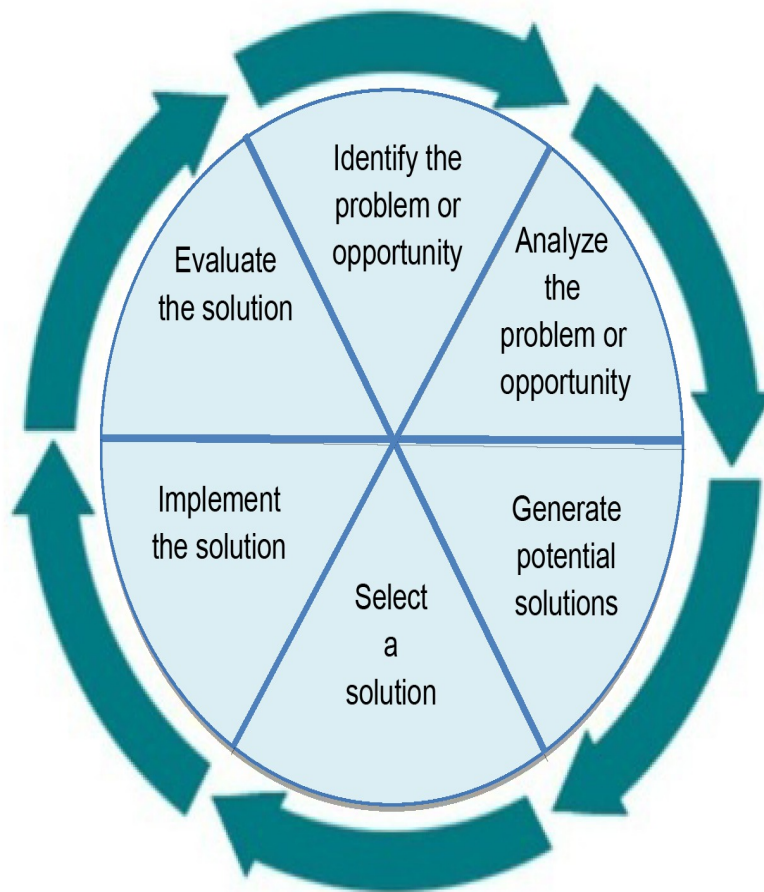
- **Keep the relationship focused on process and outcomes not on activities.**

As adults, it is important for individuals to know why they are asked to do things and how it will benefit them.

- **Set goals and regularly review the progress in achieving them.** Together, identify what the mentee is looking for, what you have to offer, and how to best work together.

There's a concept known as the Problem-Solving-Process which may be worth a mentor keeping in mind. It's a tool that can help walk a mentee through what is going on and how to approach a problem or situation. It looks at identifying the problem or opportunity, analyzing it and generating potential courses of action, then taking action and measuring the outcomes. It is a continuous improvement process that fits well with the MVP concept.

The Problem Solving Process:



Mentors also often need to play the role of a comforting coach. Sometimes things just don't go well and the mentee may need someone to talk things through. It's important for the mentee to not lose their self-confidence. Mentors can help by talking through the situation, and keeping the focus on the problem to be addressed and away from the individual feeling incompetent. It's not about focusing on one's deficiencies. It's about determining the best way to develop the knowledge and skills to go forward and addressing the challenges and opportunities that exist.

Individuals respond to problems in many different ways. Stress and anxiety can cause individuals to lose focus of their goals. Mentors can play a key

role by helping mentees stay focused on the issues and not what they may think are personal shortcomings. Other than the knowledge and expertise a mentor brings to a relationship, helping the mentee maintain their self-confidence is the most important thing they can do. Mentors can also be key in helping mentees build resilience and learn how to come back from setbacks.

ADVICE FOR MENTORS FROM STEVE BAUMGARTNER – MENTOR 1871

1. In advance of your mentoring hours, look to see who's scheduled time with you and try to at least familiarize yourself by looking at the company's website.
2. Answer the mentee's questions. Ask them upfront what they'd like to get out of the meeting and make sure you help them achieve those objectives. Having an agenda helps.
3. Be patient and understanding of where they are in the process and the background that has brought them to this point. Each new business plan will have gaps...that's why they're meeting with you. Two young professionals with coding backgrounds may not be adept at communicating their value proposition or have a comprehensive sales plan. Take the time to help them think through it.
4. Focus on execution. Early-stage growth is about establishing momentum. There will always be dozens of things that would be "really cool" or beneficial to the long term strategy, but many of those ideas take time, money, and resources...three things many startups don't have. Help them identify things they can do immediately to get them headed in the right direction.
5. Keep to a tight schedule. If you can, schedule more time outside of formal hours to cover additional topics.

6. Spread the wealth of your guidance by being willing to reconnect with mentees outside of formal mentoring hours (when you can). This will allow you to connect with more individuals and expose you to more companies.

7. Be willing to access your network. As all mentors know, receiving guidance on how to build a business is not just accessing what you know as a mentor...but also who you know. Still working within your network is an excellent "training ground" for new businesses and when the connection is put in context, most people understand there will be aspects of the business that aren't "buttoned up".

Another popular approach for mentors to keep in mind is that of a “teachable moment.” The concept was popularized by Robert Havinghurst as a "A developmental task which is learned at a specific point in time which makes achievement of succeeding tasks possible.” When the timing is right, the ability to learn a particular task will be possible. It is important to keep in mind that unless the time is right, learning will not occur. Hence, it is important to repeat important points whenever possible so that when a teachable moment occurs, the mentee can benefit from the knowledge.”

TEACHABLE MOMENTS:

Often learning happens as a result of observations and the behaviors associated with an event. A teachable moment can happen almost anywhere at any time. Generally, they are not planned. Basically an event happens and a mentee responds to what happens. How they respond is the key. A mentor’s observations and feedback, at or close to the point in time of the event happening, is key for learning to take place.

For example, in negotiating a deal with a potential supplier, the mentee is tough on the terms and beats the supplier into a deal that gives him what he wants. In the process he is difficult and often insulting to the supplier. He got the deal he wanted with the terms he wanted, but from an ongoing

perspective a mentor may notice that the mentee was so difficult to deal with that the supplier if he had a choice, would rather not have made the deal, and that there is also some question as to how reliable the supplier will, be given what happened. A mentor, from previous experience, may realize that the deal cannot possibly be lived up to given the terms. The teachable moment comes in when the mentor pulls the mentee aside and indicates to him that he may have created a deal where there is no way the supplier can live up to the terms, not to mention the way the mentee treated the supplier, which may lead to the supplier not doing all they can to help the mentee going forward.

BEHAVIORS TO AVOID

While it may be tempting to give the mentee the answer to a problem, a mentee is much better served by a mentor that teaches them how to understand what the problem is and potential ways to address the challenge. Tony Lenhart, mentor, Sales Empowerment Group, said that one of his biggest frustrations with mentors is that “Anyone can say ‘I’m a mentor. Then you get someone who just wants to sit around and pontificate.’”

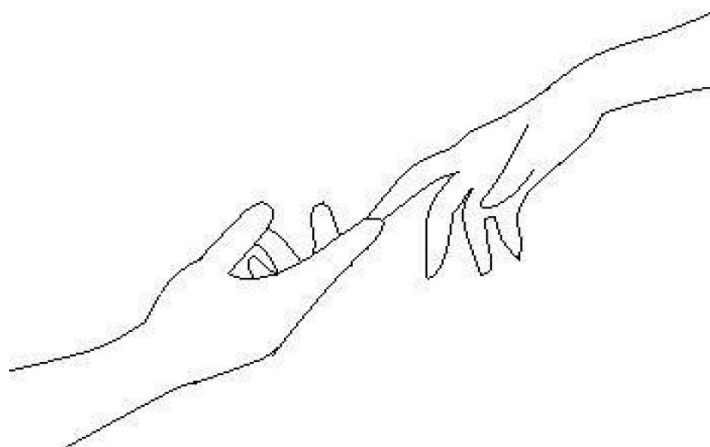
A mentor that coaches, and steers, and tries to put better questions in the mentee’s head is the kind of person you want. Someone who points out things to consider and think through. Giving advice can shift the decision making responsibility from the mentee to the mentor, which slows a mentee’s growth and can lead to blaming the mentor if the advice does not work out as planned. The mentee may also come back again and again and rely on the mentor to become the decision maker. A mentor should be careful to avoid this type of situation and not let the relationship take this turn regardless of how comfortable the individuals are with each other. Overall accountability of the company still remains with the founder.

A mentor should also be careful not to criticize a mentee’s decision or bash his or her logic for their decisions. Questioning is a better approach when trying to learn why an individual came up with the solution they did.

There can be a fine line between inspiration and intimidation. A mentor's role and experience can be intimidating to a mentee. Mentors should refrain from bragging about their accomplishments. Being overbearing can intimidate a mentee, who may then shut down and not share. There are times for war stories, but they need to be at the right time and right place to make your point.

Often there is a limited amount of time in a mentoring relationship and for mentoring meetings. Having a meeting agenda can help avoid wasting time. The mentor should work through the points and questions a mentee has while at the same time pointing out important things for the mentee to consider. It doesn't mean that you can't be conversational and warm with each other, but progress is the point of the meeting.

A MENTOR'S TOUCH:



Done right, a mentor's touch can make a difference in the entrepreneur's life and business. It can be one of the most fulfilling endeavors a mentor can have.

Done incorrectly, the first meeting may be the last meeting.

Summary

- **Take your role seriously.** Focus on the mentee.
- **Use questions to help the mentee understand and learn.**
- **Provide feedback based on facts.**
- **Develop your best signature stories to make your point.**
- **Have a way to follow up to see what actions were taken and what results were achieved.** What lessons did the mentee learn?
- **Have a heart-to-heart talk with your mentee.**

The real questions here are, “Do you want to do this? Are you willing to do what it takes?” -Linda Darragh

Chapter 4: Mentees: How to Prepare

My job is not to be easy on people. My job is to take these great people we have and to push them and make them even better.

~ Steve Jobs

Chapter 4: Mentees: How to Prepare

Okay, now let's talk specifically about the mentees, and how they can get themselves ready to reap the benefits of the partnership. Success starts with a self-awareness of your strengths and weaknesses (if you're the mentee), followed by some research into your mentor's background. You want to be sure that the mentor—and the mentor's knowledge—are going to be a good fit for you.

SELF-AWARENESS

I asked Executive Coach Tom Caprel the following question: "If you could go back in time and meet the younger version of yourself, right before he jumped into startups, what would you ask him?" Tom laughed and said, as if he'd been waiting for this question his whole life, "I'd point my finger in my face and say 'You don't know as much as you think you do, and that will always be true. Stay humble and never stop trying to understand yourself better.'"

This level of self-scrutiny and awareness is critical to an entrepreneur. If you know what your strengths and weaknesses are, you can identify them. If you can identify them, you know where you need help. Simple, right? There are a bevy of personality assessment tools, online and off, that can help you gain a better understanding of your strengths and preferences. The better you understand yourself, the more progress a mentor can help you make.

Some personality type assessments include:

- Strengths Finder -- www.strengthsfinder.com
- MBTI -- www.myersbriggs.org

- DISC -- www.discprofile.com
- 16PF -- <http://personality-testing.info/tests/16PF.php>

There are a number of others as well. Most have a version at no or low cost. If you have not taken one, it would be worth looking into. It's an easy experiment to run, with no downside.

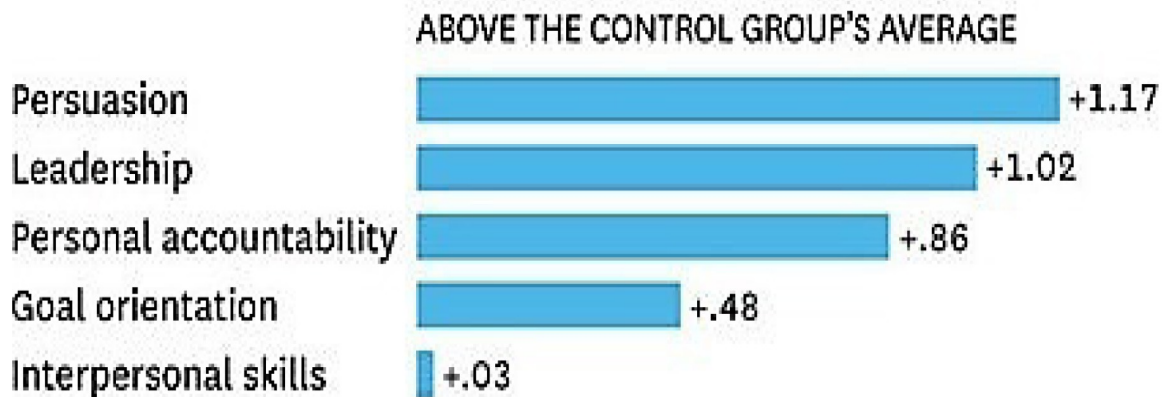
Once you know your own strengths and weaknesses, you can match them with a mentor whose abilities complement your own, and who can buttress up the gaps in your understanding and abilities. Often, a founder has either a technical or business skillset that has taken them to where they are. The challenge is in finding a balance of both, and in making sure—or as sure as possible—that what the mentee needs is what the mentor can offer. A founder simply cannot be CEO, COO, CFO, head of sales, manage product development and deal with a whole list of other roles and responsibilities. Get specific!

A study published in the Harvard Business Review looked at what traits stood out as being linked to entrepreneurs in comparison to the average working adult.⁵

Key Traits of Serial Entrepreneurs:

THE KEY TRAITS OF A SERIAL ENTREPRENEUR

Based on a control group of 17,000 working adults, serial entrepreneurs tested above average in the following skills:



SOURCE TARGET TRAINING INTERNATIONAL

HBR.ORG

And while this is not to say these traits are required of all entrepreneurs to be successful, it does show how they stand out from other individuals in the population at large.

KNOW YOUR BUSINESS GOALS

To start, ask yourself if you have defined your own business goals. Be thoughtful, be honest, and look at what you need help with.

Some questions to ask include:

- Do you know someone who has done what you are trying to do?
- Do you know someone with specific industry knowledge?
- Do you know someone with specific business or technical skills?

- Do you know someone to help you network with others with specialized skills?
- Do you know someone who can listen to your ideas and provide feedback?
- Do you know someone with entrepreneurial experience?

Do this upfront and save time later. For instance, if you ask yourself, “What are the top five areas I need help with?”, the answers will give you some context to work with and narrow down the types of prospective mentors to look for. If there are questions you don’t understand, or can’t answer with total certainty, keep them. Add them to the list so that when you meet with a potential mentor you can ask them how to develop those skills, or how they would answer those questions themselves, or if they know someone that could help. Look at it as if you are preparing your own personal development plan. Keep your timeframes and metrics. Whatever can be measured can be improved.

Unlike a corporate environment, in a startup you do not have a structured program to follow. Trailblazers usually start blazing in relatively lawless conditions. Making connections and finding the right mentor is the mentee’s responsibility. This is why it’s so critical that the mentee is aware of their areas of need before the matchmaking begins.

MENTEE - FOCUS ON AREA OF NEED:**FINANCE:**

- ☐ Accounting
- ☐ Budgeting
- ☐ Cash Flow
- ☐ Expense Management
- ☐ Financing
- ☐ Taxes

FUNDING:

- ☐ Identifying Sources of Capital Terms
- ☐ Investor Access
- ☐ Investor Management

MARKETING:

- ☐ Advertising
- ☐ Branding
- ☐ Pricing
- ☐ Promotion
- ☐ SEO

PEOPLE:

- ☐ Recruiting
- ☐ Compensation
- ☐ Team Building
- ☐ Partnering
- ☐ Training

PRODUCTION:

- ☐ Prototyping
- ☐ Product Development
- ☐ Sourcing
- ☐ Logistics
- ☐ Manufacturing

SALES:

- ☐ Strategy
- ☐ Channels
- ☐ Support
- ☐ Customer Service

TECHNOLOGY:

- ☐ Setup
- ☐ Change Management
- ☐ Insource / Outsource
- ☐ Risk Management

OTHER: _____

- ☐
- ☐
- ☐
- ☐

FINDING A MENTOR

Technology has provided tools that make this so much easier. Skills are now the stuff of dropdown menus and checked boxes. Unless someone is just totally misrepresenting their abilities and/or experience, you can learn a lot about them online. Look up a potential mentor on; Google, LinkedIn, and other social sites. See what they're working on or have worked on.

What are their industry or association affiliations? See if there is anything in common with your personal interests. Common areas of interest can help build a relationship. If you can look at someone's resume and think, "I bet we'd have a lot to talk about," consider it an early clue.

It's even better if you can determine, in advance, how you think a specific mentor could help you with a specific issue. Again, the more legwork you do beforehand, the less time you'll spend figuring each other out when the actual mentoring begins.

NEED	QUESTION/S THAT NEEDS TO BE ANSWERED	HOW MIGHT MENTOR HELP
Understanding Financing	- What is the best way to finance my growth?	- Explain different financing options.
Leveraging Equity	- When should I give up equity? - How much equity should I give up and for what? - Is it better to take on debt or give up equity?	- Provide insights on the various alternatives. - Be able to help in a compare-and-contrast scenario.
Use of Online Marketing	- What are the various forms of online marketing? - Does my web site need to be mobile compatible?	- Identify whether online marketing is appropriate for your type business. - Give ideas on the cost and viability of the various online marketing options.
Understand Legal Entities	- What is the best legal entity to form my company under? - In which state should I form my legal entity?	- Identify the various options. - Indicate which is the best type for an exit strategy.

In some cases, you simply don't know what you don't know. You may not know all of the questions that you could ask. But the early steps won't change. Look for others that have achieved what you want to achieve. Find people who have been where you want to go. You need to take the initiative to reach out to others and ask for help.

Okay, let's look at some guidelines that should iron out a lot of potential kinks right out of the gate.

SOME BASIC RULES FOR MENTEES

- **Be respectful of the mentor's time and use it effectively.** If for some reason you need to cancel a meeting, do it as soon as possible.
- **Be prepared for the meeting.** Put together and review an agenda and prepare for the items listed on it.
- **Focus on the areas the mentor can help you with.** Asking a funding expert questions about online advertising does not fit and shows you are not prepared.
- **Be specific about the help you are asking for.** Make it easy for the mentor to know what to help you with.
- **Be appreciative.** Make sure to thank your mentor for their time and what he / she has shared.
- **Give updates.** Mentors want to know what impact they have had. Make sure you give them updates regularly on the specific topics you have discussed with them as well as overall progress on what has happened, good or bad.
- **Keep in mind that this is a big ask, even if it benefits the mentor:** Startup recruiter Laura Fendrich puts it this way--*The biggest disconnect is getting startups to understand that they're one of a whole slew of people with the "next greatest idea" and there is simply not enough talent out there on the tech side that will risk it all to go to work for free in the hopes that your equity turns out to be valuable down the road.*

REACHING OUT

Pretend that a prospective mentor gets on the elevator with you. It's time! Have your 60 second elevator pitch (200 words or less) written down. In it,

explain who you are, what you are trying to accomplish, and how the person might be able to help you. Here's an example.

60 SECOND ELEVATOR PITCH EXAMPLE:

Hello Mr. Smith, my name is George Vukotich. I'm working on writing a book related to mentoring in a startup environment.

I have been working with startups for two years and have seen there is a major difference in mentoring in this environment versus a large corporate environment.

One of my challenges is how to best define the structure for the meeting process in this type of environment.

As I was looking for individuals with expertise in this area I came across your LinkedIn profile. It is very impressive.

I see that you have set up mentoring programs in a startup environment. It definitely looks like you have some background and experience that could help.

Would you have 15 minutes to talk about how you set this up?

I'd be happy to give you a call when it is most convenient for you.

Let me know the best way to follow up.

Thank you.

**If you have a business card give them one as well. It helps as a reminder for when you follow up.*

Of course, it probably won't happen in an elevator. Here are a few things to consider when casting your net.

- **See if you already know someone who has the skills you could use help with.** Google them. Review their LinkedIn profile. Is there anyone in your existing network that is connected to someone with the skills you need? Think; family, friends, work, school, community, religious network. You need to let people know what you are trying to accomplish so they can help you or connect you to people who can.
- **Ask if there is any way to help these people in return.** Often experts are busily involved with their own projects, but if you have something that can help them, there is a higher likelihood they will help you. Look for common areas. In this case they may be interested in what you find out as a result of your work. Possibly share an acknowledgement, research data, or other information that may also help them.
- **In addition to reaching out through email or by phone, ask if there are any other common areas where you might be able to make contact with a potential mentor.** What clubs are they part of? What organizations do they support (be careful here so you don't compromise your personal values to get information from someone).
- **If the person you are targeting simply cannot meet with you, respectfully ask if there is anyone else to whom they can introduce you.** It not only provides a source of information, but also lets you continue to build your professional network.
- **Follow up with the individuals you reach out to.** If they respond, great. If not, send a reminder indicating the date and method you reached out to them. Also attach or copy the previous communication. When they do respond, make sure to thank them for the help. As your project progresses, send them updates so they can see how what they did has helped you.

Remember, don't be discouraged if your initial contacts turn you down or don't respond. Stick with the process. Keep trying. Circumstances, temperament, and other factors may not allow it at the time, but don't become desperate.

ANALYZING THE MESSAGE:

*Hello Mr. Smith, my name is George Vukotich.
I'm working on writing a book related to mentoring
in a startup environment.*

Tells who you are and
what you are doing.

*I have been working with startups for two years and
have seen there is a major difference in mentoring in
this environment versus a large corporate environment.*

Gives your
background and
builds credibility.

*One of my challenges is how to best define the structure
for the meeting process in this type of environment.*

States the problem
you need help with.

*As I was looking for individuals with expertise in this area
I came across your LinkedIn profile. It is very impressive.*

Shows that you are
looking for help and
how you found him.

*I see that you have set up mentoring programs in a startup
environment. It definitely looks like you have some
background and experience that could help.*

Shows that you have
done your homework
and see he is a
person who can
help.

*Would you have 15 minutes to talk
about how you set this up?*

Specifically explains
what you are looking
for.

*I'd be happy to give you a call when it is most convenient
for you. Let me know the best way to follow up.*

Lays out what you
want and asks how
best to work with
him.

*Thank you.
George Vukotich
george@georgevukotich.com*

Provides a way to
contact for follow-
up. Including a
phone number
would also be good.

JOURNALING

Writing in a journal can be a good way to measure progress. It does not have to be a complicated process. Simply get a binder or moleskin and take notes. It helps to record the date and person you met with along with some details such as the topics discussed. Note reinforcement of existing thoughts or questions that brought up new insights. Later that day, review and reflect on what you wrote to see what lessons you learned and what follow up actions you want to take. Over time you can review what you did and see why.

JOURNALING EXAMPLE:

DATE: 12/25/16

PERSON/S: Joe Angel, Steve Banker, Jane Funder

TOPICS:

- Where to get funding
- How much funding to ask for
- The best time to ask for funding
-

KEY POINTS:

- It is best to have some sales traction before seeking funding
- The earlier funding is asked for the more likely the terms will be less favorable
- Don't take on more funding than needed for the next six months
-

FOLLOW UP:

- Set follow up appointment with Joe Angel to show pitch deck
- Ask Steve Banker what loan options could work
-

LEARNINGS:

- + There is a tradeoff on terms with debt vs. equity
- + At this stage in our company the debt terms are too difficult, the equity option looks better
- +

TIP: Having a way to track action items is helpful. For example, a low tech approach I use is that if there is an item I need to follow up on I put an “>” before it. Later in reviewing my notes for the day I add the item to my calendar to make sure I have a date to follow up on it.

⁵ Bonstetter, Bill. Harvard Business Review. New Research: The Skills That Make an Entrepreneur. Harvard Business Review. December 7, 2012. <https://hbr.org/2012/12/new-research-the-skills-that-m&cm>

Chapter 5: Getting Off to a Good Start

*Tell me and I forget, teach me and I may remember, involve me
and I learn.*

~ Benjamin Franklin

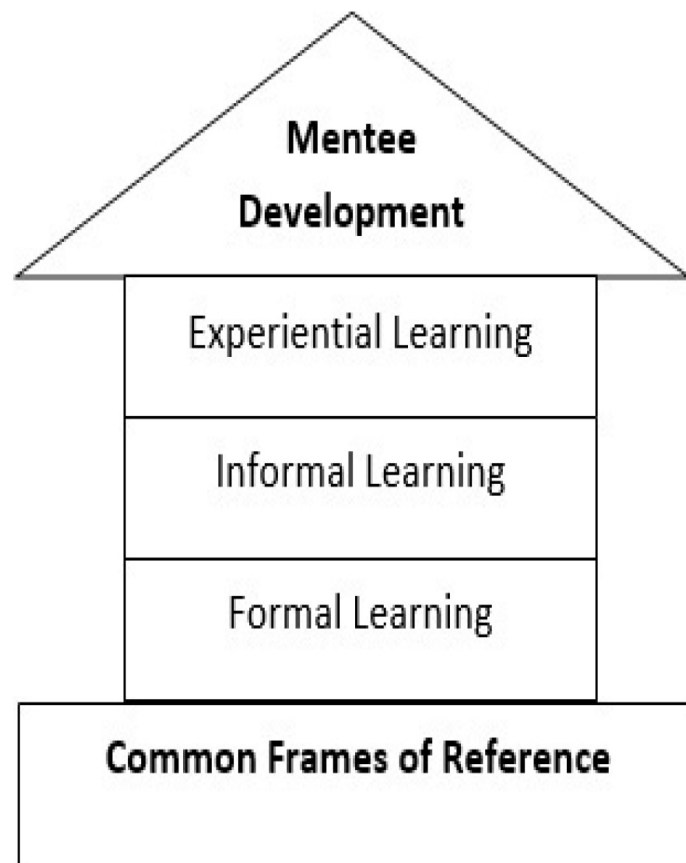
Chapter 5: Getting Off to a Good Start

Getting the mentoring relationship off to a good start can make all the difference in the success of the relationship. By this point the mentee should have done his / her homework on the mentor and have a feel for the mentor's background and their areas of expertise. The mentor should have also looked at the mentee's background and checked online for any other available background on the startup. Hopefully the mentor will have had a chance to see what stage the startup is at and have some insights on the business the startup is in.

A helpful way to look at the relationship is; anyone can learn from anyone, and anyone may be able to teach someone something. The relationship does not have to be one-sided. Ideally there are benefits for all involved. If you have had any, look at any past mentor or mentee relationships and ask what it was that stood out from those past relationships, both good and bad? What did you learn and how did you learn it? Where did the relationship fall short and why? You don't want to repeat any mistakes you made before, so you can't ask too many questions at the outset.

Try looking at the mentoring relationship from the educational and developmental perspective of the mentee. Keeping this in mind, the mentee can then benefit from formal as well as informal learning. It will then also be possible to put the mentee into situations where he / she has the opportunity to use what they have learned and discussed with their mentor. Making this a hands-on learning process will add to the experience and development of the mentee.

MENTEE DEVELOPMENT



It also helps to determine how much structure will be involved in the relationship. Some questions to answer up front include:

- Will this be a relationship where you will meet regularly, when needed, or just informally?
- Will it be set for a certain time period or open ended?
- Will assignments be tied into the relationship?

- Is there any expectation beyond guidance, such as financial or business aspects?

Determining these facets up front can set the stage for a successful relationship. Setting expectations early is important to not only getting the relationship off to a good start, but to keep both sides set on what is expected and when.

Some things to set up at the beginning of the relationship:

- Will all conversations be face-to-face?
- Will phone or Skype type sessions be an acceptable alternative?
- If emails are sent or vmails left, what is the expectation around turnaround time? Is two days or is two weeks acceptable? Make a commitment. Personally, I use 48 hours, even if it is just to acknowledge that I have received the communication and will get back to the individual.
- Are personal email addresses, cell phone numbers, etc., fair? Or is it kept to strictly business contact information?
- Will there be a limit to the number of hours of help per month? I like to set mine at one hour per month unless I am part of an advisory board of the company with some type of compensation, either cash or equity over time. In this case I generally offer 2-4 hours with the commitment that it will be focused.
- Will there be a set time frame? I like to use six months where we meet at least monthly. At the six-month mark we review to see how the relationship has gone. What we have achieved, or where we have fallen short, and what our next steps are. Is this a point where it would be better for the respective parties to move on? This does not mean that it is bad, just that the best of this relationship may have been had and future time will be better used with others.

- It is very important in the first or second meeting to come to agreement on what the goals of the relationship will be over the time agreed on.

- Keep SMART goals in mind: Specific, Measurable, Achievable, Relevant, and Time bound. This said, the mentoring relationship should not have too many goals. I recommend 1 to 4 over a six-month period as being manageable and realistic.

- Put measures in place and review the goals you have set on a monthly basis to see what progress is being made. If homework was assigned, has it been completed? What was the result? How has it helped? Where does it go from here?

- Get the agreed upon time frame on the calendar for when you will meet or converse. I suggest a consistent time. For example, the second and fourth Thursday of every month from 7:00-8:00 CST. This is also easy to put on most Google, Microsoft, and other calendaring systems. I include sending a reminder 48 hours ahead of time so that both sides can prepare. If one side needs to change things there is enough time to make alternate plans.

- If confidential-type information is involved how will that be handled in the relationship? You don't want a good relationship to end up in a bad lawsuit because of what was shared or what was done with the information that was shared.

- Determine how you will handle a disconnect if it comes up. You want to have an open relationship where you can communicate freely. For example, if one party does not respond to an email or vmail in the agreed amount of time, how will you handle it? I would suggest that the sending party follow up again, starting out with stating that you did not hear back from them so you wanted to follow up to make sure everything is okay and they received your message. If the first attempt was by email, try vmail this time. Switch it around to ensure receipt of the message.

- And if it gets to the point where the relationship is not going anywhere there should be an agreement up front that either party can end it. But don't just leave it by not responding to the other party. If nothing else, a simple email indicating that things have changed and as a result you need to use the time to move in another direction can be enough. This frees up both parties to move on rather than having one wondering what happened. If possible, a summary of what worked and what could have been better can be helpful to both parties, but remember to stick to the issues and the SMART goals you set up. It does neither side any good to get insulting. Better to move on before it gets to that point.

- Don't leave people hanging. In a startup environment individuals count on each other more than in larger environments. If you commit to doing something, keep the commitment. Not doing so can hurt the other person and slow them down in trying to accomplish their goals.

And it's not just the other person that gets hurt, word spreads quickly in the startup world and reputations follow. In writing this book for example, I had an individual tell me how much they wanted to get involved and mentor me through the process. She spoke about how great her experience was and how she could make a difference in my project. After having me spend hundreds of hours and thousands of dollars she decided to get involved in something else, leaving me to pick up the pieces. It took me months to recover and get back on track. For legal reasons her name is not listed here, but you can image what others thought of her as they contacted me to see how the progress of the book was going. Shame on her, but thanks to the many supporters that stepped up to help and encouraged me to keep going and create this needed book.

SET GOALS: IF YOU DON'T HAVE A TARGET WHAT WILL YOU SHOOT FOR?



Can you clearly define your goal?

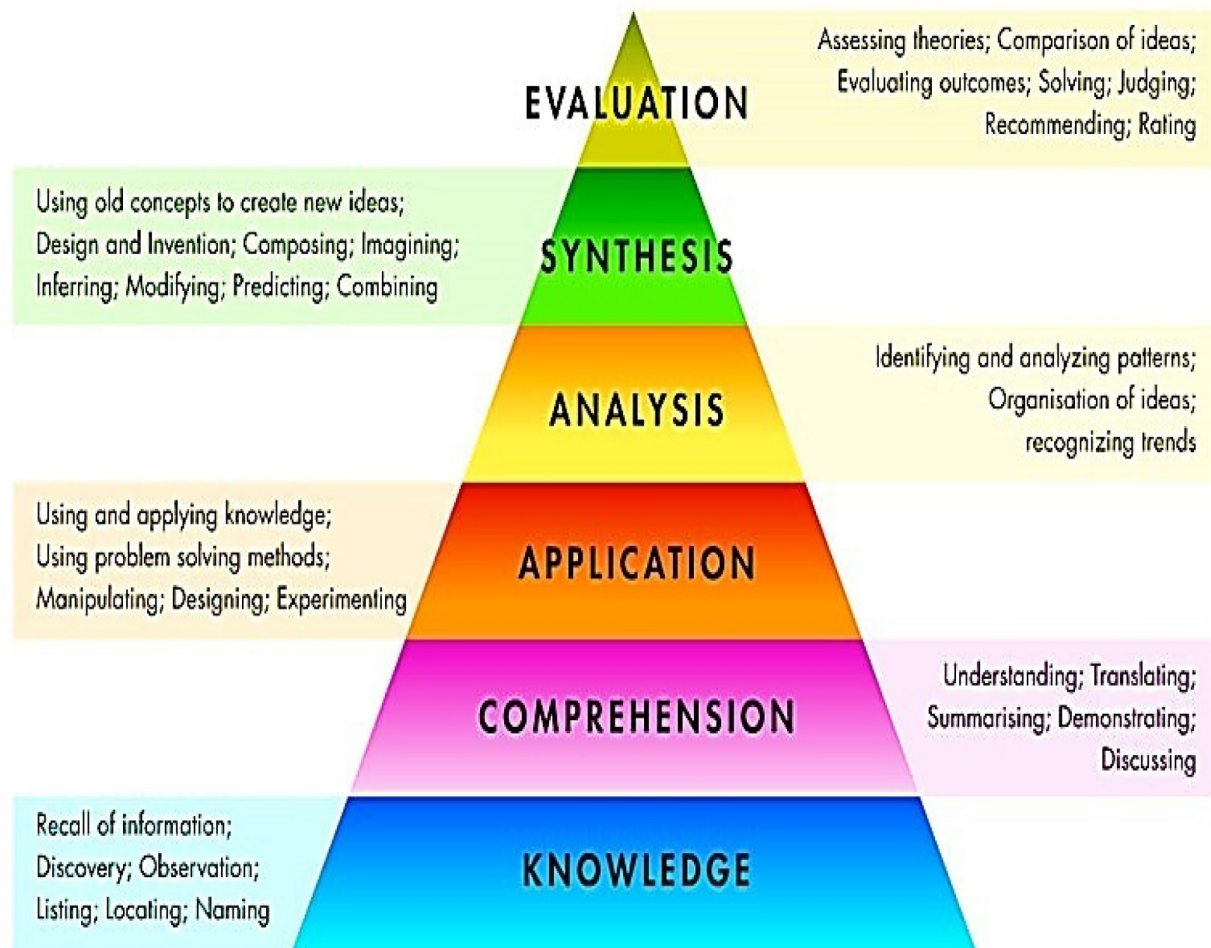
Use SMART as a guide.

Can you explain it to others?

BLOOM'S TAXONOMY

No one can know everything, so the next best thing is to know people who know the things that you need help with, and to know the level of proficiency needed to be successful in your startup. A tool I use from the field of education is known as Bloom's Taxonomy. In a learning environment--which I consider a mentoring relationship to be--it helps to identify to what level an individual needs to know something. For example, if I'm the CEO, do I need to know how to code the application that my business is based on or should I spend more time talking to potential customers and looking for opportunities to grow my business?

BLOOMS TAXONOMY



From: Successful Teaching

As mentors and mentees get together, this is something they should keep in mind. Using PowerPoint software as an example, if I'm a CEO I probably don't need to know the intricacies of the code behind PowerPoint, but I should have a conversant level of knowledge and baseline comprehension of what PowerPoint can do.

- Knowledge: Knowing what PowerPoint can do.
- Comprehension: Having an understanding of how PowerPoint works.
- Application: Knowing how to use PowerPoint and being able to create an actual PowerPoint presentation.
- Analysis: Knowing the different parts that make up PowerPoint: text, graphics, audio, etc.
- Synthesis: Looking at the components of PowerPoint and being able to create something new with the components of it.
- Evaluation: Being able to know how to use PowerPoint and the value it would bring in using it.

In the mentoring relationship, keep firmly in mind the various levels of knowledge along with the specific areas mentees need to know about to be successful--such as funding, finance, legal, sales, marketing, technology, and strategy.

EFFECTIVE MENTORING SESSIONS

Planning is power, as is adaptability.

For instance, if you look at all the hoopla, advertising, and attention paid to the average American football game you'd think the game lasted for hours. And, on television it might. In reality, the average American football game is divided into four 15-minute quarters, separated by a 12-minute break at half-time. There are also 2-minute breaks at the end of the first and third quarters because teams change ends of the field after every 15 minutes of play. The point is there is only so much time, and the ability to execute is key.

So, obviously a lot can happen in 2, 15, 30 or 60 minutes. A lot happens in those 15 minute quarters because what many casual observers of the sport don't realize is that the entire game is preplanned. The plays for every game are selected, organized and backup plans are put into place depending on how the initial game plan goes. As much as plays look spontaneous, they rarely are. It's the same with mentoring. You prepare beforehand, you go in with a plan, an agenda and a backup plan, or the flexibility to pivot or change things up entirely if things go differently than you planned. You're open to the unexpected, but you're there for a purpose.

To win.

If everybody is very succinct, an effective mentoring session might be done in 30 minutes. If there's strategizing and white boarding, it may take up to an hour. Having an agenda for each session which is distributed ahead of time also helps keep the meeting focused and the time kept to its best use.

If it is the first meeting, the key is to establish some common ground. That's why it's important for individuals, if at all possible, to use some type of tool like the Business Model Canvas. Having a tool and a process keeps the conversation to the items listed. The very first time a mentor and a mentee meet, they can come up with some mutual talking points and identify some common interests, have a conversation, discuss what the goals of the session are, and what the mentoring relationship is about. This is where the framework of the relationship begins to take shape.

From there, go into some detail about what the mentee needs and what the mentor can provide. A mentor should try to find what the mentee is really trying to do and see if it relates to any of the experiences they, the mentor, have had. Then, the mentor should determine if they have any tools, contacts, or ways to help the mentee. Sometimes it's an introduction to someone else that may be a better fit. Sometimes it's going through a scenario to see if there is any commonality. Sometimes it's an exercise, like asking a lot of questions to determine if a mentee has thought through something.

One core example is that most mentees need / want money. Funding is what moves a project forward, but if you only have an idea, most people won't give you any money. That's why I talked about the stages of money. For a recap of funding factors. . .

Usually you start with bootstrapping—which is when you use your own money. Then comes love money, where people fund you because of who you are, not because of your idea. Alternately, some people go the crowdfunding route, or to angel investors, or venture capitalists—there are a variety of funding sources. But they're not necessarily where you want to start. Remember, getting funding generally means giving up something, often equity. The earlier equity is given the less value is seen in it so the terms may not be as good as if the startup had some traction.

Structured programs in most accelerators tend to start in the same place. In the first part, they help you develop your product or service offering and create a good definition of what you have to offer. From there startups identify who their potential markets are. What are the market segments? How do you know that anyone is going to buy what you created? What's the price point? What does the competitive landscape look like? What's the overall value proposition? Finally, once you have those parts locked down—what your product is and who your customers are—you can ask who will fund you.

That's when it comes together. People will often create a pitch deck, and sometimes they pivot while brainstorming with these ideas—they change directions or come up with something different in honing their product/service.

Another common term is “minimum viable product,” or MVP. If you come up with an idea, you don't build it until the other parts of your project are in place. You don't build a product and then wait to see who will come buy it. You build a model, perhaps, and run it past people to see if they're interested, if they'll buy it, or if they have any other feedback. It's an iterative process where improvements are made along the way. This helps

insure there is a market and the startup does not spend all its money developing something no one will pay for.

Planning Tips - Prior to a Meeting:

- Write up an agenda for the meeting. What is it you want to cover?
- If there are any materials that should be reviewed prior to the meeting, make sure you include them in an email prior to the meeting.
- Send an email with the logistics (when, where).

Planning Tips - For the Meeting:

- Use a space that has what you need (projector, white board, flip chart, etc.).
- The mentee should draw out / explain what their business looks like (possibly using something like the Business Model Canvas).
- The mentor should ask questions - real time -- instructional questioning.
- The mentee should journal feedback from the mentor to review after the meeting.
- If comfortable consider sharing personal issues that are impacting the business.
- Put in place a follow up plan (who will do what, by when).

Take a snap shot for reference. This acts as a review tool and a place to pick up on going forward.

Length of Your Session

A good, or useful mentoring session usually runs about 30 minutes. Some experts we met with suggested extending the sessions to 45 minutes to an hour, but whatever works best for you and your mentor is what you should do. You may have an introverted mentee, or be an introverted mentor. You may not have an hour or 45 minutes to give every week. Look at your

schedule and what you plan to cover and adjust accordingly. I've had unscheduled meetings in a break room or in hallway that lasted 15 minutes and were very good, useful experiences. Focus more on what you want to cover rather than trying to fill up time. If a session ends early that's fine too. More opportunity to get other things done.

Mentoring Agenda

Like any effective business meeting begin by opening the meeting with an agenda. This not only sets the tone, but establishes the fact it is a meeting with a purpose and a goal. Start by establishing common ground with your mentee/mentor. This common ground can be as simple as talking about the expectations of the day's meeting, or of a few minutes chatting about shared backgrounds or current business news.

Share experiences that relate to the items on your agenda. Maybe you were mentored and are looking forward to being a mentor. Maybe you've both been mentored or a mentor and share some awareness of what works best for both of you.

Take time early in your first meeting to set goals and objectives for your current and future time together. Time is valuable for both mentors and mentees, so spend time crafting what your meetings might look like. Will you start with three minutes each time to report on new developments? Do you want to hear about how the mentee has implemented what you talked about last?

Sample Mentoring Meeting –Agenda

Date: 12/1/16 -- Time: 9:00-10:00

Location: Starbucks (State & Madison)

Participants:

- John Smith –Mentor
- Jill Jones – Mentee

Goal of Meeting: Address issues related to getting funding

Topics:

- Overview
 - Jill's background and updates (5 mins)
 - John's background and updates (5 mins)
- Startup overview (pitch deck presentation – 15 mins)
 - Does it relate to the goal of the meeting? (raising funds)
- Mentor feedback (pitch deck review – 10 mins)
- Current state review (where is the startup and what are the key things that need to be accomplished currently (10 mins)
- Action plan for going forward based on today's conversation (10 mins)

Follow up plan (5 mins)

* Attached pitch deck for review.

More suggestions:

- Share tools and contacts.
- Walk through potential scenarios. Discuss “what ifs.”
- Whether you're the mentor or mentee, come to the meeting with a good overview of the product or service.
- Address the price points. Use a business model to explain the details.
- Can your model make money?

- Discuss the value proposition. Will someone invest in you? That's the ultimate question.

FIRST MEETING

For the first meeting a set of goals should be identified. The end goal is to see if it makes sense for there to be follow up meetings. A first session might have an agenda something like this:

FIRST MEETING - 1 HOUR MENTORING SESSION - SAMPLE AGENDA

- 10 mins - Mentee – Overview of startup and personal background
 - Find areas of common interest, share personal goals
- 10 mins - Mentor – Overview of experience and how he / she sees their role as a mentor
 - Share experiences and interests in why mentoring
- 10 mins – Discussion of the mentees areas of need and how the mentor can help
- 15 mins – Action planning – what will be done by each side as a result of this meeting (goals, measures of progress, responsibilities, timeline)
- 15 mins – Plan for going forward and guidelines for how the relationship will work [schedule for formal meetings, informal communication, expectations)

**After the meeting the mentee should send an email following up to the mentor summarizing what the meeting was about, goals for working together, and expectations related to the relationship. Also include any follow up deliverables and due dates.*

In starting the mentoring relationship, it helps to have a plan. While mentoring in a startup environment does not have the same calendar dates and deliverables as a formal corporate program has, it does help to have a project plan for the relationship. Using a calendar as a starting point you may want to decide how often to meet, formally vs. informally.

MONDAY	TUESDAY	WEDNESDAY	THURSDAY	FRIDAY	SATURDAY	SUNDAY
						Email Update
	Call Reminder	Send agenda	7:00 Call	Review Action Plan		
						Email Update
	Call Reminder		7:00 Call			

Identifying common ground and building trust in a mentoring relationship is important if individuals are going to be successful. If possible, use a tool such as Google Docs to give your meetings some structure and to lay the groundwork for what you want to accomplish in the relationship. Google Docs can also be used as a tool for collaboration.

Getting the first meeting off to a good start sets the stage for the relationship. A few other items to cover up front include; the level of confidentiality of the information shared, expectations about financial commitments, and expectations related to introductions to other individuals.

SECOND MEETING - 1 HOUR MENTORING SESSION - SAMPLE AGENDA
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- 10 mins - Mentee – Overview of what has happened since the last meeting – Review the summary notes
- 10 mins - Mentor – Updates on anything he / she has been involved in
- 5 mins – Review of mentees goals (insure clarity)
- 5 mins – Review of mentor’s goals (insure understanding)
- 10 mins – Review of action plan (what progress, things working, not working, areas where help is needed)
- 10 mins – Action planning – what will be done by each side as a result of this meeting (goals, responsibilities, timeline)
- 5 mins – Address any other issues
- 5 mins – Meeting reflections (mentee and mentor – what did each learn in the meeting, what worked in the meeting, what could be changed to make the next meeting better)

**Prior to this meeting the mentee should send an agenda to the mentor at least 48 hours before the session outlining what will be covered in the meeting.*

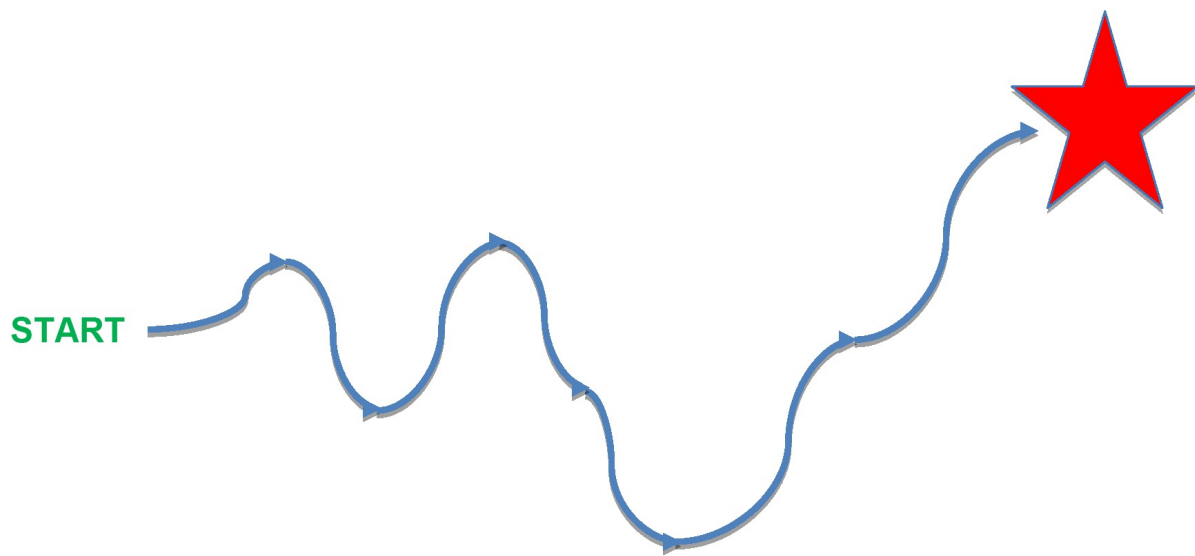
**Again after the meeting the mentee should send an email following up to the mentor summarizing what the meeting was about, goals for working together, and expectations related to the relationship. Also include any follow up deliverables and due dates.*

LinkedIn has a good series titled “The Mentor Who Shaped Me.” It has some great insights on what successful individuals have learned along the

way. Here's the link; <https://www.linkedin.com/pulse/mentor-who-shaped-me-what-richard-branson-knows-having-amy-chen?trk=eml-mktg-inf-m-mentor-0804-hero>. Definitely worth a look to get some ideas and inspiration.

SET A DESTINATION:

Agree on a roadmap to get there.



There will be ups and downs, but keep your goals in sight.

- Write them down
- Review them regularly
- Adjust as needed

Chapter 6: Tools that Make a Difference

Having tools is one thing, knowing how to use them is another.

~ George Vukotich

Chapter 6: Tools that Make a Difference

Using certain tools can save you a lot of time and money. Using them correctly can get you on track to achieving your goal better and faster.

MISSION STATEMENT

Founders should start by creating a simple, but important guide: a mission statement. Creating a mission statement can drive actions and help keep goals aligned. In a personal mission statement an individual looks at their purpose in life and uses it as the basis for how decisions are made. It is built on an individual's personal values and sets the direction for the things they want to accomplish in their life.

When it comes to an organization, a mission statement gives its purpose for existing and helps set the goals it seeks to achieve. It is a tool around which its members can rally, and which its customers can identify with. The mission statement should be in writing. This should go without saying, but it must also be clear and impossible to misinterpret. That way, everyone can understand it and act on it.

Creating a mission statement can be done by asking a few questions:

1. Why are you in business (who are your customers, how are you going to help them)?
2. What are the needs and wants of the market that you are going to meet (how are you going to make your customer's life better)?
3. How are you going to be different from others that are already in the space (how will you differ from your competition, how and why are you better)?

4. How does your company's culture and the employees that make up your company make a difference?

Once you have worked through it and written it down, run it past your mentors and other stakeholders to get their input.

SOME MISSION STATEMENTS FROM FIRMS THAT HAVE DISRUPTED THEIR INDUSTRY:

UBER: Transportation as reliable as running water, everywhere for everyone.

SLACK: We're on a mission to make your working life simpler, more pleasant, and more productive.

DROPBOX: We create products that are easy to use and are built on trust. When people put their files in Dropbox, they can trust they're secure and their data is their own. Our users' privacy has always been our first priority and it always will be.

PINTEREST: Help people discover things they love and inspire them to go do those things in real life.

INSTAGRAM: We're building Instagram to allow you to experience moments in your friends' lives through pictures as they happen.

GRUBHUB: Our mission is to make takeout better.

WEWORK: To create a world where people work to make a life, not just a living.

STRIPE: The best way to accept payments online and in mobile apps. We handle billions of dollars every year for forward-thinking businesses around the world.

SPOTIFY: All the music you'll ever need is right here. Your favorite artists, albums and readymade playlists for every moment.

HOME CHEF: Our mission is to make cooking fresh food at home as easy as possible.

1871: A non-profit that supports entrepreneurs on their path to building high-growth, sustainable businesses that serve as platforms for economic development and civic leadership.

GOAL SETTING

Have you ever been to a meeting that just felt like a meeting for its own sake? Meeting with mentors just to meet with them rarely leads to productive outcomes. While it is nice to say that you have met with venture capitalists or other experts in the field, the purpose of having mentor meetings is to create productive insights on how to move the mentee and his or her business forward. Without goals, time just gets burned up. While goals may change, there needs to be a starting point and a destination to strive for. By knowing what they want to achieve, the mentee can concentrate efforts to get there and avoid the many distractions that come up along the way.

Setting goals also helps with motivation. If you don't know where you want to go or what you want to accomplish, you'll spend a lot of time just wandering around. Goals are a map that helps you organize your time and identify the resources you need to achieve them.

Once you have your goals and you've decided how to measure your progress, you'll be able to allocate your energy and resources in the best way. It also allows you to build confidence and celebrate milestones as you pass them. Once you have the Big Picture--where you want to go and how long you think it might take--it's time to start breaking it down into smaller parts, which will make even the most audacious goal seem easier to achieve.

Start with a five-year goal. Figure out what you need to have in place at the end of year one to be making progress. Same for year two and so on. As

part of the goal setting process, keep in mind how other goals fit in with your overall business goals. What does the overall goal look like and what are the components that make it up?

The goal setting process brings clarity to what needs to be done today to get to where you want to be tomorrow. It starts with looking at longer-term goals and then breaking them down into what you will do next year, next month, next week, and tomorrow. Often looked at as a to-do list on how to get from where you are to where you want to be. SMART Goals are a tool that can help bring clarity and focus to the process.

SMART GOALS:

S – Specific – What exactly is it you want to accomplish?

M – Measurable – How will you track your progress toward accomplishing it?

A – Attainable – Are the goals something you can realistically accomplish?

R – Relevant – Is there meaning behind what you want to achieve?

T – Time Bound – Do your goals have timeframes set around them?

Goals should be prioritized, written down, and reviewed on a regular basis (monthly) to see what progress is being made. Linking dates to the time to achieve goals also lets you monitor progress and helps you determine if you're on track or need to adjust. If time frames start to deviate greatly from your plan, you need to ask why and determine what adjustments should be made.

As you regularly review your goals it is helpful to look and reflect upon lessons learned. Periodic reflection and evaluation will help you identify potential areas of opportunity as you go forward. It is also important to celebrate the milestones you achieve with those that have helped you achieve them. Even small symbolic gestures make a difference.

Consider this exercise that I often use with individuals: If Time Magazine came to interview you in five years for the incredible success you have had, what would the headline say?

A rectangular box representing a magazine cover. At the top, the words "TIME" and "MAGAZINE" are stacked in bold, black, sans-serif capital letters. In the center is a solid black silhouette of a person's head and shoulders. At the bottom, the words "WHY YOU?" are written in bold, black, sans-serif capital letters.
TIME MAGAZINE EXERCISE: - It's five years from now. You have been selected to be on the cover of a well-recognized magazine. - What is it you have accomplished that they have come to you for? - How did you do it? - How has it changed the world?

- **What areas of life has it changed?**
- **What allowed you to be so successful?**
- **What is the role others played in your success?**

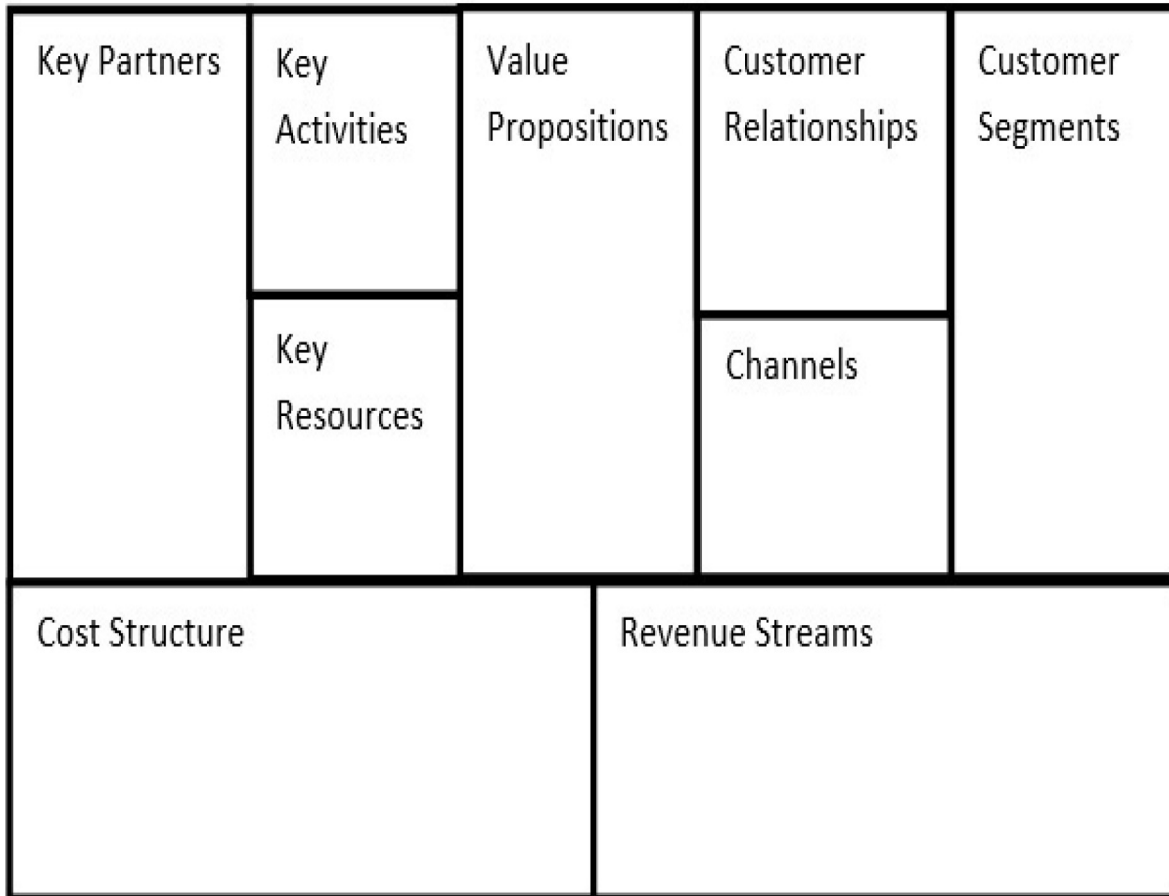
BUSINESS MODEL CANVAS

Having ways to communicate and share ideas can save time and cut down on unclear communication. One tool that is easy to use--an absolute must for mentors and mentees--is the Business Model Canvas created by Alexander Osterwalder. It is a one-page approach that helps you identify the components of your business strategy.

The Business Model Canvas is already a popular tool in the startup world. Both mentors and mentees should become familiar with it. It will work wonders to make sure everyone is speaking the same language when planning and goal-setting, and seeing things from the same perspective.

The Business Model Canvas is comprised of nine boxes addressing the areas of business that all startups need to consider. While many of the nine boxes on the canvas can be used as a starting point, I suggest individuals start with defining their value proposition and identifying who their customers are. Sample templates are available by simply Googling "Business Model Canvas."

BUSINESS MODEL CANVAS:



One of the first things I suggest startups do is create their elevator pitch. Along with a pitch deck, these are the tools to use to tell others who you are and what you do. The Business Model Canvas is a perfect tool for helping to build them. I like to start with attempting to understand what the mentee's product or service is. What is the value proposition behind it.? Can they clearly articulate what they have and why anyone should care?

VALUE PROPOSITION:

- What is it about the product or service that will make things better for the customer?
- What is currently being done and how will what you have make things better?
- Is your solution; better, faster, cheaper, or how does it make a difference?
- What will it take for potential customers to give your solution a try?
- How bad is the pain a potential customer has? Will they be open to giving you a try or are they locked into what they are currently doing? Is there a cost to switching?

Then, once I have a feel for who they are and what they do, I want to understand the customer segments they are looking at and why.

CUSTOMER SEGMENTATION:

- Is there one main customer segment? For example; women in their 30's. There can be multiple customer segments. The key is to understand how to divide the customer segments and by what criteria.
- What is the composition of the various segments? What are the common characteristics between the segments and what are the unique aspects of each? What are they interested in? How do they make their purchasing decisions?
- What are the most profitable segments?
- What are the needs and problems these segments have?

- What are customers currently doing to meet their needs and solve their problems?
- How are you prioritizing each segment and what is it based on?

Demographics can also be used to help in identifying customer segments. Some examples of demographics include:

Age: which is usually broken down into categories.

- Under 18
- 18-25 years old
- 26-35 years old
- 36-45 years old
- 46-55 years old
- 56-65 years old
- 65 years and older

Ethnicity: is often a segmenting factor in order to identify cultural preferences.

- White
- Hispanic or Latino
- Black or African American
- Native American or American Indian
- Asian / Pacific Islander
- Other

Education: is used to determine if there are differences in preference by the different levels (it does not indicate good or bad, simply whether a certain level of education has more or less of an inclination to purchase a product or service).

- Grammar school through 8th grade
- Some high school, no diploma
- High school graduate, diploma or the equivalent (for example: GED)
- Some college credit, no degree

- Trade/technical/vocational training
- Associate degree
- Bachelor's degree
- Master's degree
- Doctoral degree

Marital status: is used to indicate what a household makeup may be and to what extent certain products or services appeal to that demographic.

- Single, never married
- Married or domestic partnership
- Widowed
- Divorced
- Separated

Employment status: has a direct impact on income and determines what products and services individuals can buy.

- Self-employed
- Out of work and looking for work
- Out of work but not currently looking for work
- Student
- Military
- Retired
- Unable to work

Income: Not only whether a person is employed, but how much money they make and have available to spend.

- Less than \$20,000
- \$20,001-\$40,000
- \$40,001-\$60,000
- Over \$60,000

Once the demographics and customer segments have been identified and prioritized, the next step is to look at the channels and how they are used to connect with customers. Channels can be direct or indirect.

CHANNELS:

- What are the channels you have set up to reach customers (web site, retailers, wholesalers, value added remarketers, etc.)?
- What does it take to work through these various channels?
- Are competitors using the same channels, and if so, how are you positioned in the channel to compete?
- Is there any new type channel that could be used? Advantage/Dis-Advantage?
- What are the costs of working through the various channels?
- Do any of the channels help you sell to an audience you could not otherwise reach, and how does that impact your overall go-to-market strategy?
- Are your potential customer segments tied to certain channels and why?
- What are the costs/revenues from the various channels and what impact does that have on the channels you are looking to work with?

Customer relationships look at how you interact with customers before, during, and after the sale. Depending on your product and the channel used, you may have direct contact with the customer, or possibly indirect contact through a third party channel. A key point here is to see how your reputation will be built and maintained. Is this a one-time sale or an ongoing relationship? Do your customers need your expertise on an ongoing basis? If you work through third party channels, how will you support them and get them to keep you at the top of their mind, versus other alternatives?

CUSTOMER RELATIONSHIPS:

- At what stage are your customers; no knowledge, awareness, interest, consideration, purchased, loyal, etc.?
- What is your go-to-market strategy; low cost, product innovation, or customer service focus and what do you want your reputation / brand to be?
- What is your; get, keep, and grow strategy?
- Do you work through channels? If so what support do you need to provide them?
- Have you explored what the customer expects from you in a relationship?
- What is your response policy in terms of cost, turnaround time, and repair or replace options?

Revenue streams are a direct result of customer relationships. They show where your revenue comes from, which segments are most profitable, and provide you with direction on where to focus your efforts. Ask if the revenue streams today will increase, decrease, or stay the same, and what you need to do to plan your offerings for the various market segments.

REVENUE STREAMS:

- What are the segments that are producing revenue for you?
- What is the value proposition for each of these segments and is it as effective as it could be?

- How are you prioritizing your revenue streams? Is it based on current revenue, potential revenue, or other, and how does it link to your overall strategy for the market segment?
- What aspects of your offering do your customer segments see value in?
- Is your offering priced optimally? By segment, channel, service level, etc.?

Cost structure is what you have in place to be able to deliver your offering. It is the cost of doing what you do. The key is to have the right level of infrastructure to deliver your offering.

COST STRUCTURE:

- What are your costs in comparison to your revenue streams? Are you making money or, if you are pre-revenue, what will you have to do to be profitable?
- Compared to your value proposition how well does your cost structure align to your offering?
- What are your fixed as compared to your variable costs and how much flexibility do you have to change the cost structure?
- Does your cost structure allow you to easily scale (grow) your business?
- Have you identified the costliest aspects of your offering? Is there anything you can do to alter your cost structure if you pivot in your value proposition?

Key resources are what you have and need in place to run your business effectively. They are what support your value proposition and impact your cost structure and how you do business. Key resources can be people or other sources of support that enable your business to operate effectively.

KEY RESOURCES:

- What are your key resources (people, access to information, access to funds, materials, etc.) that support your value proposition?
- How reliable are the key resources you have?
- What is your backup plan if a key resource becomes unavailable?
- Do your competitors have any influence over your key resources and how critical is the threat?
- If you have intellectual property, do you have it identified and protected by patents, trademarks, etc.?

Key activities focus on what your business does to support its value proposition. This is the distillations of what must be done on a regular basis for you to deliver on your value proposition.

KEY ACTIVITIES:

- What are the key activities that need to be done to deliver on your value proposition?
- How well are you organized to get the work done?

- From a process improvement perspective have you identified the key activities and looked at how they could be done in a better, faster, or cheaper manner?
- Look at all the stakeholders including customers, can you identify what the activities are and what interactions need to happen to deliver on the value proposition?
- Is there anything you could do to be more effective?

Partnerships can make a difference in what you can deliver on, and may allow you to have a unique value proposition that others may not. Partners can be individuals that help you deliver your offering--such as suppliers--or those that can make the offering unique, like value added-partners who create a unique offering.

PARTNERSHIPS:

- Who are your key partners and what do you count on them for?
- How do these partners allow you to have a unique offering?
- Do your competitors have access to the same partners and if so what does it take to keep them loyal to you?
- If you lost a key partner how would you replace them?
- Is there anything your partners are doing that would be better done in-house?
- Is there anything done in-house that could be done better by a partner?

- Are you fully utilizing what your partners can offer?
- Have you had conversations on how the partnership could evolve into something better to expand on your value proposition?

Using the components of the Business Model Canvas brings focus to the mentoring sessions and the overall relationship. By continually reviewing the status and progress, mentors can give focused insights and provide guidance on how to tap into a larger network of experts.

GET, KEEP, AND GROW THE CUSTOMER BASE

Customer Relations are a particular area where a mentor with a marketing background can help. From a startup perspective it is important to look at the market and how to get, keep, and grow the customer base. Different skills are required in each stage, and the mentors you need may be different as you go through each stage.

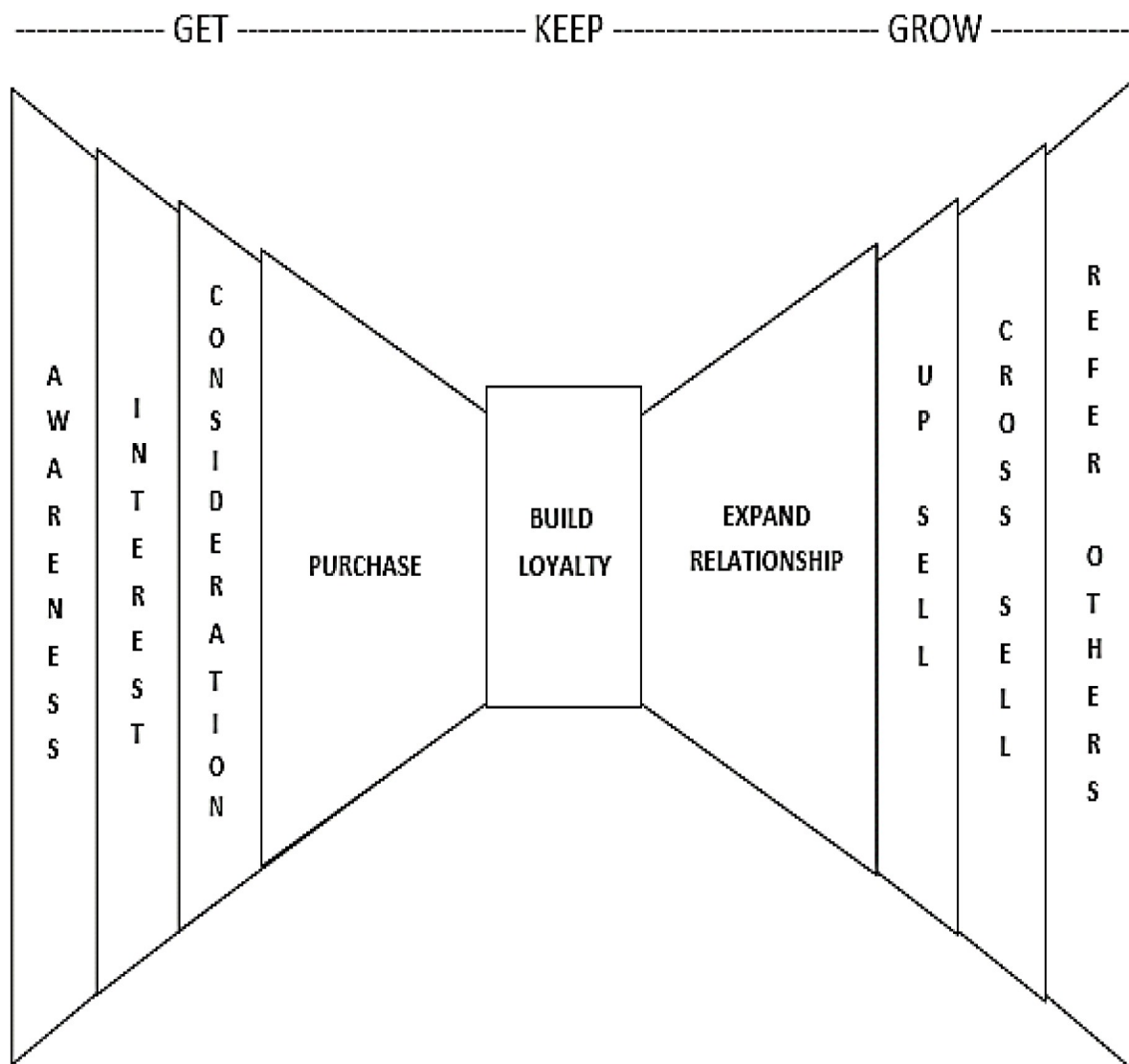
In the “Get Customer” stage, we look at how to make potential customers aware of who you are, what you do, and how it can benefit them. You need to generate interest so people will give you a try.

In the “Keep Customer” stage you look at how to keep them from moving to competitors or looking at alternative options. Loyalty programs--such as those used by airlines, some gas stations, and credit card companies--are examples. Others try to provide high levels of customer service to set themselves apart.

In the “Grow Customer” stage it’s about how to get existing customers to buy more of what you have and to come up with related products that might also interest them. You have them as customers for a reason. This is a chance to grow the relationship. Cross-selling your other products and services (and upselling) are strategies that can work. The car industry

leveraged this model years ago. General Motors owned a number of brands: Chevrolet, Pontiac, Oldsmobile, Buick, and Cadillac. The idea was to start you at a young age with a basic, affordable Chevrolet. Then, as your income level grew they would migrate you to the higher scale, more luxurious, and of course, more expensive and more profitable models.

THE GET, KEEP, AND GROW CUSTOMER FUNNEL:



Different skills are needed at different points in the customer acquisition process. From a startup perspective different individuals with different skillsets are needed at these different stages.

STAKEHOLDER MANAGEMENT

While startups often focus on developing their product or service, and in some cases their customers, they often forget their other stakeholders. Investors and other partners are also key to success. Creating a simple stakeholder matrix allows you to identify who the various stakeholders are and what's important to them.

STAKEHOLDER STRATEGY – WHAT’S IMPORTANT TO WHOM

S T A K E H O L D E R S

	Investors	Suppliers	Employees	Market Segment #1	Market Segment #2	Business Partners			
AREAS OF IMPORTANCE									
Sales	X	X	X			X			
Profits	X		X						
Scalability	X		X	X	X	X			
Technology									
Legal Issues			X			X			
Markets	X	X				X			
Delivery				X	X				

This chart is a starting point to identify who is interested in what. A more detailed description with specific action steps--including timelines and methods of communication--could also be built out.

TIME MANAGEMENT

One of the bigger issues I see with startups is the wasting of time and committing effort and resources to areas with little return. In a startup,

time is precious. Business owners have so much to do and there never seems like there is enough time for it all. The luxury of having access to mentors can save time and money. But managing a mentoring relationship and using the time together to its fullest is also a challenge. Here's a simple tool that has been around for a long time: The Time-Management Matrix. It's easy to use and a good way for individuals to prioritize their work.

TIME MANAGEMENT MATRIX:

	URGENT	NOT URGENT
IMPORTANT	<u>NEEDS ATTENTION</u> High priorities needing immediate action - Work crisis - Unplanned people needs - Accidents	<u>STRATEGIC TIME</u> Plan and Prioritize - Planned work - Researched - Coordinated effort - Scheduled time - Strategic growth
NOT IMPORTANT	<u>OTHER FOCUSED</u> Time spent on other's needs - Unexpected crisis - Changed plans - Evaluate return on investment	<u>WASTED TIME</u> Don't spend time on - Busy work - Trivia - Junk mail - Escape activities - Watching TV

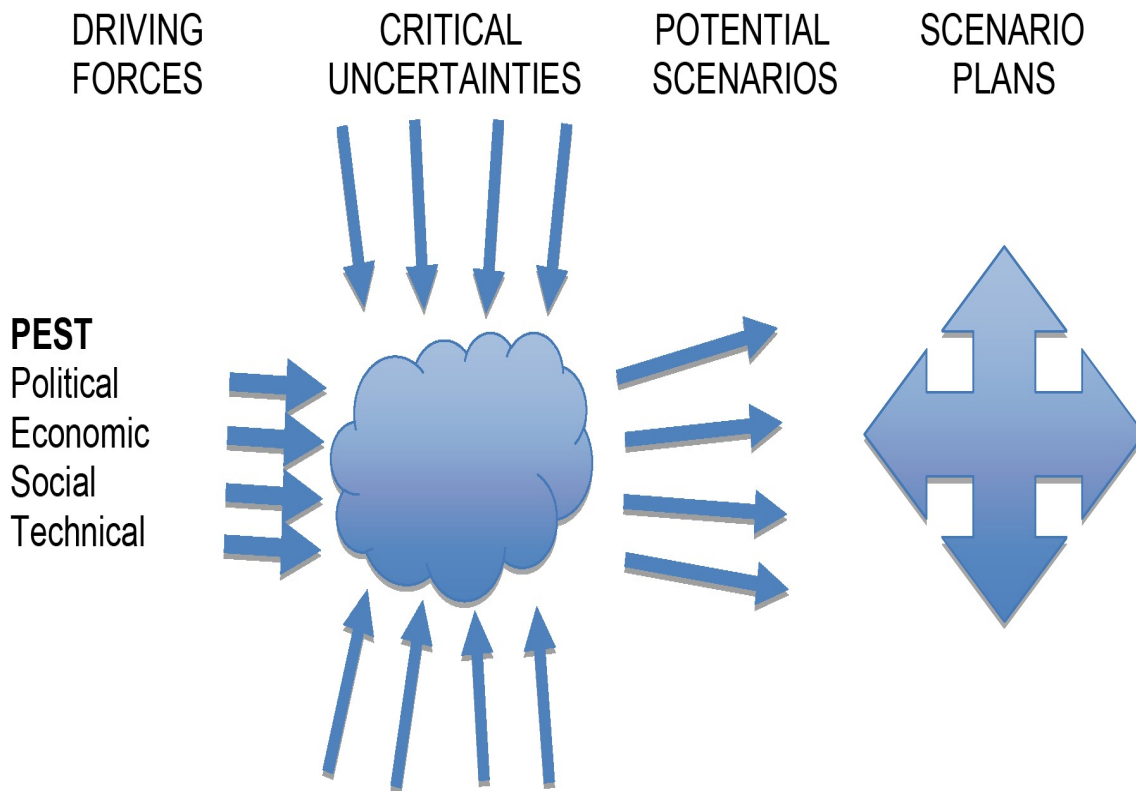
As you list out your daily, weekly, and monthly tasks ask yourself where they fall on this matrix. Are you spending your time on the key areas that are “strategic” and where you need to grow your business or are you shuffling and re-prioritizing your mail?

Related to this is the idea of multi-tasking, or thinking you can do multiple things at one time. It’s clearly known that you cannot effectively watch TV and build your strategic plan at the same time. Have doubts? Try talking to a loved one while watching TV and see what their response is. Or just ask yourself how you feel when someone is giving you less than their undivided attention (texting and talking, reading email during a dinner conversation, or interrupting an intimate moment to answer a phone call). As one mentor put it; “There’s a time and place for a computer, but the bedroom is not one of them.”

SCENARIO PLANNING

Often startups can leverage the insights of mentors in using a process known as scenario planning. The process takes an if-then approach to looking at situations and the potential options that exist. It starts by identifying driving forces that exist in the marketplace and how other uncertain factors may have an impact. Often what is known as a PEST (political, economic, social, technical) analysis comes into play, looking at what changes are taking place that could impact what you are trying to do.

THE SCENARIO PLANNING PROCESS:



BUILDING A PITCH DECK

Regardless of the business the mentee is in, they need to be able to tell their story. The best way to do this is with a “pitch deck.” Basically a pitch deck is a set of PowerPoint slides the founders use to tell their story. It is often used in fundraising efforts.

While there are no set rules on what should be in a pitch deck, here are some points from best practices. Guy Kawasaki, an early employee of Apple, and one of the individuals credited with the marketing success of Apple’s Macintosh Computer, and a major investor in the Silicon Valley scene has these guidelines; 10 slides, that can be covered in 20 minutes, and that use 30-point font or greater.

Here are the type slides that are generally suggested for use in a pitch deck:

Slide 1: Title Slide – The company's name, presenter's name, and general contact information (web site, email, phone number).

Slide 2: Problem / Opportunity Slide – What is the problem you are addressing or the opportunity you are going to take advantage of? Clearly stated, with a supporting statistic or two is helpful.

Slide 3: The Current State – What exists today and why it is not effective?

Slide 4: Your Value Proposition / Solution Slide – What is it you are going to do to solve the problem or take advantage of the opportunity and what is the value of your solution?

Slide 5: The Status Slide – How far along are you today? What is in place, what needs to be developed and what is the timeline related to it?

Slide 6: The Business Model Slide – How will you go to market? What is the plan for making contacts and generating revenue? Which customer segments will you go after, why, and how?

Slide 7: The Revenue Model Slide – How will you make money? What are your costs as compared to your revenues? When will you break even? When will you make a profit?

Slide 8: The Competitive Landscape Slide – What does the competition look like? Why is your solution better?

Slide 9: The Team Slide – Who is on your team? What are the unique backgrounds they bring? What have they accomplished before? What other startups have they been involved with? Founders (equity holders) or employees? Do you have an advisory board (who and what do they bring to help)?

Slide 10: The “Ask” Slide – What is it you need? If funding, what do you need (amount) and what will it be used for (product development, sales expansion, etc.)? Terms should also be covered - what will investors get in return for funding you?

Slide 11: The Question and Answer Slide: From here, offer to answer questions that anyone has. If you don’t have an answer don’t make something up. Admit you don’t have the answer, but also offer to get back to them so they can continue to do their due diligence.

It should also be noted that there are many mistakes investors and others have seen in pitch deck presentations. Here are some common mistakes cautioned against;

- Giving too many product details. Those that have technical products often like to talk about all the specifics it includes and how it got there.
- Focusing on statistics and financials that simply don’t compute. Making statements like; “Every American will want one” or “There are over 300 million people in this market segment” will bring more questions to the presenter’s credibility and detract from the presentation than starting with a conservative and realistic approach.
- Making insulting comments about competitors and belittling them as compared to the presenter’s company.
- Making claims and assumptions that cannot be backed up with data and statistics.
- Being arrogant and over confident.
- Not being able to answer questions with facts.

The great part about pitch decks is that they can be prepared ahead of time and a mentor can work with the mentee to go through their deck to make sure the story they tell is easy to understand and compelling.

Some individuals are also using video clips to tell their story. Having a good videographer and a 30-90 second video on who you are, what you do, why you need funding, and what's in it for the investor can also help.

Video is helpful in that it gives you a chance to focus on the areas that are important to you and leaves less room for interpretation that may not be what you want. You can also post the video on various social media to get your message out.

REFLECTION

One tool that is often overlooked in the growth and development process is that of reflection--looking back at what happened. Whether a task or event has gone well or poorly, there are often lessons to be learned. A reflective person takes a step back after the completion of a task or event and asks what went well, what could have been better, and what are the lessons learned?

A few questions to use for reflection:

- What was the scenario?
- What were my choices?
- What did I do and why?
- What happened?
- Could there have been a better outcome?
- What did I learn?

Taking this approach helps bring closure to issues and solidifies the lessons learned. It also helps with scenario planning as you go forward.

FINAL THOUGHTS ON TOOLS:

There are many tools available to startups, in this chapter we have pointed out some of the most common and easy to use as they relate to some of the most common issues that startups run into. Taking a little time to plan can save a lot of time in getting the important things done and avoiding re-work.

Chapter 7: Building Your Network

You can make more friends in two months by becoming interested in other people than you can in two years by trying to get people interested in you.

~ Dale Carnegie

Chapter 7: Building Your Network

Master networker Fred Siegman has said that there are two ways to get mentors: “They find you or you find them.” Sounds simple enough, right? Yes, except we also have to consider that we want the *right* mentors for the *right* mentees.

As the head of Programming for 1871, one of the world’s largest and most successful high tech incubators, I met hundreds of people every day. Often, the most valuable role I played was connecting individuals to each other. I also see that those who are most successful in a startup environment are the people who make connections and get the word out about what they’re doing. Building a strong network is a key to success. Finding the right people, with the right skills, at the right time is the challenge.

MENTORING NETWORKS

Billy Dexter, Managing Partner at Heidrick and Struggles, said that networking has an art to it, and a specific one--the art of storytelling. “Before you start, you need to have a clear, concise story. What’s your story?” Because the story of today, for each of us, is the story of everything we’ve experienced that brought us to today. And today your story includes a desire to build a network. If that’s a story you can tell to a mentor, you’re ahead of the curve. Sometimes the data, as accurate as it might be, just isn’t as effective when it’s not tied to a compelling story with a human face.

Angel investor David Shulman said “As far as networking, nothing has served me as well as a simple drive to understand people better, including myself.”

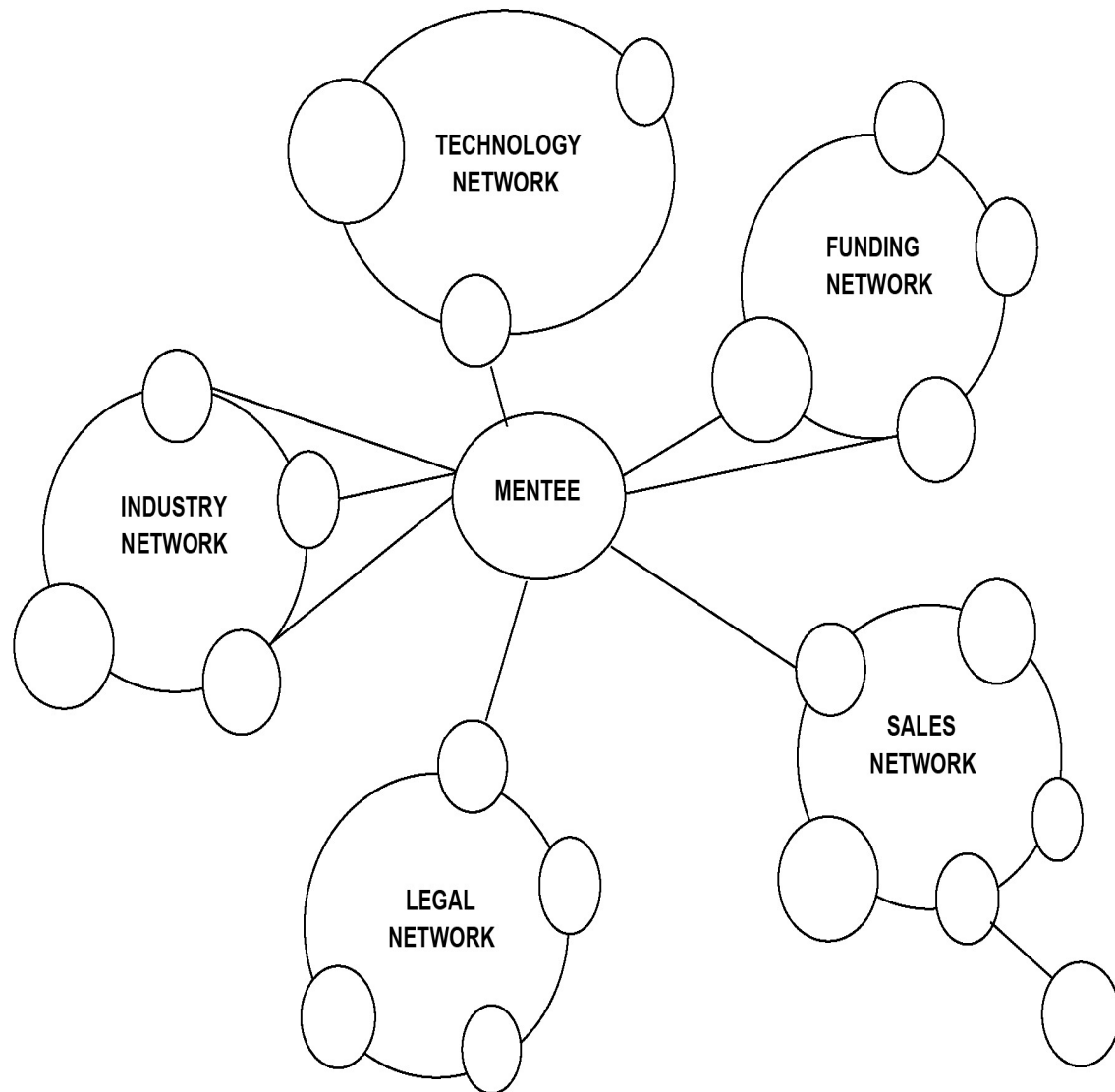
Not everyone who is successful is a networking wiz, but even some of those who don't do enough of it acknowledge its importance. "I'm terrible at it [networking]," says Serhat Cicekoglu, partner at Anka Capital Management; "We prioritize according to our interests and obviously that has never been mine."

When I asked Linda Darragh what she might change if she could go back to the start of her career, she said, "I understood the importance of networking, but it was so much more critical than I was aware of at the time. I'd put even more effort and energy into it if I could go back. You've got to learn who the players are in your industry. This is how it happens and it's how you eventually get a seat at the table."

There are as many stories as there are people, and in the startup world there is no one-size-fits-all approach to success. An entrepreneur plays the role of; CEO, COO, CTO, and whatever other role needs to be filled. Often there are no job descriptions that make sense at this early stage. Given the varying skills required in these different roles, there needs to be unique help in each of these areas. Finding one mentor that has expertise in all these areas can be a challenge so rather than look for that one mentor that has it all, an approach we have had more success with is to have a network of mentors.

It is not uncommon for a startup to have 5-8 mentors in specific areas of expertise. Generally, one key mentor will focus on the long-term overall relationship and act as the go-to person having a close network of mentors with specialty skills readily available. A good process for the individual and their mentor to work through is to try to identify what their network looks like today as compared to what they need it to look like going forward. Are the right connections there? What will it take to build the type network that can make a difference? Keep in mind what you can offer them as well as what you need from them.

SAMPLE NETWORK MAP:



Add the; names, nature of the relationship (primary, secondary, etc.) and this will give you an idea of what your network looks like. Consider doing one of your current network vs. your ideal network and then work to build it out.

Building a network is not just about collecting business cards. It goes far deeper than that. It's not about the number of followers or fans you have on

Facebook, Twitter, and other social media either. It's not the numbers you have, but what you can accomplish with your network. That's why building it involves more than swapping phone numbers and emails. Building your network is the process of trust in action. It takes time and work to build something worth having.

Start with the people you know.

Then, ask for introductions to the people they know. Mentor some, be mentored by others. Everyone has something, a skill, a skill set, some expertise they can share. Likewise, learn how to share what you know with others. Become someone they can trust and turn to for information, instruction, and introductions. The more influential you are, the more influential you can become. Learning how to be a great connector, to spot a need in one area, and then to find or introduce someone who can help someone with that need is powerful. Learn how to be a great connector by learning how to introduce people to others who can help them, and vice-versa.

MY EXPERIENCE AT 1871

Over my career, and in particular during my time at 1871, I can tell you that building a potent network where you are connected with talented individuals is invaluable. When I first got to 1871 I did not always immediately have the answers to the questions that the 400+ startup companies asked, but I found a way to connect with people who had the answers or knew someone who had the answers. In a short time, I became known as; "The man behind making 1871 run." It was not just that I did my day-to-day work, but I had the knowledge and ability to connect individuals to others that could help them or share some unique insight with them.

Our immediate mentor network grew from under 50 mentors when I got there to over 500 mentors in less than two years. And it was not just that we increased the numbers, but that we were able to connect with talented individuals who could mentor--and who brought a deep, relevant skillset

that could make a difference--to our members. We were able to do this because of our network.

One example arose when a number of our companies started to gain some traction and had the need to understand how to grow a company. In this case I contacted Linda Darragh from the Northwestern University's Kellogg School of Management. Working with her, we put together a series of workshops under what we called the Kellogg/1871 Startup Series. It included sessions on: how to form a team, how to build an advisory board, and how to build your startup culture.

What was unique was that we not only offered it and put it on for our startup member companies, but we also invited Kellogg alumni to attend, and the sessions were broadcast worldwide. This provided not only a great educational experience, but also allowed for a great networking opportunity for all involved.

For our purposes, the work and insights around how to build an advisory board were particularly significant. Startups don't often have the resources to engage individuals they need. One way around this is to bring in individuals as part of an advisory board, which can also help fill the role of mentorship.

Think of this as "corporate matchmaking." Not only will you reap the appreciation of both parties, you'll be seen as someone who is well connected. To be good at this, Linda Darragh says, "You need to meet a lot of people to acquire a diverse perspective."

Not only did this lead to a greatly appreciated series, but everyone that participated had a chance to build their network.

Now, not everyone has access to an incubator like 1871, but I strongly encourage you to find local groups that get together and share the kind of interests you have. With tools like Meetup, Co-Founders, and LinkedIn, there are many ways to find people to connect with, online and off. If you

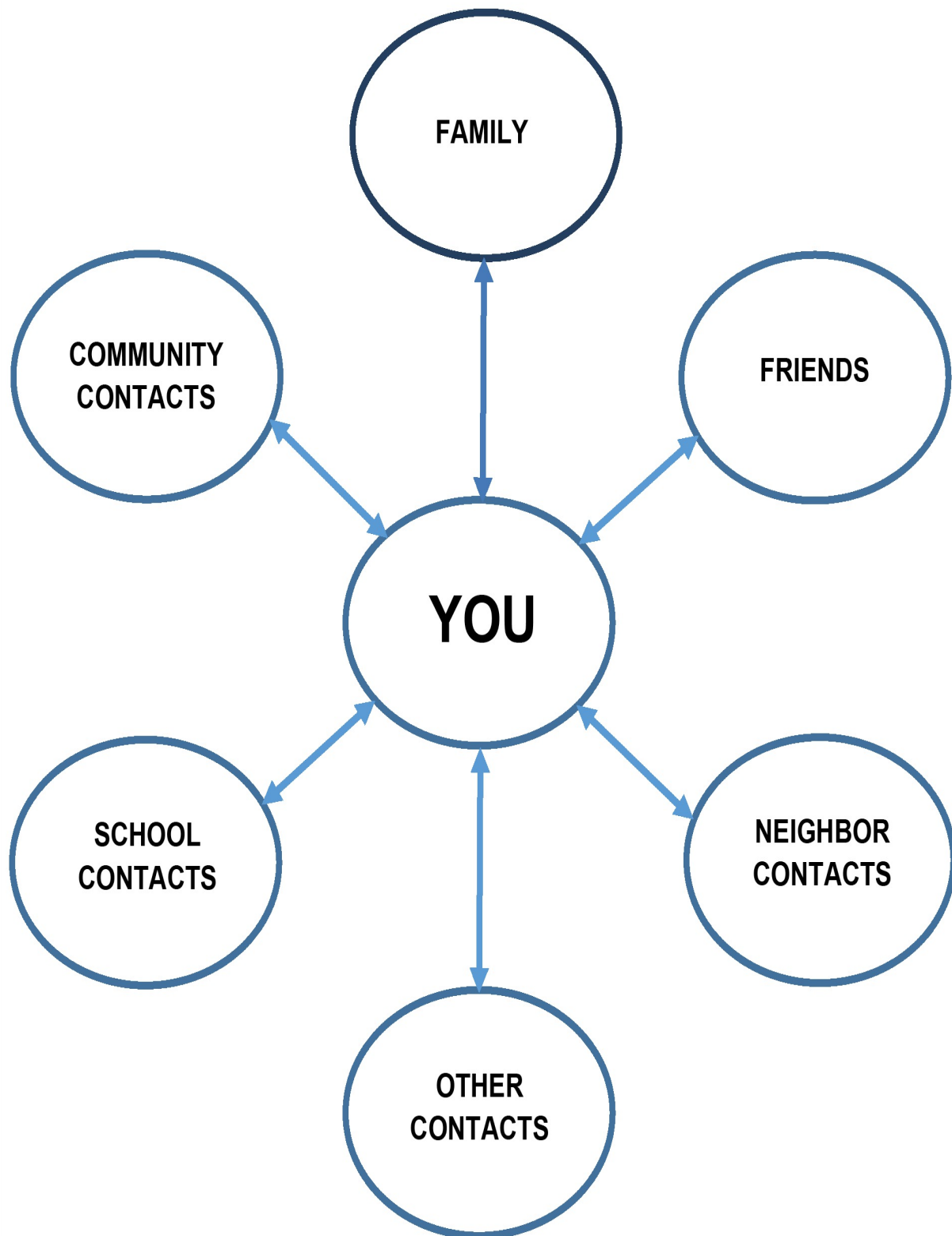
really want to be at the center of what goes on and want to know everyone in a group, try starting a group yourself.

Alumni clubs can also be a good starting point since they give you a common frame of reference with others that have gone to the same school. Also don't forget the more traditional organizations such as Rotary Clubs and chambers of commerce. Most will let you attend a couple of meetings at no cost to give you an opportunity to see if the group is right for you.

ASSESSING AND BUILDING YOUR NETWORK

First things first. Determine why you want to build a network, and then decide which areas of expertise must be built into it. These are your starting points. Beginning with who you know, tell them what you need. Ask them if they can help, and if not, do they know anyone who might be able to. You have to take the initiative to make the contacts.

YOUR STARTING NETWORK:



PEER NETWORKING

Peers are a resource that are often overlooked. If you want to improve an aspect of your work, peers can be a huge help. Particularly in the startup world where people know where you're coming from and what you're going through. You can't overestimate the importance of people who simply "get it," and nobody gets it like other people who have been through the startup gauntlet. A shared sense of purpose always sets the stage for a more profound and enriching depth of understanding.

Look at the people around you and identify their potentially useful skills and contacts. This doesn't have to be as mercenary and transactional as it might sound. Remember, see if their experience is similar to yours. Are there any particular lessons learned that you can apply to your situation?

UPWARD NETWORKING

Networking up--meaning, going outside of your peer group--can be a little more of a challenge. Chances are you won't have as much daily interaction as you do with peers. However, finding some areas of common interest can bridge that gap, regardless of how high up the chain someone you want to add to your network might be. You don't want to be a stalker, but if you want to connect with someone, and you know they are part of an organization that will require them to be at certain events, go to the events to meet them if it makes any sense for you to do so. If you can't connect with them directly someone there may be able to make an introduction for you. Talk to people. Find areas of mutual interest. Fortune favors the bold, so be bold.

A quick side note on tempering boldness: Justin Massa said, "Some mentors are guarded and it may take a little time to get them to open up on specific experiences, so build the relationship first." Not every mentor is going to be an extrovert. If they've experienced great success they might feel like everyone wants something from them. So take your time, observe, and get a feel for how each mentor might respond to the nuances of various approaches.

Spend some time each day skimming news sources to see if potential mentors or the companies they are connected with are getting any press. This gives you a chance to reach out and connect about something that is relevant to them, instead of fishing for things to bond over. Individuals who are recognized in their fields are often asked to speak at events or to groups. See if there is a way to attend one of these functions. Even if you do not get a chance to speak to them directly while you are there, you will have heard what they said and can then use it as a way to reach out to them later.

When you do connect, and if you're able to set up a meeting, make sure you are organized and have an agenda full of questions you'd like to address with them. Their time is probably going to be limited, so make the most of it. A good impression is your best shot at a prolonged relationship. A bad impression is probably going to make the first meeting your only meeting. Don't forget to follow up with a thank you note, and if you leave the meeting with marching orders and tasks, make sure you keep the person updated on your progress.

ALTERNATIVE NETWORKING STRATEGIES:

If traditional approaches aren't getting you what you need, consider starting an organization of your own, or hosting an event for a recognized group. What is one of your primary interests? There's a good chance other people will find it compelling as well. Consider any sort of community meetup where it would make sense to invite speakers to give guest presentations. Many local libraries have meeting rooms you can use at no charge. If asking a speaker to show up for a meeting doesn't work, you can always ask them if they would be open to being interviewed for a newsletter, publication, or blog that goes out to the member community. This approach often works since it helps them look good as well. What executive wouldn't want to be recognized in a publication? Even better if they have just written a book or article or are running for office.

Be willing to help others. Build your reputation as a collaborator and someone that helps people. As Alan Matthew says you have to keep asking,

“Why should someone believe in you? Everyone needs to build a reputation. Word gets out.”

If you can help people with their specific needs you will often find that you come to mind first when they have a chance to help you, or they have a project that you would be a good fit for. Don't just be a taker--word gets out when all someone does is ask for help and never gives anything back. No one wants to be taken advantage of.

Get out there, be proactive, and make yourself memorable. Sitting at home and waiting for the phone to ring is not an effective strategy.

Consider the words of Alan Matthew:

This [networking] is a bit like learning to ride a bike. You can read a manual but you have to actually get on the bike and fall down until you find your balance. Networking is a bit like that. I would add that too much time is wasted at events socializing when finding the right connection is key. Then you ask how do you find the right connection? Especially since companies pivot and the right connection can change.

Chapter 8: When Good Mentoring Goes Bad

Disappointment comes when one rushes to the top of the ladder of success only to find it's up against the wrong wall.

~ Stephen Covey

Chapter 8: When Good Mentoring Goes Bad

No one wants a potentially great relationship to fail. We don't enter into marriage, jobs, careers, or friendships expecting to be lied to, bored, cheated on, or disappointed. But it happens. Mentor/mentee relationships are no different. Some last a lifetime, some we regret only minutes after our first meeting.

Other disappointments or bad experiences may come weeks or months into the relationship, after we've created a bond or friendship. People are fallible, emotional, and also just change over time. There may be misunderstandings or miscommunications. The mentee or mentor may lose confidence or their motivations may slip or diminish unintentionally. There may be a breach of boundaries, or a lack of awareness of boundaries. One or both parties may take the other for granted, make unwise assumptions, or simply not be as professional or experienced as they portrayed themselves to be.

I've seen good networking and good mentorships go bad for the most seemingly innocuous reasons, and for the most blatant of breeches. Networking is all about creating trust and understanding.

Some common things that cause a good mentoring relationship to go bad:

- Mentees are unprepared. They show up for the meeting not understanding why they're there, not knowing what they want or what to expect.
- Mentees think mentors are supposed to parent them, not teach them.

- Mentors are focused more on their own knowledge than on the needs of their mentee. (Think of an electric guitar teacher who uses lesson time to show off and play solos for students instead of teaching them)

There are often trade-offs in a mentoring relationship. Getting to know each other as people goes beyond the nuts-and-bolts startup advice and philosophy that comprises the core of the startup mentoring session. Both the mentor and mentee need to agree on what is conversationally in-bounds and off-limits. Do what you need to do to learn about each other's personal values. It will help. Setting limits around what can and cannot be discussed also helps and can save you from unexpected actions of others.

If you get worried about expectations, consider making a formal set of guidelines. It isn't uncommon for the partnership to create a mentoring agreement to set the guidelines for what the relationship will (and won't) be.

MENTORING AGREEMENT:

This agreement is related to the goals and process of the mentoring relationship. It is to set guidelines related to expectations and to use as a focal point to guide the relationship. It is not a binding legal agreement. Either party may terminate this agreement at any time.

The goals of this mentoring relationship are:

- To provide an opportunity for the mentee to share issues and challenges he / she is facing in the development of their startup business.
- For the mentor to share insights from experiences in areas where he / she has expertise.
- The individuals will meet once a month, for one-hour, and it will be face-to-face.

- If either party cannot make a scheduled meeting they will notify the other party at least 48 hours in advance.
- Any documents that are shared will be between the involved parties only and will not be shared outside the relationship unless by specific agreement.
- The goal of this relationship is to help the mentee learn decision making skills not for the mentor to give specific business advice or make specific decisions for the mentee.

Outside the boundary of this agreement are:

- Any matters related to financial investments in the startup firm.
- Any compensation or exchange related to this or any other agreement the parties may have.
- Any specific expectation related to introductions to other business individuals.
- Phone calls, emails, text messages, and other communications will generally be responded to within 48 hours.

This agreement is in place for one-year from the date of the agreement between the parties below. At that time the parties will review what has happened over the course of the year and determine the plan for going forward.

Mentee	Date	Mentor	Date
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Another recommendation: Make a list of what each party will contribute, and what each party will receive.

WHAT THE PARTIES BRING TO THE RELATIONSHIP:**MENTEE:**

WHAT I CAN CONTRIBUTE TO THIS RELATIONSHIP:

-
-
-

WHAT I EXPECT TO GET FROM THIS RELATIONSHIP:

-
-
-

MENTOR:

WHAT I CAN CONTRIBUTE TO THIS RELATIONSHIP:

-
-
-

WHAT I EXPECT TO GET FROM THIS RELATIONSHIP:

-
-
-

THE CONSCIOUS COMPETENCE MATRIX

While helping a mentee develop skills it helps to know if both sides agree when identifying advantages and issues. If there is agreement that there is an issue it is referred to as conscious incompetence. Both the mentee and mentor recognized an issue exists. Therefore, they can plan and address the issue together.

If the mentor sees an issue and the mentee does not, the mentee is unconsciously incompetent. The challenge here is for the mentor to get the mentee to recognize the situation. Until the mentee realizes there is an issue

it will be difficult to do anything about it. But once both parties see the issue in the same way, planning and progress can begin.

In other cases, a mentor or mentee may have deep expertise in an area, but for some reason cannot explain it nor help the other develop the skill. Not every expert is a skillful teacher, and just as there are different styles of teaching, there are also different styles of learning.

These occasional clashes, while not anyone's fault, can lead to difficult situations. There is frustration because the willingness to do something is not the problem, communication around what to do is more of the challenge. Getting the message across in the right way is where the issue lies. If this happens, it is best to talk about the learning/teaching issue, and call in a third party to see if it can be resolved.

In the fourth quadrant both the mentee and the mentor are aware of the skills and abilities that exist between them. They are consciously competent and can then wield their combined knowledge for a competitive advantage.

Understanding where the respective parties are in relation to the quadrants can help in the overall communication process. When an issue comes up step back and ask if it is due to one of these reasons. Knowing where a problem comes from is the first step to resolving it.

STAGES OF COMPETENCE:

UNCONSCIOUS INCOMPETENCE The mentee does not see an issue exists. The challenge is for the mentor to get the mentee to see there is an issue.	CONSCIOUS INCOMPETENCE This is the easiest area to deal with. Both sides recognize there is an issue. From here a plan can be put in place to address it.
UNCONSCIOUS COMPETENCE This area is an issue since the mentor or mentee has a skill, but cannot identify it. The challenge is to realize and leverage it.	CONSCIOUS COMPETENCE An area of skill where the mentor and mentee see the possibilities and look to take advantage of it.

THE LADDER OF INFERENCE

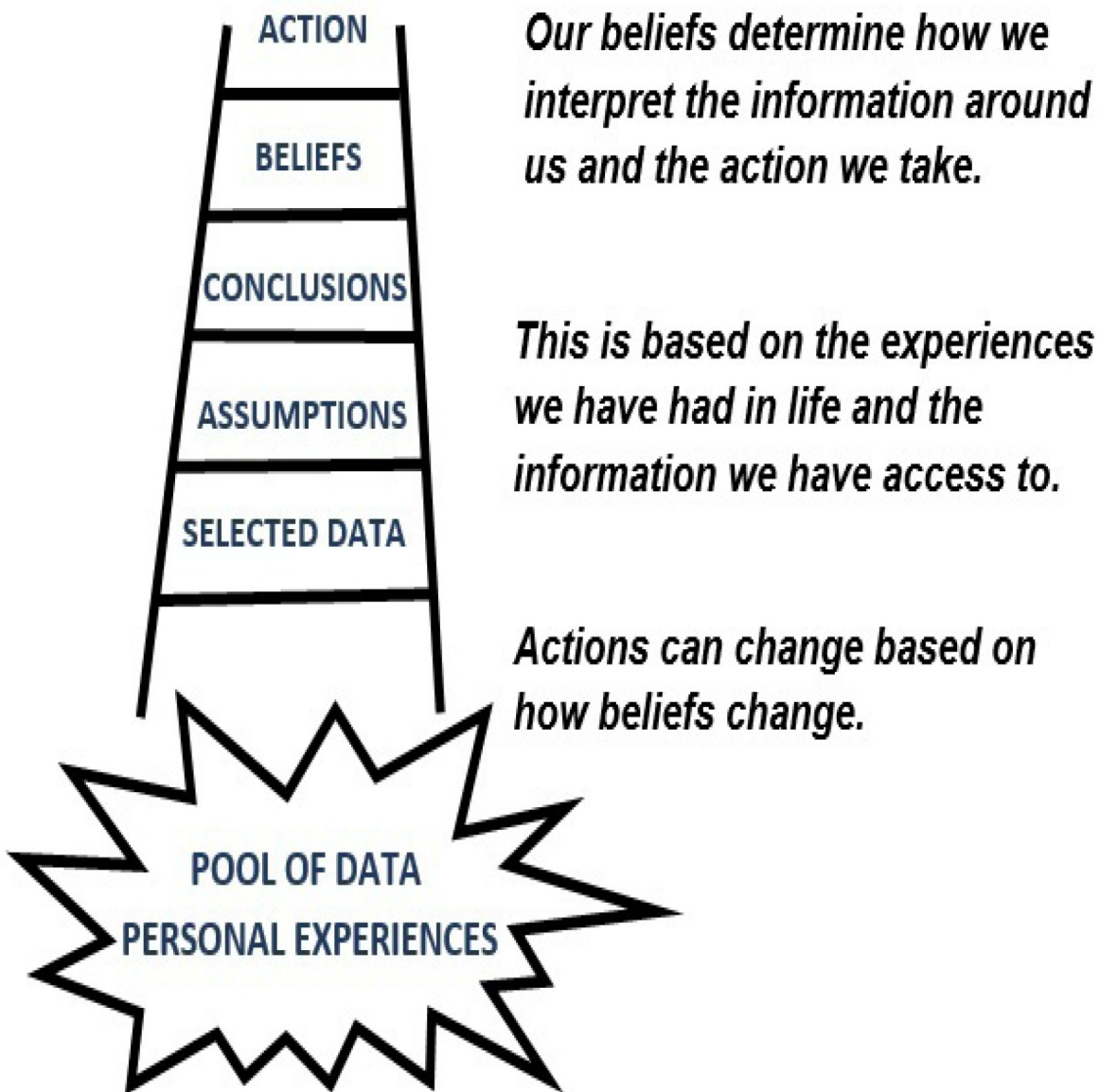
When relationship issues come up--and if you do this long enough, they *will*--a tool I sometimes use is the Ladder of Inference. It is a concept that helps us understand how individuals process information and make decisions (Argyris, 1999).

At the base level individuals have experiences and build beliefs based on what they see and how it impacts them. These experiences are filtered through (and compared to) their personal values and past experiences. This is often an if-then type process. As a result, individuals make assumptions about each other's intents and actions. From a relationship perspective each person must consider the context and ask questions that address not only what is being looked at, but also how. Looking at interactions from different perspectives can alter the meaning of what is perceived. Assumptions are drawn related to perceived intent.

Conclusions are an outcome of this process. The mentor can then make a difference by acting as a reality check whose purpose is to question the conclusions a mentee has, to see if they hold up under questioning and scrutiny. This helps evolve the belief system of the mentee.

THE LADDER OF INFERENCE:

How thinking is shaped and impacts action taken.



One key perspective that *must* be included in this strategy is that of the stakeholders. If you're not in sync with them, there's not much point in strategizing and taking action. If the information and experiences have been processed in the right way, the mentee should be able to distill their message for anyone they might speak to with ever-increasing efficacy.

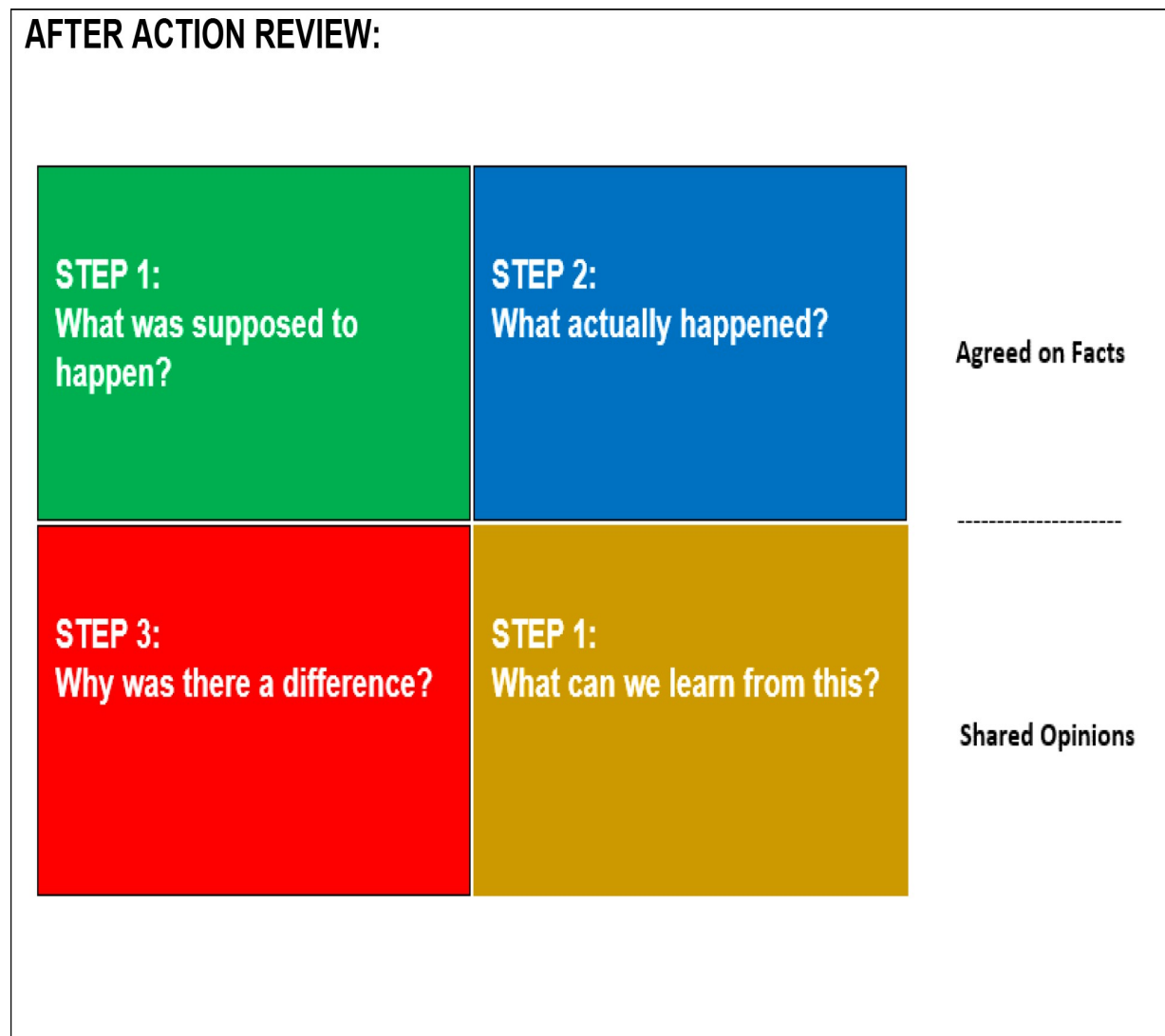
In an entrepreneurial environment, pressure and deadlines are constant and there is not always enough time for detailed fact finding. The entrepreneur is often filling roles from strategist to technical developer to salesperson to customer service technician. All these factors may impact how he / she sees and responds to events. This can cause conflict with others since the data is interpreted differently. Even when they disagree, you *have* to know who is disagreeing, and why. Especially when the actions are driven by assumptions and not by data.

When issues arise out of the actions the entrepreneur took, an analysis can look at where the conflict came from. Was it differing interpretations of data, missing data, or the level of importance of each piece of data, combined with the action it drove in relation to the overall business decision? By working through the rungs of the ladder and asking questions related to the assumptions that resulted, a decision-making process can be analyzed to see why certain actions were taken and what they were based on.

This tool can also be used to go back to the original mentor / mentee agreement to see what and how the goals are related to the overall development of the mentee and the progress that has been made so far. From a developmental perspective, a mentee's experiences can also be examined to see which additional experiences could be beneficial while trying to increase a mentee's business acumen.

Sometimes a relationship goes in the wrong direction. When it happens, a decision must be made. If there is a lot invested in the relationship, trying to work through the issue may make the most sense. If the parties have outgrown the relationship and the benefits from it, it may be best to pack up and move on. Emotions often come into play, but decisions should be based on facts as much as possible.

The military often uses a tool known as an After-Action-Review. Using the Ladder of Inference an individual can review what was done and why. It can help individuals understand why they took the action they did and what to keep in mind and look out for in the future. It starts by looking at what was supposed to happen. From there it looks at what actually happened. These areas address facts. From there it looks at the difference between what was planned and what actually happened and why there was a difference. This leads to lessons learned which can be applied going forward.



CONFLICT

Conflicts that are not addressed early can lead to hurt feelings, broken relationships, poor decisions, and, believe it or not, *failed companies*. When conflict comes up it is important to know why and to address it as soon as possible. Avoidance is generally not a good strategy. Remember just how high the stakes are. These are problems worth addressing early and often.

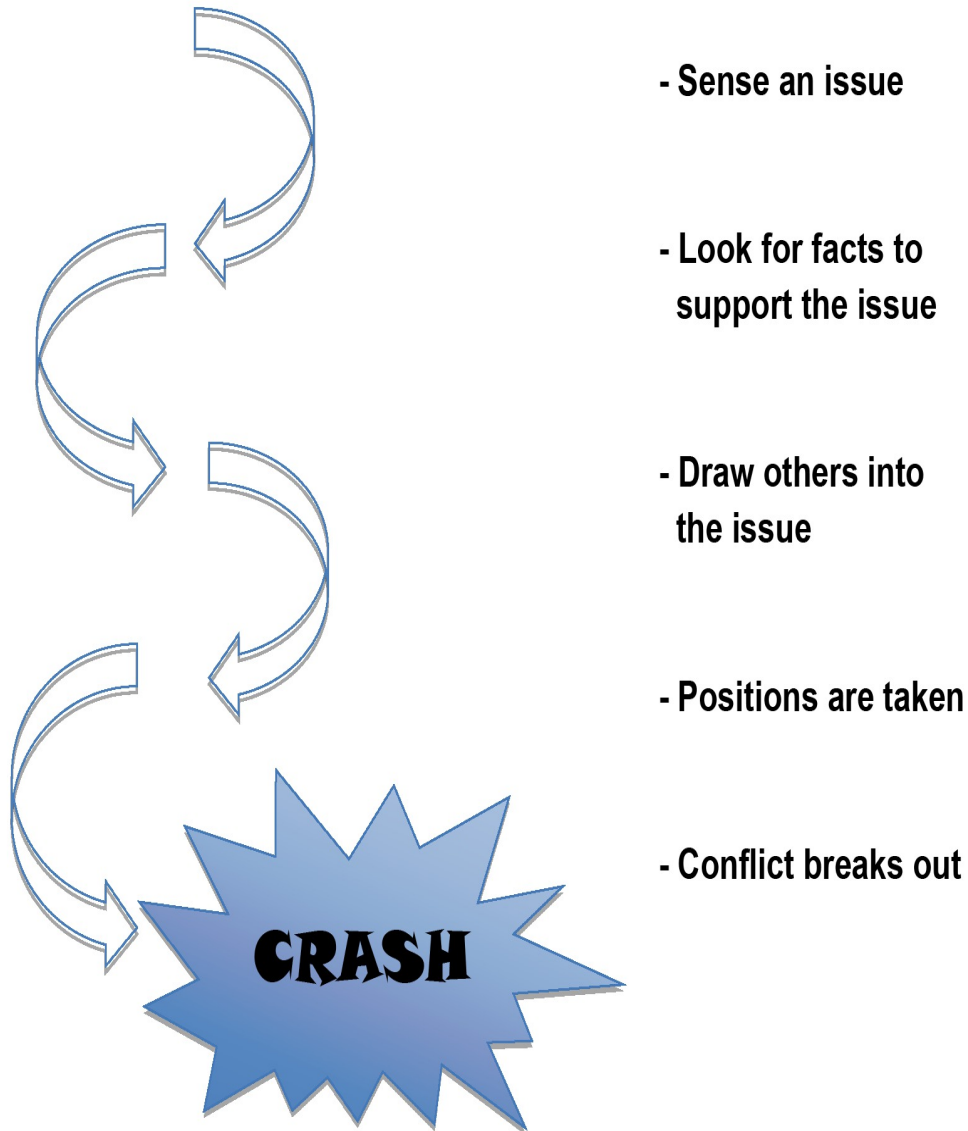
Conflict usually stems from poor communication and a lack of understanding. Rarely does it start with bad intentions and spite. But business is a pressure cooker! Even though we're just trying to figure out where to go and how to get there, even minor disagreements have the potential to escalate, given the enormity of what a business is trying to accomplish.

Here are some frequent areas of disagreement:

- overall strategy – not just what needs to be done, but how, and by whom
- team interaction / communication / decision making
- relationships and how people are viewed
- funding sources and terms
- product or service offering changes
- target markets
- pricing
- timing
- partnerships
- hires
- equity

The resolution of disagreements cannot be postponed. Mentors and mentees must be civil (and friendly, ideally!), but ruthless in their pursuit of clarity and progress.

CONFLICT SPIRAL:

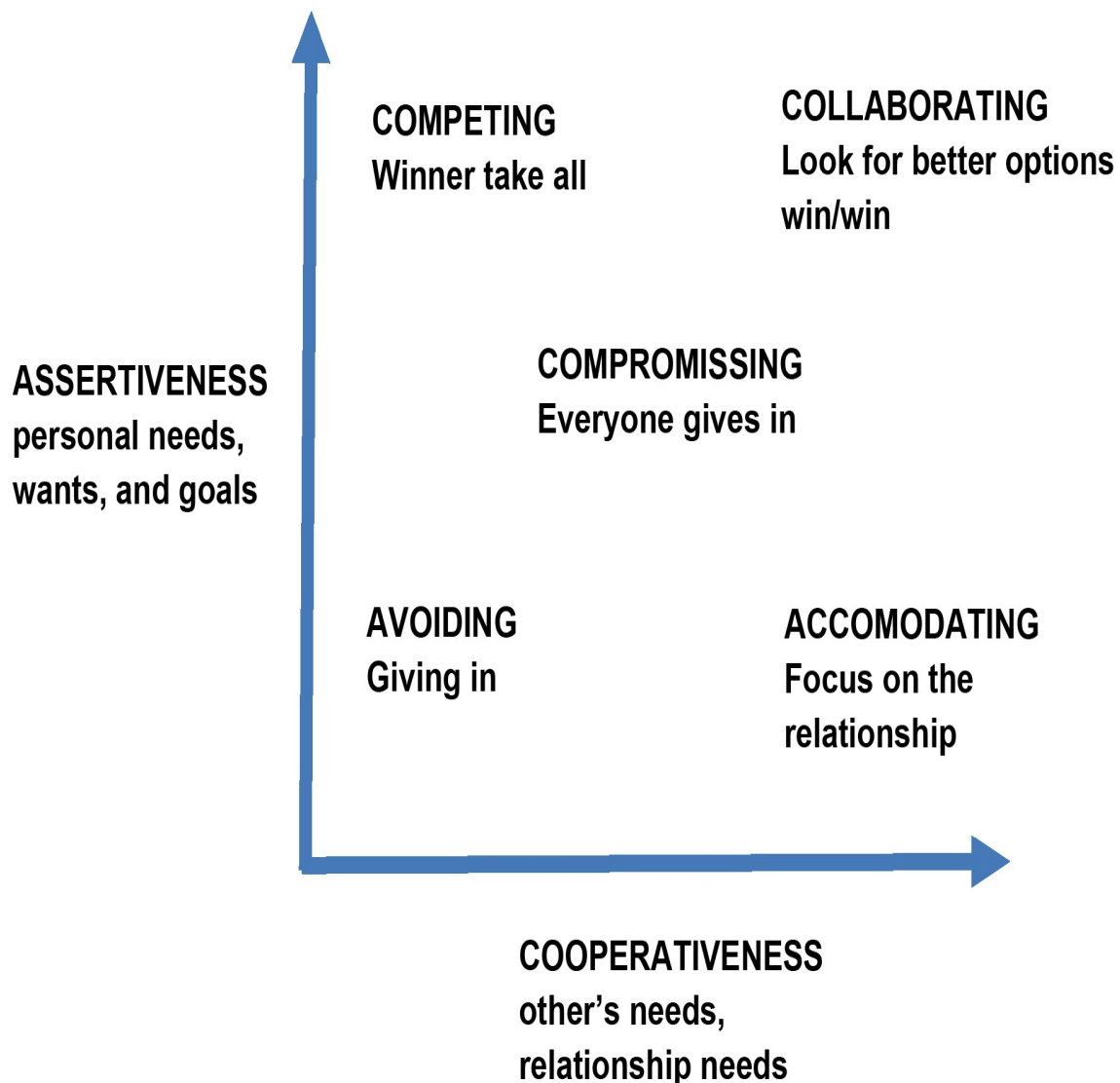


A high level of trust makes conflict resolution easier, but trust takes time to build. If it's not there yet, just start with the cause of the conflict and try to agree on it. Having identified the cause, look for options to resolve the situation, and talk about approaches that might work. Identify who will do what, by when, and have a check-in time to share updates. While there may not be an easy answer, this approach will keep the focus on the problem and not shift to the person. This is key: try to stay focused on addressing the

problem and not blaming the person as a starting point. Once a person is put on the spot and considered the issue, it takes a different approach to dealing with it.

So, what are some options? Resolution methods can vary from doing nothing to out-and-out confrontation, and everything in between. The Thomas-Kilmann model looks at conflict from an assertiveness vs. cooperativeness perspective. Assertiveness focuses on an individual's own needs, while cooperativeness focuses on the needs of others with the goal of maintaining a good relationship.

THOMAS-KILMANN APPROACHES TO CONFLICT:



Focus on trust, especially at the beginning. It will make a big difference, so do anything you can to build it. Deal with small issues early. If there are differences in opinions, understanding the reasons behind a person's perspective is required before proceeding. Sometimes, just listening and hearing the other person out may make a difference. A focus on solving the problem rather than blaming a person can keep everyone focused on what needs to be done. Sometimes bringing in a third party to help is an answer.

In a worst case scenario, it may be best to end the relationship, but while trying to keep respect for the individual in place. Word travels quickly in the startup community and you never know where you'll cross paths again.

SETBACKS AND RESILIENCE

Setbacks

Whether related to mentoring or not, there are times when the bottom seems like it has fallen out. Being an entrepreneur has higher highs and unfortunately at times lower lows than you would have in many corporate environments. No matter how hard you have worked something goes wrong that you did not expect and could not have possibly planned for.

Unfortunately, most entrepreneurs including myself have faced times when we feel it's been a disaster and it's over. There's a terrible empty feeling as if all is lost and there is no way to survive and even worse, it seems like no one cares.

We feel we have let down all those that have supported our dream with their time and money. We may even feel that those around us have misled or even lied to us. Once great team mates we respected and believed in are no longer held in high esteem and the overall work environment has become toxic.

It can come from many places:

- A co-founder moving on
- An investor not coming through
- Technology support having bankrupted us
- A prototype not working as planned
- Potential partners we were counting on changing their mind
- An out-of-the-blue lawsuit (never mind right or wrong, the cost in time and money alone can be devastating)
- Individuals promising to come through and letting us down
- An unexpected personal situation

The list goes on. The common thread is that these things were not planned for and have now impacted us to the point where we don't know if we can go on. I debated putting this section in, but I have found that so many people like myself have been here. I don't know that there is an easy way to bounce back, but there are some things that can help make a difference.

First put it in context. The model that most closely comes to mind is the stages of death and dying by Elisabeth Kubler-Ross. It starts with denial that something this bad has really happened.

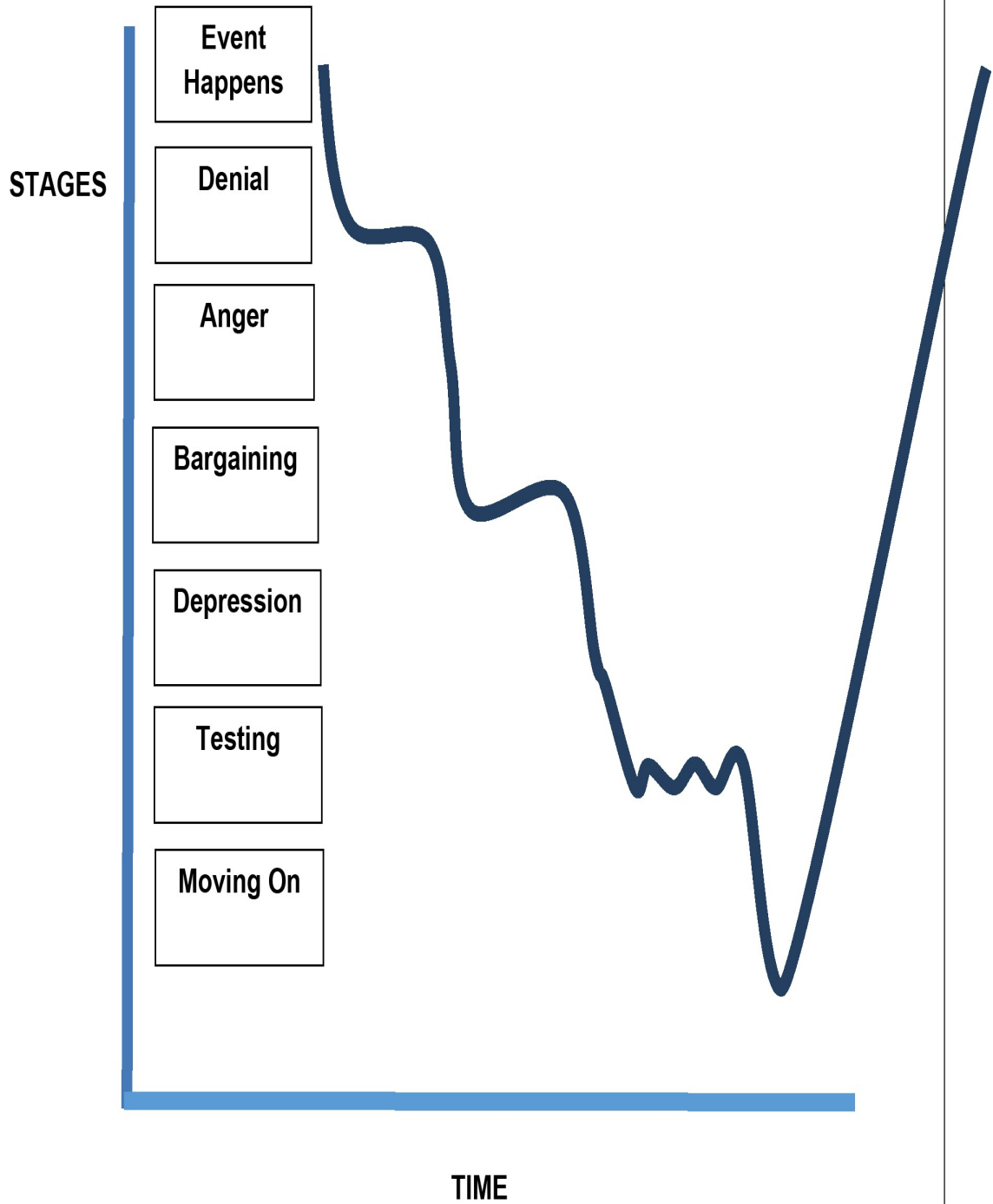
- We're in shock possibly because we did not expect it and have no idea of what we're going to do or how to respond.

- From denial it moves to anger. How could someone do something like this to us. Unfortunately, it does happen. There are people that only care about themselves or could care less about you and how much it hurts you. You need to stay calm and not do anything to anyone that would cause permanent damage to you or them, no matter how great the temptation.

- From anger comes a time of wandering. They refer to it as bargaining. You spend a lot of time reviewing what happened, how it could happen, how it could have been different. You may even try going back to change a decision that was made. It generally does not work out. In a worst case scenario, it can even lead to times of depression.

The key is to start looking for new options. Do not get stuck with that hopeless feeling. Talk to people. Look for new things. Getting out of a depressed state can be tough, but the sooner you do, the sooner you can move on. It starts by meeting people and testing out new ideas. Finding something new leads to acceptance of what happened in the past and allows you to move on and focus on the future. Putting the past behind you allows you to clear your head from the chains that have held you back and allows you to move forward to new heights.

STAGES OF UNEXPECTED CHANGE



There are a few “Do’s” and “Don’ts” to keep in mind. Doing something because of a less than normal state may be something that reflects badly on you and only makes things worse and harder to reach out to connect with others going forward.



DON'TS

- Don't take physical action against others.
- Don't talk trash about others.
- Don't disparage other's reputations. What you say about someone else is often more of a reflection on you than them.
- Don't threaten others.
- Don't be destructive and damage anything.
- Don't turn to alcohol or drugs.
- Don't take things out on those who care about you.
- Don't let it continue to bother you.

Yes, there are some people you may hate as a result of what happened, but it is probably hurting you more than them. As much as you would like to take action, get even, or even hurt someone it will only put you farther behind.



DO'S

- Do step back and try to understand what happened.
- Do seek the help of a mentor or counselor. It's okay. Many will have been through what you are going through and have ideas on how to help.
- Do take care of your health. Without it nothing else matters.
- Do reach out to friends to help put things in perspective. Actually this is a time when you will find out who your real friends are.

- Do take the time to talk to your family and see what it means from a re-grouping perspective. It's not always about having a big house or fancy car.
- Do a personal re-evaluation of what your options are.
- Do a reassessment of the skills you have, how they can be put to use, and if you should develop any others. It's never too late to do so and can open up new opportunities.
- Do continue to network. You never know where an idea or contact will come from.
- Do use the time to regroup and take care of other things you were too busy for while working on your startup. Maybe write that book or article you've been thinking of.
- Do evaluate what points you can pivot on. There are some strengths you can leverage.
- Exercise to relieve that tension.
- Lay out options and evaluate what makes sense.
- Put a plan together for going forward.

There's no argument that sometimes things just don't work as planned, and if you're an entrepreneur there's a greater likelihood of it, but you need to be resilient. You need to be able to take care of yourself to come back. Yes, you can come back, but only if you work at it and don't get lost in the noise of what brought you down. You don't have to settle for less.

Resilience

Resilience is the quality that allows us to comeback after a setback. Rather than having an event or situation ruin our life or take us in a negative direction, being resilient lets us look at what is happening and has happened in a way that we can comeback from it. Some people, when knocked down, come back even stronger than before.

It helps to keep in mind what the cause of the setback was and what can be learned from it. How can you be better in the future? If caused by another person, was it more because of their inferiorities than yours? Just because they are in a position that gives them positional power does not mean they are better than you or know more than you. They just happen to have power this time around. As Eleanor Roosevelt put it, "No one can make me feel

inferior without my consent.” Something to keep in mind. You are not enslaved to anyone or any organization.

There are many examples of this. Even Abraham Lincoln who is recognized as one of our greatest presidents ever had a number of setbacks and failures along the way.



Abraham Lincoln – A list of some failures he had along the way:

- 1816 His family was forced out of their home. He had to work to support them.
- 1818 Set back as his mother died.
- 1831 First business failure.
- 1832 Ran for the state legislature and lost.
- 1832 Fired from his job.
- 1832 Applied to law school, but could not get in.
- 1833 Borrowed money from a friend to start a business and by the end of the year was bankrupt. Spent 17 years paying off this debt.
- 1835 Was engaged and his sweetheart died.
- 1836 Had a nervous breakdown and was in bed for six months.
- 1838 Sought to become speaker of the state legislature and lost.
- 1840 Lost political election.
- 1843 Ran for congress and lost.
- 1846 *Ran for congress and this time won (a victory along the way).*
- 1848 Ran for congress again and lost.
- 1849 Was rejected for a job as a land officer.

- 1854 Ran for the Senate of the United States and lost.
- 1856 Sought his party's nomination for vice president and lost.
- 1858 Ran for United States Senate and lost.
- 1860 *Elected president of the United States.*

Too far back? Let's get a little closer in time. Think of Steve Jobs. He founded Apple Computer and was then forced out. Think how that hurt, to get fired from the company you started. But he did come back and what a success he was. Think if he would have given up, much of the foundation for technologies today may not exist.

Sometimes the people that get knocked down by life are the ones that come back stronger than ever. Instead of letting failure overcome them they find a way to come back and are stronger than before. Key characteristics of resilient individuals include; having a positive attitude, being optimistic, and being able to regulate their emotions. They look at failure as a form of feedback to learn from and build on.

EXPECTATION, FRUSTRATION, AND ACCEPTANCE

Albert Ellis is known as the founder of rational emotive behavioral therapy the grandfather of cognitive-behavior therapy. Now not to get too technical, but he did have some easy to translate points that we can learn from, including that individuals are often their own worst enemies (Carlson & Knaus 2013).

Seven Tips to Becoming Resilient

1. Get enough rest. Individuals that don't sleep or have poor sleep habits are more stressed.
2. Get regular exercise. Exercising for 30 minutes a day can help relieve tension and frustration. It will also allow you to sleep better.
3. Maintain a healthy diet. Don't use over-eating as an escape from the stress you feel. Exercise instead. Also don't eat just before going to

bed.

4. Build and maintain a support network of friends, individuals you can talk to. Your mentor or a coach can be in that network.
5. Meet challenges as they occur. Don't put off dealing with issues. They rarely get better. The sooner you deal with them the quicker you can move on.
6. Build a tolerance for ambiguity and uncertainty. Deal with what you can. Don't worry about things you cannot control.
7. Link your actions to your values. Doing things based on what you believe in makes it easier to deal with issues since you have a base on which you made your decisions.

Too often people adopt a “victim mentality.” They tend to think of themselves as victims of others’ actions and behaviors. It’s not what others do to you, it’s how you respond to what happens that determines who you are and how successful you will be.

Think of role models in your life and how they have dealt with issues and come back from setbacks. What were their issues? How did they respond? What were their results? What can you learn from their situations?

Chapter 9: Quick Start Guide

Mentorship; it's the secret weapon to getting your work and business to stand out.

~ Gerard Adams

Chapter 9: Quick Start Guide

Okay, time for the grand finale!

The goal of this chapter is to pull it all together. It's a compilation of the highlights and insights from the previous [chapters](#), not a substitute for reading them, but to summarize key points. Think of it as a quick guide reference for the future.

I'll assume that you want to move fast. Here's what to do.

Let's start with the basics of entrepreneurship:

- Very few people understand entrepreneurship and are able to articulate it.
- You cannot teach entrepreneurship solely in a classroom.
- Entrepreneurship is person and situation specific.
- Your personal experiences and the specifics of them make a difference.

Now, let's start with:

FINDING THE RIGHT MENTOR(S)

--Choose a primary mentor/s with startup experience as your overall guide.

--Keep in mind the difference between an overall mentor as compared to a specialty mentor (industry expertise, functional knowledge, networking

contacts).

--Make a Roadmap of what success looks like while looking for a mentor. *Know* what you want to get out of the relationship as a mentee. The mentors you want must have the appropriate skills, background, and ideally, a temperament that will complement your own.

--Accept that you can learn from anyone, but don't be sidetracked by those wanting to just engage in conversation. A lot of time can be wasted this way. You may end up feeling good, but with no direction. Even more important beware of those posing as someone that wants to help you, but only for their personal gain.

--Look for potential mentors everywhere--your peers, people you admire, online and off, on social media and on official corporate websites.

--Research potential mentors as much as you can before approaching them.

--Have your elevator pitch ready before you start contacting potential mentors. It's okay if it's not perfect you can get feedback and adjust along the way.

--When you get the chance to make your pitch, get right to it, be confident, and also tell the person how *they* can benefit from mentoring *you*.

HOW MENTORS SHOULD PREPARE

--Understand your motivations. *Why* do you want to mentor?

--List 3-5 areas of expertise that you could mentor someone in.

--List relationships in which *you* have been mentored. Write down what worked and what didn't.

- Make a list of your most helpful networking contacts.
- Brainstorm potential problems and think about how you would address them.
- Commit to giving honest, constructive feedback.
- Commit to being a good listener.
- Avoid the tendency to give answers. Rather, commit to helping the mentee ask better questions and think through their own challenges in a way that will give them insight and improve their reasoning.
- Always have an agenda and stick to it. You won't waste time, and you'll be more productive.
- If you have a tendency to criticize, now is the time, before you're meeting with a mentee, to train this out of yourself.
- Take your role *seriously*.

HOW MENTEES SHOULD PREPARE

- Do your homework and research your potential mentor.
- Take a personality assessment (get to know yourself better so you can help your mentor better understand you). For instance:

Strengths Finder -- <http://www.strengthsfinder.com/>

MBTI -- <http://www.myersbriggs.org/>

DISC -- <https://www.discprofile.com/>

16PF -- <http://personality-testing.info/tests/16PF.php>

--List your business goals. You can't make the journey without making the map first.

--Describe your ideal mentor--their traits, skills, work history, teaching style, etc.--in writing. You might not get everything on your wish list, but think big and assume that the perfect person is out there.

--Approach your potential mentors.

--Once you have a mentor, be respectful, be focused, and be *clear* about what you hope to achieve.

--Provide frequent (but not relentless) updates on your progress.

--Do not get defensive if your ideas are questioned or disagreed with.

--Take your role seriously.

GETTING OFF TO A GOOD START

--Determine the structure of the relationship: How often will you meet? Will you meet in person, or can the relationship be handled via email or telephone? How long is the relationship going to last? (I prefer six month relationships with monthly meetings).

--Set expectations. Be very clear about what each party will offer, and what will be off the table.

--Both parties must agree on the goals of the relationship.

--I suggest focusing on 1-4 goals during a six-month relationship, to prevent the focus from becoming too diluted.

- Create and write down your SMART goals: Specific, Measurable, Achievable, Relevant, and Time bound.
- Discuss confidentiality and agree on what can be shared (and how).
- Consider using a formal mentoring contract so that, in the event that things go awry, there can be no confusion as to the initial agreement.
- Use Bloom's Taxonomy to help determine to which level in the learning hierarchy you need to be focused on.
- Always have a meeting agenda.

TOOLS THAT MAKE A DIFFERENCE

- Create a mission statement for your mentoring relationship, asking:
 - Why are you in business (who are your customers, how are you going to help them)?
 - What are the needs and wants of the market that you are going to meet (how are you going to make your customer's life better)?
 - How are you going to be different from others that are already in the space (how will you differ from your competition, how and why are you better)?
 - How does your company's culture and the employees that make up your company make a difference?
- Use the Time Magazine exercise for goal setting.
- Use the Business Model Canvas to work through your business strategy process.

--Use the Time Management Matrix to manage your time effectively.

BUILDING YOUR NETWORK

--There's no one-size-fits-all approach to networking.

--Determine *why* you want to build a network, and what you're going to do with it.

--Start with the people you know (peer networking).

--Then, network up (outside your peer group).

--Make a big list of potential networking contacts. Find ways to meet them, such as attending their events, inviting them to be guests at events that you host, following the news and reaching out if you find interesting press about them, etc.

--Be willing to help whoever you can help. Your reputation will do as much for your networking power as anything.

WHEN GOOD MENTORING GOES BAD

--Focus on trust, right from the beginning. Build the relationship and get to know each other. Be comfortable. If you can be open it can help address small issues before they become large problems.

--The best laid plans can go awry. Some relationships fail. Common reasons include the mentee being unprepared, mentees expecting parenting instead of mentoring, and mentors who are more concerned with boasting about their own achievements than with teaching and helping others.

--If the relationship goes off track, consider a formal set of written guidelines explaining what future expectations will be so there won't be further confusion. Refer back in the text for examples of mentoring contracts.

--Use The Conscious Competence Matrix and the Ladder of Inference tools to help you understand what you need to learn to make a difference.

--Consider an objective third party for help in resolving conflicts if other attempts do not work.

--If it simply isn't going to work, have the foresight to end the relationship, as amicably as possible.

Refer to this book often, but when you're in a pinch, please keep this chapter close at hand. Mentoring, just like business, is an intricate art requiring effort, discipline, and diligence.

To your success. Maybe someday we'll meet at one of the incubator/accelerators I am working with and you can add to the things it takes to have a successful mentoring relationship!

STARTUP TERMINOLOGY

FREQUENTLY USED TERMS IN THE STARTUP WORLD

A/B Testing: Testing different versions of a web site. It can also include testing different; pricing, terms, colors, and graphics.

Accelerator: A program usually for a set timeframe from a few weeks to a few months with a defined curriculum and development plan that includes workshops and meeting with defined mentors. Accelerator programs usually have a competitive application process and companies that are accepted into accelerators often give up some equity (2%-10%) in return for the help and support. Y-Combinator and Techstars are two of the better known accelerators.

Acquisition: When one firm acquires another. This can happen to acquire a company's technology, customers, or intellectual property. Acquisitions can be for money or equity or a combination.

Agile Methodology: A software development process based on iterative stages where incremental development takes place, is tested, and improved on as needed.

Angel Investor: An individual that provides funding for a startup business, usually in exchange for equity in the organization. Some angels are also known as active investors where they take part and mentor the business founders. The term "angel" originated from individuals that supported Broadway plays and provided individuals with funds so the show could go on.

B2B: Business to business, where the customer of a business is another business.

B2C: Business to consumer, where the customer of a business is the end-user consumer.

Board of Advisors: A group of individuals (usually 3-5) that provide a business owner advice on a number of business issues such as; strategy, sales, or technology. While the advisory board provides information the company is not required to take action on it.

Board of Directors: A group of individuals that are elected to represent stockholders of a company and to establish corporate management policies and make decisions including hiring of key individuals and compensation.

Bootstrapping: When the founder/s start and run a company with their personal finances and without external funding.

Business Model: The business model of a company identifies how it makes money. It looks at expenses and sources of revenue along with the company's value proposition and go to market strategy.

Business Model Canvas: Is a frequently used strategic management tool used by entrepreneurs. It looks at nine areas a startup business should focus on. On a single page it helps entrepreneurs explain what their business is and how it will achieve its goals.

Cap Table: A capitalization table shows who owns what stake in a company; equity, options, and preferred stock are included.

Co-Founder: A person or persons who with others is instrumental in starting a business.

Convertible Debt: Is a type of debt security that can be converted into a predetermined amount of a company's stock.

Crowdfunding: Raising funds from a large number of people. There are a number of crowdfunding types; equity crowdfunding which provides ownership, rewards crowdfunding which provides some type gift or incentive, and donation crowdfunding which contributes to a cause.

Disruption: A way of significantly changing an existing market and how things are done in the go to market strategy. The term and concepts related to it were popularized by Clayton Christensen from Harvard.

Due Diligence: The research done before investing in a company to insure the market, financials, and other statements made are correct or can be supported by evidence.

Equity: An ownership interest in a company. Generally, in the form of securities or stock.

Elevator Pitch: Usually referred to as the 30, 60, or 90 second elevator pitch. It is a short summary of a company; what the company does, how it makes a difference, and why anyone should care.

Entrepreneur: An individual that typically starts and runs a small business and assumes the risks and rewards that go with it. An entrepreneur often comes up with a product or service to meet a need or create an innovation that changes consumer behavior.

Entrepreneur in Residence: An experienced individual who has generally been an entrepreneur that comes into a company or incubator to give advice and provide guidance to individuals in an organization. The role is generally temporary and for a set period of time, such as 6 months or 1 year. They generally receive pay for the guidance they provide.

Exit: When the equity of a company is bought by another party. Basically the founders give up ownership of the company. The acquirer generally

pays cash or converts the exiting company's stock into the new company's stock for some assigned value.

Failing Fast: A concept that stresses the sooner you realize you are doing something wrong the sooner you can learn from it and move forward.

Founder: A person who starts a company.

Freemium: Is a pricing strategy in which the product or service is provided free of charge. It is often used for a base model such as in software. If the user would like enhanced features they generally need to pay for them. The freemium model is often used to hook users into bigger deals.

Growth Hacking: Driving growth while spending as little money as possible. The approach leverages the talents of the individuals in and around the company to create something they did not have before or to improve on something they have at a low cost. It is an iterative process.

Hackathon: An event that generally goes on for a continuous period of time (24-48 consecutive hours) where individuals that may not have worked together in the past come together to try to solve a problem or address an issue. The individuals have a mix of skills including business and technical skills and work as a team. Often software is created in the process to help address the issue.

Incubator: A physical location where startup companies can apply to be members. The purpose of the incubator is to provide shared space for like-minded individuals to help them build their business. Depending on the incubator different value added programs and facility features come with the membership; mentoring, workshops, networking, and access to investors and advisors.

Innovation: A new idea, approach, or method, to doing or creating something to solve an existing problem or to create something new to make life better.

Lean: A methodology to create a product or service faster and cheaper. It takes minimal incremental steps and interacts with customers to get feedback to determine if the product or service is being developed in the right way. It is the opposite of taking a lot of time and putting a lot of resources into building something before showing it to customers.

Love Money: Is used to identify money given to a startup to help it be successful. It is often at the early stages and is based more on the people caring about the founders than the business idea or concept they are creating.

MVP: Minimum Viable Product has just the basic features of a product which are then shown to potential customers to get their feedback. From the feedback, a further prototype can be built. It is an iterative process making incremental improvements along the way and testing them with customers to build in the new ideas as the product continues to be developed. This approach generally saves time and money by collecting feedback and user data, learning from it, and building a further version of the product.

NDA: A non-disclosure agreement is a signed legal document where the individual learning about something agrees not to share what they learned with anyone else.

Pitching: A startup pitch is also referred to as the “pitch deck.” It includes information about the company, the problem being addressed, how the startup will address the issue, the team making up the startup, and financial projections among other things. The pitch is often used to show potential investors what a company is working on and why it is of value.

Pilot: Before going into mass production and spending a large sum of money, a simple version of a product or service is tested with a group to see how well it is received. If modifications are indicated, they can be made before spending more money and going into large scale production of something which customers may not need or want. Piloting is done before scaling.

Pivot: A pivot happens when a company changes direction in what they are working on. Sometimes the change is radical and at other times it may be a simple shift. The key to pivoting correctly is understanding the feedback from a potential market segment. It helps determine whether anyone will pay for anything that is created or if the company's efforts would be better spent elsewhere.

ROI: Is the return on investment. It is used to determine whether the money spent on something will bring any significant return on the investment. ROI can be measured against overall large scale initiatives such as whether to create a product or service or against smaller areas such as determining whether cars of a color other than black make sense and how much more people would pay for cars of different colors.

Round: The term round is used to describe stages of funding. Early stages are related more to seed capital, but as stages go further and more sophisticated investors get involved they refer to rounds such as Round A, Round B, etc. There is no specific detail related to what the money raised will be linked to in a round. It is generally better for a company to have more rounds since the valuation and what the company will have to offer in return for the money in later rounds will be less than in earlier rounds.

SaaS: Software as a service is a software licensing and delivery model that is done on a time based subscription model. The software is centrally hosted, "in the cloud" and users access it on demand. It is a newer approach, as compared to buying software and loading it on dispersed computers. The SaaS model allows for consistent versions all users use and has a different pricing approach than in the past.

Seed Investor: Is an early stage investor that helps get a company going. The seed investor puts money into a company in exchange for an equity stake. Seed investors are often family and friends, can come from crowdfunding, and can also come from angel investors.

Scaling: When a company is ready for systemic accelerated growth. Scaling is done after product-market fit has been satisfied and once a company's business model has been verified as being profitable. When ready to scale additional markets have been identified and how to approach them has been determined.

Startup: Is a company that is new and hopes it has identified a product or service that others will pay for. Generally, startups are small and financed and operated by its founders. A startup hopes to fill a customer need by developing an innovative product or service to make things better. Frequently technology is involved in the process.

Sticky: Ways to get customers to keep coming back for your product or service.

Traction: A startup gains traction when it starts to see areas of growth such as; sales, number of customers, increased usage, and greater interest by others. A key is that with this momentum profitability also appears.

Unicorn: A company that achieves a valuation of \$1 billion.

User Interface (UI): The interaction of individuals and machines. In today's world often computers. The goal is effective use and control of the machine by the human. A computer's mouse or voice recognition are examples of a user interface. The goal is to make usage easy and effective. With computers you may also hear the term graphical user interface.

Use Experience (UX): The overall experience individuals have in using a product or service. Design has become a major component in product

development and usage. The goal is to give users a rewarding experience in using a product or service.

Valuation: The process of determining what a business is worth. A number of components are looked at including current earnings and expenses along with future potential. Physical assets are also included in valuing a business. Depending on industry often a multiplier of revenue is used to determine the valuation.

Vesting: The period of time over which an individual earns their equity. For example, an individual may earn 1% equity in a company per quarter for up to 8 quarters. So in two years the person will have earned 8% equity in the company. The amount of equity an individual can earn is set in the capitalization table of the company. Vesting generally happens over time. Another term is cliff vesting. Here an individual gets a larger amount of equity at a set point in time or due to a certain type event such as an exit.

Venture Capital: Funding that startups can receive in a later stage, generally after revenue is being produced. Unlike angel investors that invest their own money, venture capitalists invest other people's money in exchange for equity. They sometimes take an active role in managing the company and look to grow the company before making an exit.

Waterfall Methodology: Is a sequential design process where one stage is completed and a follow on stage is started. Progress is measured thorough completion of stages; requirements, design, implementation, verification, and maintenance. Users are not engaged until the end. The methodology is not used very often in the startup environment.

Bonus Section: How Important Is Intelligence for an Entrepreneur?

As I conducted interviews for this book, I was struck once again at just how varied and vast the personalities and backgrounds of entrepreneurs can be. And yet, certain themes recurred in all of the interviews, and no matter which questions I asked, we always wound up talking about the concept of intelligence.

Namely: how important is intelligence for an entrepreneur? I decided to include the answers of some of the mentors to give you an idea of how they look at brainpower, or whether they think intelligence is primarily about brainpower at all!

Spoiler: no one came right out and said, “Oh, it’s better not to be smart. That’s the key to success in startups!” But some of the answers did surprised me. I hope they’ll do the same for you. Also, whatever you think of your own intellectual abilities, I hope their responses will convince you that you’re definitely smart enough to get out there, make your mark, and achieve great success.

Here’s what they said:

Tom Caprel

There’s no connection between intelligence and success. You can find someone brilliant who’s got an idea, but they might not have the skills to realize it in a concrete form. They might not even have any idea how it works. Give me willpower and persistence first. People without willpower have less hope, and hope is what an entrepreneur always has to have.

Alan Matthew

Today intelligence is more important than ever, but you can't have a narrow definition of it. You need all kinds of traits for success. A smart person who isn't a hard worker might not get anywhere. A hard worker who is brilliant at physics but struggles with common sense might not set the business world on fire either. It's important, intelligence, but there are a lot of ways to be smart.

William Robinson

It can be critical. What I picture when you say an intelligent entrepreneur is someone who is a visionary. Someone who sees the big picture, but can remain self-aware. You need confidence, and brains, and there are many types of intelligence. But there is no substitute for the willingness to work your tail off for as long as it takes.

RJ Pahura

I know a lot of smart people with serious educations and bona fides. And some of those smart people are the ones who need the most help, coaching, and mentoring. This is one of the big ironies I've seen. No matter how smart they get, some of them never get smart enough to realize that they should ask for help! Maximum coachability is better than Maximum IQ for a lot of what we do.

Tony Lenhart

An entrepreneur needs drive, first and foremost. Show me someone who's willing to run through a brick wall to get what he wants. He'll get it. Being smarter might help it happen faster, but he'll get there.

Serhat Cicekoglu

The most important asset for an entrepreneur to develop is a rapid understanding of a customer's pain. Once you know that something is

lacking, you can begin visualizing a solution. Everyone has pain. Everyone has something that is missing. Intelligence could absolutely help alleviate these types of distress, but I do not believe it is essential in every case. There are many ways to help people.

Linda Darragh

Oh, there are all kinds of intelligence. When I think about it, I just come up with questions. Is it someone who's self-aware? Quick witted? Is it someone who can look at a complex mess of information and synthesize it all on the spot? I think the most valuable type of intelligence for our mentees is a willingness and ability to do a SWOT Analysis (Strengths, Weaknesses, Opportunities, and Threats) on themselves and not pretend they understand themselves well enough. None of us should ever assume that we're smart enough, or that we understand ourselves as well as we can.

Terri Friel

There are so many ways to look at this. So many conclusions we could draw. I'll say this: you have to be smart enough to understand people. You want a good mixture of analytical ability and common sense. There are plenty of people with massive intellects who can't ever figure out how to marshal their resources into anything resembling success.

Mark Carter

The general definition of intelligence is "an assessment of your ability to think and reason." It fits pretty well as being important for entrepreneurs. A BIG part of that, to me, includes knowing that you don't know everything and actively searching to find and discover what you don't know. If an entrepreneur has the ability to recognize problems, seek help getting answers, and then actively apply them to help create strategies, they're off to a great start.

Final Note

Thank you so much for reading my book. I hope you really enjoyed and learned from it.

As you probably know, many people look at the reviews on Amazon before they decide to purchase a book.

If you liked the book, **could you please take a minute** to leave a review with your feedback?

A few minutes is all I'm asking for, and it would mean the world to me.

I do have an Amazon page with some of my other books:

<https://www.amazon.com/George-Vukotich-Ph.D./e/B003W89J9U>

Finally, stay in touch. Sign up for my newsletter by going here, <http://www.georgevukotich.com>, to receive all recent updates on the book and to stay connected on new things I'm working on.

Thank you so much,

George Vukotich

**p.s. Follow me on Twitter (@gvukotich) at and
LinkedIn (<https://www.linkedin.com/in/georgevukotich>)**

Acknowledgements

I want to thank the many wonderful mentors, mentees, and other professionals who took the time to share their best insights on mentoring with me. I couldn't have written this book without your help. It took two years to put it together, and it was definitely worth it!

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Nicole Yeary
Serhat Cicekoglu
Rick Kulow
Alison Musgrave
Terri Friel
Justin Walker

You inspire me, just as you inspire so many others. Let's keep building the community and making it better.

Appendix

Mentor and Mentee Snapshots

These are transcripts of some of the longer interviews we conducted. They should give you a ready-reference into how the elites view mentoring relationships. There is a wealth of experience in the pages that follow. Please take their words to heart.

Troy Henikoff - <https://www.linkedin.com/in/troyhenikoff>

Techstars

Managing Director, Chicago

What is your definition of startup mentoring?

Consider the Techstars program. Our mentors are: ENTREPRENEURS-- Those that have done it--and INVESTORS--Those that have seen the game played.

On different motivations

- Some do it to give back. e.g. we have 163 mentors and 145 have no direct financial arrangement.
- Rule of thumb, we get over 1000 companies that apply. We meet with about 100 of them. Select 10 from those to be in the program and in the end only 1 or 2 will bring us a check.
- The longer we take, the better the decisions we make.
- The goal is to build a community.
- In 2010 there was nothing, we were the ones that started to build the Chicago ecosystem.
- Keep in mind the difference between Selfless and Selfish.
SELFLESS = No Salary, No Benefits, play for the love of the game. SELFISH = Investors looking for deals, looking to build a network, looking to connect with certain people.
- Techstar's philosophy is "Give First."

What three characteristics are most important in a good startup mentor?

- Do it for the right reasons - be a giver.
- A good mentor forces people to ask questions and come to conclusions. They do not give them answers. They teach them how to fish, they do not give them the fish.
- Coaches not Bosses

What three characteristics are most important in a good startup mentee?

- Open to criticism/advice
- Need to have a balance because most entrepreneurs are stubborn. Need to be tenacious to get things done, but also self-aware to be open to advice and know when they need it.
- Need to communicate and keep the mentor/s updated on what they are doing. Especially if the mentor has given them some ideas on things to follow up on. Need to build the relationship.

It is a relationship not a transaction between them.

Mentees need to be comfortable in their own skin - have to have self-confidence -- need to face the reality.

What 2-3 top mistakes have you seen mentees make in the process?

Mentees sometimes withhold information -- This causes a problem since the mentor then cannot help because they are making judgments that are not fact based.

Mentees sometimes don't take control -- It is their decision. The mentor is not there to make decisions for them. The mentee should not ask what they should do, they should ask questions to help them get what they need to make decisions.

Mentees sometimes do not give mentors an update. This is especially important if a mentor gives them money (mentor as an investor).

Rick Kulow - <https://www.linkedin.com/in/rick-kulow-963a363b>

Senior Entrepreneur in Residence; iLab at U.Va., housed at the Darden School of Business

[Charlottesville, Virginia Area Management Consulting](#)

[Current](#)

- [iLab at U.Va., housed at the Darden School of Business,](#)
- [Charlottesville-based business mentor,](#)
- [Entrepreneurship Mentor for Charlottesville-area high school](#)

[Previous Education](#)

[Bioriginal Food & Science Corp](#)
[Harvard Business School](#)

What is your definition of startup mentoring?

My definition of a startup entrepreneur is someone who has the ability to manifest an idea or vision. This is similar to learning how to play an instrument, building a house, or creating an app.

Successful entrepreneurs have the ability to identify someone's pain point and create something to relieve the pain. Someone has to be willing to pay for what they create in order for them to survive. They have to have the ability to identify and come up with a Minimum Viable Product (MVP).

Startup Tips from Rick

Mentors should give their startup mentees time to get to know you. It's important to get off to a good start. I will spend up to 2 hours the first time I meet someone.

Spend the first 20 minutes of your session talking about you so your mentees can get comfortable with you. Share where you come from, your experience which is important because it lets them know what you can help them with, and to show them you have credibility.

Next, have your mentee tell you about themselves. Ask them to share: where they grew up, where they went to elementary school, their relationship with their parents, how they got to where they are, and where they want to go.

It's important to build a relationship first. Show you care about them as a person. It's about the ability to communicate based on the ability to tie back to things we talked about as people (values).

Ask questions and tell stories. I rarely give advice and don't give answers. It's important to teach mentees how to ask the questions to get the answers they need.

What 3 characteristics are most important in a good start-up mentee?

1. Have a VISION: The way you phrase something is important. You need to have something that inspires people.

-- A vision must be something people can identify with.

2. MISSION STATEMENT: Picture you want to get to.

--- e.g. To get to Boston you will make hundreds of decisions, each which will get you closer than before.

-- Know what you need to create a mission statement.

3. Have a set of VALUES that describe you and what you do.

They need to be able to communicate these to potential mentors so mentors can help them.

Other thoughts?

- Mentees that are looking for mentors need to go to places where they can meet them. What kind of mentor do you want? Where do those mentors spend time? If it's the holidays there are many cocktail parties and events where entrepreneurs can meet potential mentors.

- Mentees need to be ready with their elevator pitch.

- NEED TO CONTROL YOUR ENVIRONMENT.

- Everyone has "buttons" things that get to you. People react in certain ways to certain situations.

- e.g. FEAR, some react by backing off, others react by taking charge.

- NEED TO BE SELF-AWARE -- ongoing, don't get caught up in the moment.

- Sometimes trite comments can have an impact. Realize what is happening and put it in the right context.

- Stay in the present

- Focus on Continual Learning

- Know what you want out of a situation and stay focused on it

- MISSION-VISION-VALUES base your decisions on what you have created here.

- NEED TO DEVELOP AN ENTREPRENEURIAL WAY OF THINKING

- e.g. Need to get away from "shoulds" -- Doing something because of someone else's voice in your head. Do things not because you think you should, but because you "want to" -- ELIMINATE SHOULD FOCUS ON "WANT TO'S"

- Be aware of the plan and strategize around it. --Stay focused.

- Why are you here now?

Tony Wilkins - <https://www.linkedin.com/in/tonywilkins76>

Private Investor

AEWilkins Holdings, Inc.

What was it mentors did to help you be successful?

In every case, they provided me with perspective that I couldn't see from the position I was in at the time and they continued to show me how my situation could be even better based on their perspective - delivered in a selfless way - of my capabilities. They all made me see myself in a bigger light.

How did you meet your mentor?

With almost every mentor we have connected through serendipity, an unconscious, unintended, unexpected confluence of events that brought us together.

How often did you (do you) communicate?

It varies from weekly to annually.

How long have you had a mentoring relationship and how has it evolved over time?

My best mentoring relationships have not ended. My earliest mentors, other than my parents, go back as far as 35 years and are as recent as less than one year ago.

Did you have a structured approach to working together (did you use any tools like the Business Model Canvas)? Details?

I rarely used any structured approach. Support, with one exception, has been ad hoc.

Any suggestions you would have for mentees looking for a mentor and what they should do to make the most of the relationship?

Listen to the little voice that says that the mentor or mentee believes that the other person has their best interest at heart.

Anything else you feel would be good to know?

Don't force a mentee/mentor relationship and don't be afraid to end it if it doesn't work anymore.

John S. Reale, Jr - <https://www.linkedin.com/in/john-reale-75a46810>
Managing Director Arete Ventures
Co-founder Station Houston

What is your definition of startup mentoring?

I'll answer this question by first sharing something I once heard about the difference between mentors and advisors...a mentor's interest starts with his or her mentee, where an advisor's interest starts with the company. With that, I believe startup mentoring, at its core, is sharing yourself -your experiences, your scars, your tribulations, your feelings and emotions – with another, whether younger or older, with the intent of helping someone to be their best.

What three characteristics are most important in a good startup mentor?

- The virtue of listening
- The absence of ego
- Patience.

As a bonus, I think the ability to connect on a deeply emotional level.

What three characteristics are most important in a good startup mentee?

- Being open
- Willing to listen

- Intent of wanting to receive suggestions and advice not to support what we want to hear, but lessons, stories, and questions that will help develop better leaders and founders

What 2-3 top mistakes have you seen mentors make in the process?

I think the largest challenge with mentoring is how mentors match-up with mentees. I think most folks can provide some good suggestions or advice based on life experience, but to be a mentor, I think the ability to forge a foundational bond...an element of deep trust, is vital to for both the mentee and the mentor.

What are the 2-3 top mistakes have you seen mentees make in the process!

So many...I think the one that is most challenging, probably like being a parent (although I am only the parent to my dog), is watching founders receive great direction, then totaling disregarding that direction to go-back to doing what they want to do...especially at the expense of the company

What top three tips have you seen make the process of mentoring more effective?

1. Establish a personal relationship...very deep and very personal, to a founder, their startup is like their baby, so knowing that your mentor cares about you like you care about your startup is vital
2. Build an agenda before you meet, and force your mentees to put pen-to-paper (or fingers-to-keys), to organize their thoughts and issues they want to explore
3. Talk less, listen more

Josh Chapman - <https://www.linkedin.com/in/joshuacchapman>
CEO
GiveForward
Greater Chicago Area

GiveForward is the first place to turn when you or someone you love is facing a challenge. It's the central rallying place for giving and receiving meaningful support. From sending a simple "Thinking of You" to raising money for out-of-pocket expenses, GiveForward empowers anyone to build a community and take action when it counts.

What was it your mentor/s did to help you be successful?

I have had three key mentors along the way. I also worked in Corporate America before where I had assigned mentors (you do not get assigned mentors in a startup) and have also been a mentor. It is very different. The goals are focused on career development and promotion. In a corporation there is a lot of structure. In a startup there is none of this.

How did you meet your mentor?

In my case I knew my three mentors from previous jobs. All my mentor relationships I would consider as informal.

Mentor 1 was the CEO of a company I was with, but I was about three levels down. I did not interact with him much on that job, but when I became a CEO I reached out to him on LinkedIn and he responded. We've had a good relationship since.

Mentor 2 is a long-distance relationship - former CEO of a company I worked with, but I was not a direct report. Our exchanges are often emails

based on specific situations where I try to understand what they did and why. Reached out on LinkedIn to make the contact.

Mentor 3, we get together once and awhile. I share my areas of focus ahead of time. Have built a personal relationship based on areas we have in common as well. We stay in regular contact. I feel comfortable with him as a person as well as a mentor / adviser.

If I did not have it based on these relationships I would suggest startups reach out to their board of advisers and others that are supporting them and want to see them be successful. Be prepared, tell them specifically what you need and ask if they know anyone that has had similar experiences they could introduce you to.

It's also important to do your homework before you meet the person. You need to understand what their interests are. You need to be able to connect if you are going to have an ongoing relationship.

How often did you (do you) communicate?

As needed. I don't want to waste anyone's time. In my case all my mentor relationships are not formal. It's more based on someone I can talk to and share what I am dealing with. I can't do this with my employees and friends, for the most part they don't have any idea of what I'm dealing with.

It's also important to give your mentors a "status update" on points you have talked about. They want to know what you end up doing and the results you get.

How long have you had a mentoring relationship and how has it evolved over time?

Years. Some I am in contact with more than others. It is based on needs and what I feel their areas of expertise are that they can help me with. A couple are semi-retired so I'm more likely to take more of their time with things that aren't as focused.

What suggestions do you have to create the most effective mentoring sessions?

Be prepared, do your homework, you need to be organized ahead of time, before you meet the person. If they are a finance person don't ask them about marketing.

Once you make contact the first meeting should be for about an hour so that you can get to know each other. From there the time spent varies. Make it beneficial on both ends.

The mentee drives the agenda and keeps the conversation confidential. Don't ask what to do. Ask your mentor to look at things in your companies you have questions around. For example, "Have you ever...? What do you think about this situation? What would you look at? How would you evaluate X? What do you think I need to look at? Is there anyone else you know that might have some insights? Here's what I've done? Some things I'm thinking about are..."

Respect everyone's time.

Any suggestions you would have for mentees looking for a mentor and what they should do to make the most of the relationship?

Don't expect the mentor to give you answers. Ask them to give you ideas or things to think about. If it is about something they have experienced ask them what they did and what were their lessons learned.

Honesty is important. Confidentiality is also important. You can lose a key mentor by telling others something that was shared in confidence. For meetings have set GOALS. Send an agenda ahead of time (they may or may not look at it, but it gives you something to focus on so you don't waste their time. Be respectful of their time. Mentees need to drive the relationship. If someone agrees to be your mentor, they have committed the time. You need to stay focused on what you need help with and drive the meeting agenda and overall goals of the relationship.

Sarah Rambaugh - <https://www.linkedin.com/in/sarah-rumbaugh-a35a2b18>

Entrepreneur, Consultant, Mentor, Cofounder & CEO at Relish

Sarah started her business, "RelishMBA" while at Darden working on her MBA. She was motivated to start the company based on the frustrations and inefficiencies of the MBA recruiting process she and her partner were experiencing. After getting feedback from dozens of interviews with students and recruiters, they decided to launch a small pilot program to test the viability of a customized MBA recruiting platform.

That pilot program attracted the majority of the Darden student body and 30 MBA recruiters, ranging in size from Fortune 50 corporations recruiting over 100 MBA's a year to early stage startups looking to make their first business hires.

Sarah is in here late 20's. She got the idea for her company when she was an MBA student and started the company while in school. She was a full-time student until 2015. She started in 2013. In May 2014 she did a pilot and started to scale in 2015. She had previously worked for a large company, but she always wanted to be an entrepreneur. She saw a problem with the MBA recruiting process and set out to change it.

POINTERS FROM SARAH

- Entrepreneurs are optimistic by nature
- You need to set milestones and have metrics -- Mentors can help set and monitor progress toward milestones
- Mentors bring things they have used in the past-- Put them in the context of how they can help in the current scenario

- It helps to be in a hands-on incubator and have individuals that have common goals and issues to discuss
- Create a VALUE PROPOSITION -- Mentors can help with this
- Use tools to help facilitate your mentoring relationships -- tasks, project management tools, and task management
- Build a structure – It helps develop a relationship. Relationships are key
- Need to define the relationship and what it involves
- Set OBJECTIVES up front
- Check in regularly -- Even if for just 10 minutes to ask, "How's it going? How can it be better?"
- How often you meet depends on your mentor's expertise -- e.g. Spend more time together in the beginning planning then as time goes on more time on executing
- It's ok to end a relationship. Ask what does success look like -- Need to define and set goals
- You may have mentors in specialty areas such as; Accounting, Finance, etc. It's okay, but these are different than an overall mentor relationship
- Have a startup orientation
- Ask your mentors to give actionable advice and also ask them to be a sounding board. Sometimes you just need to vent

What is your definition of startup mentoring? An experienced entrepreneur volunteering to give advice, insight, feedback, and guidance to aspiring/young entrepreneurs.

What three characteristics are most important in a good startup mentor?

1. - Empathy, better if the mentor has been in a startup as well.
2. - Actually listen -- Not only to what is said, but also to what is not said.
- Need focus on action. Ideas are one thing. Actually moving forward is another.
-- Move Forward -- Decision Making vs. Opportunity Cost
3. MENTOR, suggests -- Asks Questions -- takes mentee through a process.
-- Have a process -- steps with dates and deliverables -- Hold mentee accountable.

What three characteristics are most important in a good startup mentee?

1. - Goes in thinking it's for me – it's too easy to overlook where mentor is coming from.
2. - Need to understand why the mentor is mentoring.
3. - Be willing to take action -- Take an idea and do something with it.

Probably the same as the first two above (ability to listen and empathize) and the action of the third, ability to constructively take action on guidance/advice.

What 2-3 top mistakes have you seen mentors make in the process?

Not listen, just talk. Some mentors seem to mentor to the benefit of themselves rather than for the benefit of the mentee.

What 2-3 top mistakes have you seen mentees make in the process?

MISTAKES are okay -- need to get past the fear -- learn from them.

How are they defined - milestones, metrics, KPI's.

MENTEE is generally FUTURE FOCUSED.

MENTOR is generally PAST FOCUSED

What top three tips have you seen make the process of mentoring more effective?

Stated and clear objectives, responsibilities, and accountability for both parties.

Please share a story that focused on successful mentoring relationship and/or an ineffective one.

A successful mentoring relationship I have been in involved had a mentor that saw the big picture of my pursuits, personality, and what makes me happy AND he cared a lot about these things. The mentor focused not necessarily on how I would complete one task, but on how I would survive and make it as an entrepreneur and how each task impacted that survival. The mentor focused on our operations, ensuring I stayed cash flow positive and my business survived all expenses. The mentor empathized with my pursuits and wanted to ensure I made it through.

Linda Darragh - <https://www.linkedin.com/in/linda-darragh-b87315>

The Larry Levy Executive Director and Clinical Professor Kellogg
Innovation and Entrepreneurship Initiative

What are some of the biggest challenges you see in mentoring relationships?

If I'm a startup, and I've got some traction my biggest issues are—how to build a company and get it sold. If I get \$100 to \$200 million, that's what I see. So you've got to find someone who had the same track record. That's the most important thing. Then you want to link up with them at the right time.

The other thing that's really important is growth stage companies—for those companies, second-tier, that are making \$5 million and are on that pathway, in the next two years, to get to \$15 million—you want to put them with someone who recently did something similar.

If there's any industry vertical change, I make sure B2B and B2C are divided, just because that's a different game plan. However, there are a lot of people who do B2B2C, and that's a really interesting place.

To me, that was the critical piece. The problem with early stage startups is that they think they're going to take it out to \$500 million and sell. It's not until they've been through some bumps and bruises that they know that may not be the end goal, and it might be better to go with a quick acquisition to get out with something.

That's the division here. There are some people with some traction, and maybe there are some people who have hit some roadblocks, and should be

put with people who sold their companies at \$20 million, and got what they had out of it.

It's interesting with some people, they haven't built a company at all, but they have an exit planned and say they're going to exit in three years. I say, what do you have to sell? How much are you going to sell for? And to whom?

The second thing for early stage startups is they sometimes do not need a mentor. And I know this is the work you're trying to do, but I no longer recommend mentors—and here's why. It's because mentors require chemistry that forms over time, and can't be forced. So what I do is match my students with many different experts, depending on their motivations, function, industry, whatever, where they can take away an education. The fact of the matter is, at the end of a good conversation, their role is to say, "You've given me great advice. Can I check back with you in a month, to let you know how it turned out?"

If they actually go ahead and do that and re-contact the person and say, "Hey, I took your advice, here's what I did"—then that person is engaged. They still may be an expert, not a mentor yet. To me, until you've done that three or four times, that's not a mentor.

They may have gotten enough out of meeting two times! That's what happens with mentor/protégé stuff, on both sides: I've met with you twice, and gotten a referral, and really don't care about talking to you again.

Once again, it's the end goal of the startups vision. How big am I going to be? How do I do my pricing, how do I do my customer acquisition, how much money do I put into getting customers' attention, all that I do in house or outsource—it all depends on that larger vision.

Now, for early stage companies, it would be great for someone who's really been in a B2B or B2C company to be matched appropriately to go through and say this is what it takes. I have a whole class on scaling where

I use the Business Model Canvas, so that if you want to grow you know how to do it. Because the whole left-hand side of the canvas is early-stage. So what does that look like? What partnerships are you making, what can those partners do, and are they out there? Those answers are going to determine if you're on the right track.

This is the dance you do. The scariest thing is for someone to come up to me and say, "I want you to mentor me.". But if you say, "Can I come and talk to you again?" Then I'm like, yeah!

That's the issue. There's this whole piece about using a lot of experts at the beginning and then filtering.

I've always had the ability to see two things and see the connection really quickly, but that's not institutionalized knowledge. It's a skill. So what we're doing is building the databases better, so that we can run reports on many different factors to make some of those matches. It's really hard. We have the algorithm and we're screening [Pitchbook, Crunchspace, LinkedIn] to find out entrepreneur, co-founder, founder for various companies. You really have to scrape through a bunch of different titles, and then link it back to their investment profiles. Are they in series A, B, C? Now I know where they are in their growth stage. So now I know if someone is in Series B, I'm going to make sure to stick them with someone who's gone through series C or D.

How do you leverage your alumni in your programs?

I hope that we are. We've really bucketed our alumni into four categories: tire kickers, early-stage startups, scaling, and the exits. For the tire kickers, and some of the early stage, we now have 36 videos of the whole entrepreneur process. They're short films with exercises attached. And then we've got clubs that we're setting up in different tier markets, for groups that are working on seed-stage funding and where they need some connections. Our big effort this year is three conferences in New York, Chicago, and San Francisco just focused on that.

You have commonality, talking about the trust process, the relationship building. It's almost like a military boot camp—common language, common experiences. So here, this is not a campus workshop. If everyone has at least the same language

I think that's what's interesting. What are the connections being made? A lot of corporations can track this, because they can track who's emailing each other, and then create these social dynamics and networks.

I find that if a relationship starts to build, people give up the formal process and start meeting on their own. What are your thoughts on this?

I think that's probably more important! The key is figuring out who's left out. Who's not participating that way, and why? That's a negative space. I think what you have to do is develop what you can, and assume people will go from there.

Mark Achler - <https://www.linkedin.com/in/markachler>
Managing Director of MATH Venture Partners

What is your definition of startup mentoring?

Mentoring does make a difference, but it needs to be done right. It needs to be bidirectional, both parties need to get something out of it. It's not about gain for the mentor.

The mentor should not be paid. The mentor should not be given equity. The mentor should do it because he wants to help and give back.

How do individuals find a good mentor?

By talking to other startups. Ask others what their experiences are. Who they have gone to that was helpful and also who they have gone to that has not.

Do due diligence. Make sure they have the same values you do. If values don't match there will be an issue.

Ask others what it is like working with the mentor in question (under consideration). This is the mentee's choice. In a startup world the mentee picks the mentor.

What three characteristics are most important in a good startup mentor?

They need to start by realizing it's not about them, but about the mentee.

Mentors should not ask for money or equity. There should be a trial period of 6-12 months to see how the relationship goes. If it is helpful then other arrangements can be made, but not before.

A good mentor acts as a coach, psychologist, friend, someone to talk to. A mentor provides what the mentee needs.

A good mentor opens up doors. They make introductions to their contacts. They get the mentee in the door. They help them gain access to customers and distribution channels. They open up their network to the mentee.

They're available. Have the time (quality time) to spend with the mentee.

What three characteristics are most important in a good startup mentee?

The mentee needs to be open to feedback, needs to listen.

The mentee also needs to filter feedback. Mentors while they mean well may not be right 100% of the time. I'd say they're right about 70-80% of the time.

Mentees need to be aware of what Troy Henikoff calls "Mentor Whiplash" -- e.g. Techstars mentors have wisdom, they have been there and done that. They know a lot from experiences they have had. They are good in concrete areas such as how to structure, how to build a team, hiring/firing, etc. They are also good in areas like; making introductions, showing individuals how to scale businesses, and sharing equity. They are not so good at knowing what the next successful thing will be. For example, I would have missed the sharing economy (Uber, Airbnb, etc.) who would have known that these things would take off. They may not be so good at identifying product / market fit or understanding the voice of the customer.

A story. I worked for Steve Jobs at Apple. Remember the hammer through the TV screen commercial, most people still do. It was 1983 and I was there. Jobs hired a big name producer, Wrigley Scott to create it and then at the board of directors meeting Jobs shows the video and they hated it and told him he could not show it. Jobs came back and said only one issue, I have already purchased time on the Super Bowl for it. The board agreed that he could only show it once. The commercial was only shown that one time, but it was a huge hit. So the moral is that the board, his mentors/advisers thought it was wrong to do, but they were the ones that were wrong. So that is why I say mentors are right about 70% of the time.

They are limited by their experiences. None had ever done a commercial like this before and they did not know it would be as successful as it was. They were limited by their past in this case. So while in many areas experience brings wisdom in some cases it does not.

LISTEN BUT FILTER, mentors have great experience that gives them wisdom, but that same experience may limit them in some areas and they may give the wrong input.

Mentees need to believe in a long term relationship. Mentoring is not a transaction. It's about having an ongoing relationship. It's about an investment in the person (This is how mentors should look at it).

The mentee needs to communicate, their needs to be open communication in the relationship.

Mentees need to follow up on what was discussed.

They also need to get back to the mentor and let them know how things went. If good so they can feel good about it. If bad to understand why and try to help and also not to be caught off guard by having them look bad because of something the mentee might have said or done.

Mentees need to be careful not to hurt the mentor's reputation or damage his relationships.

What are the top mistakes you have seen mentees make?

Mentees often give away too much to a mentor (equity).

What does an effective session / relationship look like?

Mentoring and investing should be separate. The relationship has to be based on respect; time, listening, feedback. Closing the feedback loop.

Any particular tools you use to make the relationship more effective?

Nothing specific, different situations bring out different ideas. Mentees need to build an effective network. Talk to people, ask questions, don't be afraid to ask.

Also, mentees need to share, not to just be takers, but also to be givers to help others. It's about building a community. Mentees cannot be afraid to ask for help. If someone says no so what? Move on.

It's about incremental steps in building a relationship. Steps of credibility. Why should someone believe in you? Everyone needs to build a reputation. Word gets out.

Gina Marotta - <https://www.linkedin.com/in/gina-marotta-60928b4>
The Genius Guru

What was it that mentors did to help you be successful?

I started out as an attorney and had formal mentors then I ran a non-for-profit (Startup Women's Network) which I had to learn a lot and fortunately had a lot of good mentors. Now I have my own business Genius Guru in which I help people bring out the genius in them. I've been doing it for about four years now.

- I have really had three careers and mentors have been a key to success in each.

- It's what you learn from mentors that helps you be successful, more than formal learning in school. It's like an apprentice system, but you need to know who to go to and for what. Mentors are the key to learning.

- In my legal career the mentoring was more formal. I had four mentors that stood out and they were all more senior individuals.

-- I learned how to write by watching what others wrote. I followed individuals that led by example.

-- The I learned by doing.

-- I learned a lot by informal conversations. Not everyone was professional all the time and it let me learn a lot about people. There was even a time when a guy commented about my ass. It helped me understand it was not just what people knew, but what people were about.

How did you meet your mentors?

- By letting people know the things I needed help with and asking them if they knew anyone that could help.

- For example the women's organization I ran was about bringing professional women together and we funded a program for low income women and mentored young girls. It gave us a cause to build around and was a great way to network and get to know others. We had ongoing events so we were able to get to know each other as well.

- Individuals should get involved in events to meet people. Find a cause. A great one for me was the Oxygen Mentors Network. They had a walk in Millennium Park where we had a chance to meet other like-minded women.

- Follow up is also key. So many people never do. You have to stay on it.

- The mentee needs to be proactive. They need to find the right mentor, for the right reasons. You can't just ask any mentor anything. You need to know what they can help you with and ask questions related to what they know. Most mentors will try to help with anything even if they don't know much about it, so it is up to the mentee to drive the conversation and relationship.

- A mentee needs to be outgoing. As an entrepreneur it is up to you to take the initiative. No one is going to give you the structure like in a large organization.

- A mentee needs to have ambition, the desire to learn.

- YOU NEED TO FIND PEOPLE YOU WANT TO BE LIKE AND BE AROUND THOSE TYPE PEOPLE.

- To many young people are intimidated. They need to get past it.
- Mentees need to ask themselves what they want out of a relationship before getting into one.

How often do you communicate?

- It varies depending on what is being addressed. If it's for a specific topic or ongoing relationship.
- When you have a need or to share a success.

How long have you had mentoring relationships and how have they evolved over time?

- First you need to define what you want out of the relationship, that will define the relationship. Some may be short term for a specific issue. Others may be longer term. It depends on overall interests outside and the specific reason for mentoring.

Any other suggestions you have for finding a mentor?

- Look for role models. Find people that are what you want to be and try to get them to be your mentor. You need to be clear on what you want from the mentor. Know where you want to go.
- Think of a coach. She brings out more than a mentor. Individuals have skills a coach helps you utilize them.
- Individuals need to go a step beyond and get out of their comfort zone. Get past any self-doubt. Don't give up.

- Look for skills in mentors; social/emotional. Not everything goes well all the time. You want individuals that will stick with you.
- You need to keep learning and developing. Having this mindset as a mentee will help you.
- Know what you want, and if not get help figuring it out.
- Don't be afraid to ask for help. Stick with things to see them through.

Other thoughts?

- There are two big mistakes I often see in email communications;
 1. Mentees write long emails with all the details they can think of. Make clear what you need in two sentences. Make it easy for a mentor to respond.
 2. Think through what you want before you send the email. Email is not an effective forum for discussion.
 - e.g. Strategy review, then write it. Need to focus on the specific areas you need addressed and ask the specific questions that will help you. Not just asking questions to feel good.
- My most important points:
 - FIND PEOPLE THAT ARE WHAT YOU WANT TO BE AND FIND WAYS TO CONNECT WITH THEM.
 - KEEP IN MIND THE HEROES JOURNEY:
http://www.thewritersjourney.com/hero's_journey.htm

Brad Zapp - <https://www.linkedin.com/in/brad-zapp-cfp-409b46b>
Founding Partner, Connetic Ventures, Covington, KY

What is your definition of startup mentoring?

Helping a startup within a 'defined outcomes' sort of approach, more than just meeting up, but specific and measurable

What three characteristics are most important in a good startup mentor?

- Being organized, because the startup probably is not.
- Being capable of doing what a mentee asks; because they are counting on you
- Being available: because when all else is equal speed wins and they need access to you

What three characteristics are most important in a good startup mentee?

- They're coachable: willing to take action on some of the lessons
- They're reliable: show up, be prepared to listen, learn, ask questions
- They're deep; what I mean is, real, intimate, you have to do a deep dive to really get to the questions, issues, and concerns

What 2-3 top mistakes have you seen mentors make in the process?

- They give advice they are not qualified to give
- They're not available when needed the most
- Some don't always tell the truth

What 2-3 top mistakes have you seen mentees make in the process?

- They're flaky/unreliable
- They don't deep dive, only do for appearances
- They do not listen, don't take notes

What top three tips have you seen make the process of mentoring more effective?

- Having a good fit: culture, schedules, industry knowledge-it matters, all of it
- Meeting regularly: it keeps the volume / pressure turned up to get solid results
- The overall relationship/fit again. It's really, really important

Please share a story that focused on successful mentoring relationship and/or an ineffective one. (Please feel free to not reveal the real names of the people in the story.)

Story 1:

Entrepreneur we will call Zach was this go-getter, had it all figured out, used the appearance of "I want to be mentored by you"...didn't do one single thing, not even one that we discussed, continued to operate completely void of the lessons: failed in 12 months....and I was like: Gee why did we even meet?

Story 2:

Entrepreneur met every single week, had a template carried over from week to week, contemplated all discussed, initiated probably 60% of what he heard, stood firm on his other convictions, watched the company raise \$2M in a very early round and landed 6 enterprise clients out of the gate. The mentor relationship changed, what was a \$500k raise went to \$2M, which gave them runway and funds to expand hiring. This allowed the enterprise product to move faster and increased revenue where there previously was none.

ABOUT THE AUTHOR

George Vukotich, Ph.D. has an extensive background in business and education. The son of immigrants to the U.S., he started out as a blue collar factory worker earning degrees at night while working during the day. In his early professional career, he worked his way up the corporate ladder starting out as a consultant and then moving in to corporate roles. Wanting to do more and make a difference, George started teaching and again worked his way up from a professor to department chair to dean of a college of business.

Taking an interest in entrepreneurship, he realized it could not simply be learned in a classroom and made the move to 1871 to help startups become more successful. He became the first Senior VP of Programming where he built the infrastructure for one of the most successful incubators in the world. He designed and grew a mentoring program with over 500 mentors helping startups in a wide range of areas. George also created a number of educational series that included over 400 workshops in common core and specialty areas. His work led to 1871 being recognized as the #1 incubator in the U.S.

Today George consults a number of incubators and accelerators around the world on how to be more effective and how to help their member companies be more successful. He offers advice on everything from setting up an incubator, to automating processes, to building mentoring and education programs, and of course on how to be more successful in getting funding.

LinkedIn Link: <https://www.linkedin.com/in/georgevukotich>

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